10. RELATED PARTY TRANSACTIONS

10.1 RELATED PARTY TRANSACTIONS

Save for the Acquisitions and as disclosed below, there were no transactions, existing and/or potential, entered or to be entered into by our Group which involve the interests, direct or indirect, of our Directors, substantial shareholders and/or persons connected with them which are material to our Group during FYE 2022 to 2025 and up to LPD.

						Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
(a)	Intelli Technologies	Exxor Technologies	Bong Joon Fook and Ts. Wee Khiam Hui	Bong Joon Fook and Ts. Wee Khiam Hui are our Promoters, substantial shareholders and Executive Directors They were the major shareholders and are currently the directors of Intelli Technologies	Provision of IT services, in particular, programming services relating to Intelli Water System, by Intelli Technologies to Exxor Technologies[1]	-	-	225	[9]0.7	19	[9]0.1	-	-	-	-

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
						RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
(b)	Wee Kang Soon and Ho Soh Hong	Exxor Technologies	Ts. Wee Khiam Hui	Wee Kang Soon and Ho Soh Hong are the parents of Ts. Wee Khiam Hui, who is our Promoter, substantial shareholder and Managing Director	Rental expenses paid to Wee Kang Soon and Ho Soh Hong[2] This transaction is recurrent and will subsist after our Listing	28	[10]1.4	28	[10]1.1	28	[10]1.0	27	[10]0.6	11	N/A
(c)	Coast	Exxor Technologies	Ts. Wee Khiam Hui	Wee Kang Soon and Ho Soh Hong are the parents of Ts. Wee Khiam Hui and Wee Khai Ying is the daughter of Ts. Wee Khiam Hui, who is our Promoter, substantial	Provision of water treatment plant services and technical support services to Coast[3]	376	[8]1.3	563	[8]1.4	331	[8]1.0	2,628	[8]5.3	256	N/A
					Supply of devices and instruments to Coast[4]	5	[8]<0.1	371	[8]0.9	276	[8]0.9	353	[8]0.7	-	-

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
						RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
				shareholder and Managing Director	Purchase of fittings and consumables from Coast[4]	25	[9]0.1	6	[9]<0.1	-	-	-	-	-	-
				Wee Kang Soon and Ho Soh Hong are the directors and shareholders of Coast											
				Wee Khai Ying is the director of Coast											
(d)	Advantage Focus Sdn Bhd[7]	Exxor Technologies	Ts. Wee Khiam Hui	Ts. Wee Khiam Hui is our Promoter, substantial shareholder and Managing Director	Provision of installation works by Advantage Focus Sdn Bhd to Exxor Technologies[5]	-	-	6	[9]<0.1	-	-	-	-	-	-

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
						RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
				Ts. Wee Khiam Hui was the director and major shareholder of Advantage Focus Sdn Bhd	Purchase of computer by Exxor Technologies from Advantage Focus Sdn Bhd[5]	-	-	5	[11]<0.1	-	-	-	-	-	-
					Advances from Exxor Technologies to Advantage Focus Sdn Bhd for working capital requirement[6]	10	[11]0.1	6	[11]<0.1	-	-	-	-	-	-
					Payment on behalf of Advantage Focus Sdn Bhd by Exxor Technologies for administrative expenses[6]	27	[11]0.2	2	[11]<0.1	-	-	-	-	-	-

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
						RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
					Repayment for payment on behalf by Advantage Focus Sdn Bhd to Exxor Technologies	-	-	5	[11]<0.1	-	-	-	-	-	-
(e)	Ts. Wee Khiam Hui	Exxor Technologies	Ts. Wee Khiam Hui	Ts. Wee Khiam Hui is our Promoter, substantial shareholder and Managing Director	Payment on behalf of Exxor Technologies by Ts. Wee Khiam Hui for administrative expenses[6]	-	-	90	[11]0.6	113	[11]0.6	70	[11]0.2	-	-
					Repayment for payment on behalf by Exxor Technologies to Ts. Wee Khiam Hui	-	-	64	[11]0.4	130	[11]0.7	79	[11]0.2	-	-

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
						RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
(f)	Bong Joon Fook	Exxor Technologies	Bong Joon Fook	Bong Joon Fook is our Promoter, substantial shareholder and Executive Director	Payment on behalf of Exxor Technologies by Bong Joon Fook for administrative expenses[6]	-	-	106	[11]0.7	30	[11]0.2	21	[11]<0.1	-	-
					Repayment for payment on behalf by Exxor Technologies to Bong Joon Fook	-	-	86	[11]0.6	47	[11]0.2	24	[11]<0.1	-	-
(g)	Intelli Technology Vietnam	Intelli Technologies	Diep Do Nhu Phuong and Intelli Technologies	Diep Do Nhu Phuong is a major shareholder and director of Intelli Technologies She is also a major shareholder and director of Intelli Technology Vietnam	Provision of IT services, in particular, programming services relating to Intelli Water System, by Intelli Technology Vietnam to Intelli Technologies[1]	497	[9]2.1	55	[9]0.2	197	[9]1.0	28	[9]0.1	17	N/A

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
						RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
				Intelli Technology Vietnam is an associated company of Exxor Technologies	This transaction is recurrent and will subsist after our Listing										
(h)	Ts. Wee Khiam Hui	Intelli Technologies	Ts. Wee Khiam Hui	Ts. Wee Khiam Hui is our Promoter, substantial shareholder and Managing Director	Advances from Ts. Wee Khiam Hui to Intelli Technologies for working capital requirement[6]	-	-	-	-	58	[11]0.3	-	-	-	-
					Repayment of advances by Intelli Technologies to Ts. Wee Khiam Hui	-	-	-	-	-	-	58	[11]0.1	-	-
(i)	Bong Joon Fook	Intelli Technologies	Bong Joon Fook	Bong Joon Fook is our Promoter, substantial shareholder and Executive Director	Advances from Bong Joon Fook to Intelli Technologies for working capital requirement[6]	-	-	-	-	58	[11]0.3	-	-	-	-

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
						RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
					Repayment of advances by Intelli Technologies to Bong Joon Fook	-	-	-	-	-	-	58	[11]0.1	-	-
(j)	Diep Do Nhu Phuong	Intelli Technologies	Diep Do Nhu Phuong	Diep Do Nhu Phuong is a major shareholder and director of Intelli Technologies	Repayment of advances by Diep Do Nhu Phuong to Intelli Technologies	20	[11]0.2	-	-	-	-	-	-	-	-
(k)	Ts. Wee Khiam Hui	Exxor Data Solutions	Ts. Wee Khiam Hui	Ts. Wee Khiam Hui is our Promoter, substantial shareholder and Managing Director	Payment on behalf of Exxor Data Solutions by Ts. Wee Khiam Hui for administrative expenses[6]	1	[11]<0.1	1	[11]<0.1	2	[11]<0.1	1	[11]<0.1	-	-
					Repayment for payment on behalf by Exxor Data Solutions to Ts. Wee Khiam Hui	-	-	-	-	-	-	5	[11]<0.1	-	-

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Related party	Transacting company in our Group	Interested person	Nature of relationship	Nature of transaction	Transaction value									
						FYE 2022		FYE 2023		FYE 2024		FYE 2025		1 May 2025 up to LPD	
						RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	[12]%
(l)	Bong Joon Fook	Exxor Data Solutions	Bong Joon Fook	Bong Joon Fook is our Promoter, substantial shareholder and Executive Director	Payment on behalf of Exxor Data Solutions by Bong Joon Fook for administrative expenses[6]	1	[11]<0.1	1	[11]<0.1	2	[11]<0.1	1	[11]<0.1	-	-
					Repayment for payment on behalf by Exxor Data Solutions to Bong Joon Fook	-	-	-	-	-	-	5	[11]<0.1	-	-

Notes:

[1] One of the transactions was a back-to-back arrangement whereby Exxor Technologies engaged Intelli Technologies, which in turn engaged Intelli Technology Vietnam for the provision of IT services, in particular, programming services relating to Intelli Water System, to Exxor Technologies' customer. This was a one-off transaction and was not conducted at arm's length basis as the fee charged by Intelli Technologies to Exxor Technologies for the said provision of the IT services was higher than the prevailing market rates. Save as disclosed above, the transactions were conducted on an arm's length basis as the fees charged by Intelli Technologies to Exxor Technologies as well as by Intelli Technology Vietnam to Intelli Technologies for the provision of IT services, in particular, programming services relating to Intelli Water System, were based on the prevailing market rates and comparable price from non-related parties.

The acquisition of Intelli Technologies was completed on 11 October 2023, which resulted in Intelli Technologies becoming a 51%-owned subsidiary of Exxor Technologies. Henceforth, there are no longer related party transactions between Exxor Technologies and Intelli Technologies in this respect. Notwithstanding the above and for avoidance of doubt, any future transactions between Intelli Technologies and Intelli Technology Vietnam will remain as related party transactions.

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

(2) Exxor Technologies has entered into tenancy agreements with Wee Kang Soon and Ho Soh Hong dated 1 June 2023 and 2 January 2025 for the rental of our office located at Parcel Lot No. D272, First Floor, Block D, ICOM Square, Jalan Pending, 93450 Kuching for a monthly rental of RM2,200 from 1 June 2023 to 31 May 2025 and 1 June 2025 to 31 May 2027 respectively. The transactions were conducted on an arm's length basis as the rental rates paid to Wee Kang Soon and Ho Soh Hong was arrived at based on the prevailing market rental rates of similar properties within the vicinity.

(3) As at LPD, our Group is the subcontractor for 2 projects which were awarded directly by Coast to our Group. We have completed the provision of all relevant water treatment plant services and technical support services to Coast, and accordingly there is no unbilled contract value with Coast. As at LPD, these 2 projects are under DLP and are expected to be completed upon the expiry of their respective DLPs in January 2026 and November 2026.

Coast was incorporated on 29 May 1982 and is principally involved in provision of maintenance works for water and wastewater treatment plants as well as supply and installation of marine equipment. Our Group has maintained a 12-year business relationship with Coast since 2012 up to LPD. Upon expiry of the DLP, our Group will cease to transact with Coast as Coast had vide a letter dated 1 October 2024 informed our Group that Coast shall cease its existing business operations upon the completion and expiry of DLP of the 2 projects and strike off the company as the 2 shareholders and directors of Coast (i.e. Wee Kang Soon and Ho Soh Hong) intend to retire.

The transactions were conducted on an arm's length basis as the subcontractor fees charged by Exxor Technologies to Coast for the provision of water treatment plant services and technical support services were based on the prevailing market rates and comparable price charged to non-related parties by our Group.

(4) Exxor Technologies had purchased the fittings and consumables from Coast as well as supplied devices and instruments to Coast on an ad-hoc basis. These transactions were not conducted at arm's length basis as the goods were sold at agreed price and our Group did not procure comparable quotes to ascertain whether the abovementioned goods were sold at market rate. As such transaction may continue after our Listing until the completion of the 3 on-going projects as set out in note (3) above, our Group will ensure that all such future transactions will be carried out at arm's length basis and not detrimental to our minority shareholders.

(5) Exxor Technologies had purchased 1 unit of computer from Advantage Focus Sdn Bhd as well as engaged Advantage Focus Sdn Bhd for installation works. These were a one-off transaction and were not conducted at arm's length basis as our Group did not procure comparable quotes to ascertain whether the abovementioned computer was sold at, and installation fee was charged at market rate due to the amounts being immaterial.

(6) The advances and/or payment on behalf provided to and from the related parties to our Group were not conducted at an arm's length basis as the advances and/or payment on behalf were provided interest-free. However, they were not detrimental to our Group. As at LPD, all the advances and/or payment on behalf have been fully settled by our Group and the related parties save for the advances provided by our Group to Advantage Focus Sdn Bhd which has been recognised as unrecoverable and subsequently written off in FYE 2023. Moving forward, our Group will no longer obtain or provide any advances from or to its related parties.

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

(7) Advantage Focus Sdn Bhd has been dissolved in August 2023.

(8) Computed based on our Group's revenue for the respective financial years.

(9) Computed based on our Group's cost of sales for the respective financial years.

(10) Computed based on our Group's administrative expenses for the respective financial years.

(11) Computed based on our Group's NA for the respective financial years.

(12) The percentage of the related party transactions is not calculated as the financial statements up to LPD was not prepared.

Save as disclosed above, all our Group's related party transactions were conducted on an arm's length basis and on competitive commercial terms not more favourable to the related parties.

Moving forward, if there are potential related party transactions, the related parties must first inform our Audit and Risk Management Committee on their interests in the transaction and the nature of the transaction before the transaction is entered into. The Audit and Risk Management Committee is responsible for the review of all related party transactions to ensure that there is no conflict of interest. As at LPD, there are no other related party transactions entered into by our Group but not yet effected.

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10. RELATED PARTY TRANSACTIONS *(Cont'd)*

Moving forward, in order to ensure that related party transactions are undertaken on arm's length basis and on normal commercial terms, we have established the following procedures:

(a) Recurrent related party transactions

(i) At least 2 other contemporaneous transactions with third parties for similar products and/or quantities will be used as comparison, wherever possible, to determine if the price and terms offered by related parties are fair and reasonable and comparable to those offered by other third parties for the same or substantially similar type of products/services and/or quantities; or

(ii) If quotation or comparative pricing from third parties cannot be obtained, the transaction price will be determined by our Group based on those offered by other third parties for substantially similar type of transaction to ensure that the recurrent related party transactions are not detrimental to us.

Our Board shall seek mandate from shareholders to enter into any recurrent related party transactions at a general meeting. Due to its time-sensitive nature, the shareholders' mandate will enable us to enter into such recurrent transactions which are transacted in our ordinary course of business without having to convene numerous general meetings to approve such recurrent transactions as and when they are entered into.

(b) Other related party transactions

(i) Whether the terms of the related party transaction are fair and on arm's length basis to our Group and would apply on the same basis if the transaction did not involve a related party;

(ii) The rationale for our Group to enter into the related party transaction and the nature of alternative transactions, if any; and

(iii) Whether the related party transaction would present a conflict of interest between our Group and the related parties, taking into account the size of the transaction and the nature of the related parties' interest in the transaction.

Where required under the Listing Requirements, a related party transaction may require prior approval of shareholders at a general meeting to be convened. An independent adviser may be appointed to comment as to whether the related party transaction is fair and reasonable so far as the shareholders are concerned; and whether the transaction is to the detriment of minority shareholders. In such instances, the independent adviser shall also advise minority shareholders on whether they should vote in favour of the transaction.

For related party transactions that require shareholders' approval, the Directors, major shareholders and/or persons connected with such Director or major shareholder, which have any interest, direct or indirect, in the proposed related party transaction will abstain from deliberating and voting in respect of their direct and/or indirect shareholdings. Where a person connected with a Director or major shareholder has interest, direct or indirect, in any proposed related party transactions, the Director or major shareholder concerned will also abstain from deliberating and voting in respect of his direct and/or indirect shareholdings. The relevant Directors who are deemed interested or conflicted in such transactions shall also abstain from our Board deliberations and voting on the Board resolutions relating to these transactions.

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

In addition, to safeguard the interest of our Group and our minority shareholders, and to mitigate any potential conflict of interest situation, our Audit and Risk Management Committee will, amongst others, supervise and monitor any related party transaction and the terms thereof and report to our Board for further action. If a member of our Audit and Risk Management Committee has an interest in any related party transaction, he is to abstain from participating in the review and approval process in relation to that transaction. Where necessary, our Board would make appropriate disclosures in our annual report with regard to any related party transaction entered into by us.

10.2 OTHER TRANSACTIONS

10.2.1 Transactions entered into that are unusual in their nature or conditions

There were no transactions that were unusual in their nature or conditions, involving goods, services, tangible or intangible assets, to which our Group was a party for FYE 2022 to 2025 and up to LPD.

10.2.2 Outstanding loans (including guarantees of any kind)

(a) Outstanding loans and/or balances

As at LPD, there are no outstanding loans made by our Group to/for the benefit of a related party or granted by the related parties for the benefit of our Group.

(b) Guarantees

As at LPD, our Group's Promoters and substantial shareholders, Ts. Wee Khiam Hui, Bong Joon Fook, and Charlene Bong Myn Ee have jointly and/or severally provided personal guarantees for the following banking facilities granted to our Group ("**Personal Guarantees**") by United Overseas Bank (Malaysia) Bhd ("**UOB**"):

Financier	Type of Facilities	Outstanding balance as at LPD	Facility limit	Amount guaranteed	Guarantor(s)
		RM'000	RM'000	RM'000	
Banking facilities					
UOB	2 performance guarantees, 2 overdrafts and 2 term loans	1,135	9,645	9,645	• Ts. Wee Khiam Hui • Bong Joon Fook • Charlene Bong Myn Ee
		1,135	**9,645**	**9,645**	

In addition, Ts. Wee Khiam Hui and the following related parties have also provided their personal properties as securities for the banking facilities granted to our Group ("**Third-Party Securities**"):

(a) Chiong Pik Lang, spouse of Bong Joon Fook and mother of Charlene Bong Myn Ee and Aelred Bong Nan Wyan, has assigned her benefits, rights, title and interest in the following properties to UOB:

10. RELATED PARTY TRANSACTIONS *(Cont'd)*

(i) a service apartment at Vivacity Jazz Suite 2, Kuching bearing postal address A6-04, Vivacity Jazz Suite 2, Jalan Wan Alwi, 93350 Kuching held under master title Lot 550, 556 & 558, Lot 2017 & 2018, Lot 3564 and Lot 615 & 616, Block 11, Muara Tebas Land District; and

(ii) a service apartment at Pacific Place @ Ara Damansara bearing postal address B-15-3, Jalan PJU 1A/4, Ara Damansara, 47301 Selangor held under master title PM 55, Lot 59215 and PN 8025, Lot 59216 both in Mukim Damansara, Daerah Petaling, Negeri Selangor;

(b) Bong Mui Lan, sister of Bong Joon Fook, has assigned her benefits, rights, title and interest in a service apartment at Pacific Place @ Ara Damansara bearing postal address B-15-3A, Jalan PJU 1A/4, Ara Damansara, 47301 Selangor held under master title PM 55, Lot 59215 and PN 8025, Lot 59216 both in Mukim Damansara, Daerah Petaling, Negeri Selangor to UOB.

In conjunction with our Listing, we have applied to the UOB to obtain a conditional consent for the release and/or discharge of the Personal Guarantees and Third-Party Securities by substituting the same with a corporate guarantee from our Company and/or other securities from our Group acceptable to the UOB upon our successful listing on the ACE Market.

As at LPD, we have received conditional approval from UOB for the release and discharge of the Personal Guarantees and Third-Party Securities. The approval is subject to the successful Listing of our Company on the ACE Market.

(c) Financial assistance provided for the benefit of a related party

As at LPD, there is no financial assistance provided by us for the benefit of any related party.

10.2.3 Transactions entered into with M&A Securities

Save as disclosed below, we have not entered into any transactions with M&A Securities who is the Adviser, Sponsor, Placement Agent and Underwriter for our Listing:

(a) Agreement dated 21 June 2024 entered into between Exxor Technologies and M&A Securities for the appointment of M&A Securities as Adviser, Sponsor and Placement Agent for our Listing; and

(b) Underwriting Agreement dated 18 August 2025 entered into between our Company and M&A Securities for the underwriting of 38,500,000 Issue Shares.

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11. CONFLICT OF INTEREST

11.1 INTEREST IN SIMILAR BUSINESS AND IN BUSINESSES OF OUR CUSTOMERS, SUPPLIERS AND/OR SUBCONTRACTORS

As at LPD, none of our Directors and substantial shareholders has any interest, direct or indirect, in:

(a) other businesses and corporations which are carrying on a similar trade as our Group; and

(b) the business of our customers, suppliers and/or subcontractors.

It is our Directors' fiduciary duty to avoid conflict and in order to mitigate any possible conflict of interest situation in the future, our Directors will declare to our Nomination and Remuneration Committee and our Board their interests in other companies at the onset and as and when there are changes in their respective interests in companies outside our Group. Our Nomination and Remuneration Committee will then first evaluate if such Director's involvement gives rise to an actual or potential conflict of interest with our Group's business after the disclosure provided by such Director. After a determination has been made on whether there is an actual or potential conflict of interest of a Director, our Nomination and Remuneration Committee will then:

(a) immediately inform our Audit and Risk Management Committee and Board of the conflict of interest situation;

(b) after deliberation with our Audit and Risk Management Committee, to make recommendations to our Board to direct the conflicted Director to:

  (i) withdraw from all his executive involvement in our Group in relation to the matter that has given rise to the conflict of interest (in the case where the conflicted Director is an Executive Director); and

  (ii) abstain from all Board deliberation and voting in the matter that has given rise to the conflict of interest.

In relation to (b)(ii) above, the conflicted Director and persons connected to him (if applicable) shall be absent from any Board discussion relating to the recommendation of our Nomination and Remuneration Committee and the conflicted Director and persons connected to him (if applicable) shall not vote or in any way attempt to influence the discussion of, or voting on, the matter at issue. The conflicted Director, may however at the request of the Chairman of our Board, be present at our Board meeting to answer any questions.

In circumstances where a Director is determined to have a significant, ongoing and irreconcilable conflict of interest with our Group, and where such conflict of interest significantly impedes the Director's ability to carry out his fiduciary responsibility to our Group, our Nomination Committee may determine that a resignation of the conflicted Director from our Board is appropriate and necessary.

Where there are related party transactions between our Group with our Directors (or person connected to them) or companies in which our Directors (or person connected to them) have an interest, our Audit and Risk Management Committee will, amongst others, supervise and monitor such related party transaction and the terms thereof and report to our Board for further action. Please refer to Section 10.1 for the procedures to be taken to ensure that related party transactions (if any) are undertaken on arm's length basis.

11. CONFLICT OF INTEREST *(Cont'd)*

11.2 DECLARATIONS OF CONFLICT OF INTEREST BY OUR ADVISERS

(a) M&A Securities has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Adviser, Sponsor, Placement Agent and Underwriter for our Listing;

(b) Ong Eu Jin Partnership has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Solicitors for our Listing;

(c) H.C. Lee & Partners Advocates has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Solicitors for Sarawak Laws;

(d) Baker Tilly Monteiro Heng PLT has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Auditors and Reporting Accountants for our Listing; and

(e) SMITH ZANDER has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as IMR for our Listing.

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12. FINANCIAL INFORMATION

12.1 HISTORICAL FINANCIAL INFORMATION

Our Company was incorporated as a private limited company on 27 August 2024 under Companies Act 2016. On 8 January 2025, our company was converted to a public limited company. Exxor Technologies and Exxor Data Solutions are assumed under the common control of our Company during FYE 2022 to 2025 and we completed the Acquisitions on 15 July 2025 and 21 July 2025, respectively. During FYE 2024, Exxor Technologies acquired 51% interest in Intelli Technologies and 25% interest in Intelli Technology Vietnam. Intelli Technologies and Intelli Technology Vietnam are accounted as subsidiary on 11 October 2023 and associate company on 21 November 2023, respectively. As such, the historical financial information of our Group is presented based on the combined audited financial statements of our Group.

The historical financial information for FYE 2022 to 2025 is prepared based on the combined audited financial statements and has been prepared in accordance with MFRS and IFRS, save for Intelli Technology Vietnam which was prepared in accordance with Vietnamese Accounting Standards. The selected financial information included in this Prospectus is not intended to predict our Group's financial position, results and cash flows. It should be read in conjunction with the Management's Discussion and Analysis of Results of Operations and Financial Condition set out in Section 12.2 and the Accountants' Report set out in Sections 13.

12.1.1 Selected financial information from the historical combined statements of comprehensive income

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Revenue	29,117	40,617	31,950	49,639
Cost of sales	(23,639)	(31,559)	(19,176)	(19,956)
GP	**5,478**	**9,058**	**12,774**	**29,683**
Other income	75	21	33	1,468
Administrative expenses	(1,984)	(2,467)	(2,792)	(4,794)
Other operating expenses	(99)	(126)	(141)	(16)
Operating profit	**3,470**	**6,486**	**9,874**	**26,341**
Finance costs	(102)	(215)	(186)	(532)
Share of results of an associate, net of tax	-	-	*	(173)
PBT	**3,368**	**6,271**	**9,688**	**25,636**
Income tax expense	(1,036)	(1,483)	(2,789)	(6,658)
PAT/Total comprehensive income	**2,332**	**4,788**	**6,899**	**18,978**
PAT/Total comprehensive income attributable to:				
Owners of the Company	2,332	4,788	6,919	18,996
Non-controlling interests	-	-	(20)	(18)
	2,332	4,788	6,899	18,978
EBIT (RM'000)[(1)]	3,460	6,468	9,851	24,713
EBITDA (RM'000)[(1)]	4,230	7,216	10,419	25,921
GP margin (%)[(2)]	18.8	22.3	40.0	59.8
PBT margin (%)[(3)]	11.6	15.4	30.3	51.6
PAT margin (%)[(3)]	8.0	11.8	21.6	38.2
Effective tax rate (%)[(4)]	30.8	23.6	28.8	26.0
EPS (sen)[(5)]	0.4	0.9	1.3	3.5

12. FINANCIAL INFORMATION *(Cont'd)*

Notes:

***** Represents less than RM1,000.

(1) EBIT and EBITDA are calculated as follows:

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
PAT	2,332	4,788	6,899	18,978
Less:				
Interest income	(10)	(18)	(23)	(36)
Interest on discounting of long-term payables[(a)]	-	-	-	(1,419)
Add:				
Finance costs	102	215	186	532
Tax expense	1,036	1,483	2,789	6,658
EBIT	**3,460**	**6,468**	**9,851**	**24,713**
Add:				
Depreciation	770	748	561	515
Amortisation	-	-	7	693
EBITDA	**4,230**	**7,216**	**10,419**	**25,921**

Note:

(a) Arises from the recognition of gain arising from the 36 monthly instalment payments for the acquisition of 3 intelligent asset management solutions. Pursuant to MFRS 9, our Group is required to take into account the time value of money to recognise the amount at its fair value at the reporting date. The present value for the purchase consideration of RM13.2 million amount to RM11.8 million, resulting in the one-off interest on discounting of long-term payables of RM1.4 million.

(2) Calculated based on GP divided by revenue.

(3) Calculated based on PBT or PAT divided by revenue.

(4) Calculated based on income tax expenses divided by PBT.

(5) Calculated based on PAT attributable to owners of our Company divided by our enlarged share capital of 550,000,000 Shares upon Listing.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.1.2 Selected financial information from the combined statements of financial position

	Audited			
	As at 30 April			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
ASSETS				
Non-current assets				
Property, plant and equipment	2,637	1,946	1,442	1,042
Right-of-use assets	71	2	53	2
Intangible asset[(1)]	-	-	-	13,175
Investment in an associate	-	-	432	259
Other investments	180	119	-	-
Deferred tax assets	-	-	84	-
Total non-current assets	**2,888**	**2,067**	**2,011**	**14,478**
Current assets				
Inventories	189	1,441	54	519
Trade receivables	15,674	[(2)]24,754	29,692	37,850
Other receivables	3,348	3,186	507	1,352
Contract assets	3,568	[(3)]11,260	2,305	4,257
Other investments	1	-	-	-
Cash and short-term deposits	1,708	2,060	5,859	9,775
Current tax assets	372	-	63	20
Total current assets	**24,860**	**42,701**	**38,480**	**53,773**
TOTAL ASSETS	**27,748**	**44,768**	**40,491**	**68,251**
EQUITY AND LIABILITIES				
Equity attributable to owners of the Company				
Invested equity	1,000	1,000	1,000	1,000
Retained earnings	9,861	14,649	18,941	37,937
	10,861	15,649	19,941	38,937
Non-controlling interests	-	-	(16)	(34)
TOTAL EQUITY	**10,861**	**15,649**	**19,925**	**38,903**
Non-current liabilities				
Loans and borrowings	2,179	1,678	1,133	784
Lease liabilities	11	-	6	-
Deferred tax liabilities	92	40	-	301
Other payables	-	-	-	[(5)]6,279
Total non-current liabilities	**2,282**	**1,718**	**1,139**	**7,364**
Current liabilities				
Loans and borrowings	421	6,624	580	234
Lease liabilities	62	2	50	2
Trade payables	13,918	[(4)]19,788	15,145	11,173
Other payables	33	680	1,141	[(5)]7,318
Contract liabilities	171	54	417	328
Current tax liabilities	-	253	2,094	2,929
Total current liabilities	**14,605**	**27,401**	**19,427**	**21,984**
TOTAL LIABILITIES	**16,887**	**29,119**	**20,566**	**29,348**
TOTAL EQUITY AND LIABILITIES	**27,748**	**44,768**	**40,491**	**68,251**

12. FINANCIAL INFORMATION *(Cont'd)*

Notes:

(1) The intangible assets are related to the following:

(a) acquisition of 51% equity interest in Intelli Technologies on 11 October 2023, details as set out in Note 1 of the Accountants' Report. The intangible asset was fully amortised during FYE 2024; and

(b) acquisition of 4 intelligent asset management solutions from Place2Stay amounted to approximately RM13.4 million (including sales and service tax) and the stamp duty fees paid for the abovementioned acquisitions amounted to approximately RM0.5 million, as well as the relevant amortisation during FYE 2025. The amortisation of the 4 intelligent asset management solutions is recurrent in nature and is estimated to be fully amortised over a period of 10 years.

(2) The increase in trade receivables as at 30 April 2023 was primarily due to trade receivables of RM11.7 million from a major customer where we were engaged as a subcontractor for the construction of water treatment facilities for JBALB, whereby payment will be made to our Group upon our customer receiving payment from JBALB.

(3) The increase in contract assets as at 30 April 2023 was mainly due to work performed for our ongoing projects prior to their billing milestones.

(4) The increase in trade payables as at 30 April 2023 was primarily due to trade payables of RM8.0 million owing to Titisan Mutiara Tarat Sdn Bhd in relation to the provision of construction of water treatment facilities for JBALB as these trade payables would be settled upon our Group receiving the corresponding payments from our customer, in line with the operation of the water treatment facilities.

(5) The increase in other payables as at 30 April 2025 was primarily due to the amount owing to Place2Stay for the acquisition of 3 intelligent asset management solutions, namely, Integrated Smart Hotel Operations, Management and Reservation System (IntelliHotel System), Centralised Smart Transport Management System (IntelliTrack System), and Integrated Construction Site Resources Information Management System (IntelliConstruct System).

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12. FINANCIAL INFORMATION *(Cont'd)*

12.1.3 Selected financial information from the combined statements of cash flows

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Cash flows from operating activities				
PBT	3,368	6,271	9,688	25,636
Adjustments for:				
Depreciation of property, plant and equipment	719	690	524	485
Depreciation of right-of-use assets	51	58	37	30
Amortisation of intangible asset	-	-	7	693
Loss/(Gain) on disposal of property, plant and equipment	-	12	(1)	-
Property, plant and equipment written off	-	-	5	-
Gain on lease termination	-	*	-	(3)
Loss on disposal of other investment	-	-	*	-
Finance costs	102	215	186	532
Interest income	(10)	(18)	(23)	(1,455)
Bad debts written off	-	53	-	-
Gain on bargain purchase	-	-	(4)	-
Impairment loss on other investments	99	61	119	-
Reversal of impairment loss	*	-	-	-
Impairment loss on other receivables	*	-	-	-
Share of results of an associate	-	-	*	173
Net unrealised foreign exchange gain	-	-	*	(1)
Operating profits before changes in working capital	4,329	7,342	10,538	26,090
Changes in working capital:				
Contract assets	2,981	(7,692)	8,955	(1,952)
Inventories	(189)	(1,252)	1,387	(465)
Contract liabilities	171	(117)	363	(88)
Trade and other receivables	(7,446)	(8,968)	(4,647)	(9,000)
Trade and other payables	985	6,470	(4,531)	(1,448)
Net cash generated from/(used in) operations	**831**	**(4,217)**	**12,065**	**13,137**
Income tax paid	(1,877)	(910)	(1,135)	(5,395)
Interest paid	(102)	(215)	(186)	(532)
Interest received	10	18	23	36
Net cash (used in)/from operating activities	**(1,138)**	**(5,324)**	**10,767**	**7,246**
Cash flows from investing activities				
Purchase of property, plant and equipment	(12)	(26)	(5)	(85)
Purchase of intangible assets	-	-	-	(2,381)
Purchase of other investments	*	-	-	-
Acquisition of an associate, net of cash acquired	-	-	(432)	-

12. FINANCIAL INFORMATION *(Cont'd)*

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Proceeds from disposal of other investment	-	1	-	-
Advances to related parties	(37)	(3)	-	-
Proceeds from disposal of property, plant and equipment	-	15	1	-
Change in pledged deposits	(5)	(931)	914	(10)
Net cash inflow from acquisition of a subsidiary	-	-	5	-
Net cash (used in)/from investing activities	**(54)**	**(944)**	**483**	**(2,476)**
Cash flows from financing activities				
Repayment of term loans	(126)	(113)	(112)	(116)
Payment of lease liabilities	(50)	(60)	(36)	(30)
Repayment of hire purchase obligations	(400)	(385)	(380)	(476)
Issuance of share capital	-	-	-	*
Net change of trade facilities	-	4,588	(4,588)	-
Net change in amount owing to directors	-	47	89	(139)
Net cash (used in)/from financing activities	**(576)**	**4,077**	**(5,027)**	**(761)**
Net (decrease)/increase in cash and cash equivalents	(1,768)	(2,191)	6,223	4,009
Cash and cash equivalents at the beginning of the financial year	**3,102**	**1,334**	**(857)**	**5,365**
Effect of exchange rate changes on cash and cash balances	-	-	(1)	-
Cash and cash equivalents at end of the financial years	**1,334**	**(857)**	**5,365**	**9,374**

** Denotes < RM1,000*

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12. FINANCIAL INFORMATION *(Cont'd)*

12.2 MANAGEMENT'S DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

The following discussion and segmental analysis of our combined financial information for FYE 2022 to 2025 should be read with the Accountants' Report included in Section 13.

12.2.1 Overview of our operations

(a) Principal activities

We are a technology solutions provider, principally involved in the following:

- supply of water technology solutions across the water utility supply chain from water treatment to distribution, primarily in Sarawak; and
- supply of intelligent asset management solutions for customers in other industries such as hospitality, logistics and construction.

The business activities we undertake can be broadly categorised into the provision of water technology solutions and the provision of intelligent asset management solutions. Please refer to Section 7 for our Group's detailed business overview.

(b) Revenue

Our revenue is generated from the following segments:

Water technology solutions

The water technology solutions segment comprises the provision of water management system solutions, supply of IoT devices and instruments, technical support and maintenance services, and construction of water treatment facilities.

The revenue generated from the provision of water management system solutions, and technical support and maintenance services are recognised over time as the services are rendered because our customers receive and use the benefits simultaneously.

The revenue generated from the supply of IoT devices and instruments can be recognised at a point in time or over time, depending on the nature of the contracts secured. For contracts that involve only the sourcing and supplying of devices and instruments, revenue is recognised at a point in time when control of the products have been transferred, being when our customers accept the delivery of the goods. For contracts that involve ongoing services such as the installation, integration, and deployment of hardware and technology, revenue will be recognised over time as the services are rendered because our customers receive and use the benefits simultaneously.

The construction of water treatment facilities comprises multiple deliverables that require significant integration service and therefore is accounted as a single performance obligation. Under the terms of the contracts, control of the work performed is transferred over time as our Group creates or enhances an asset that the customer controls as the asset is created or enhanced. The progress towards the complete satisfaction of a performance obligation is determined by the proportion of construction costs incurred for work performed to date against the estimated total construction costs (as input method), which includes the cost of installation and delivery of the relevant equipment or technology solutions/services for the project.

12. FINANCIAL INFORMATION *(Cont'd)*

Our Group recognises a contract asset for any excess of revenue recognised to date over the billings-to-date. Any amount previously recognised as a contract asset is reclassified to trade receivables at the point when the invoice is issued or timing for billing is due to passage of time. If the milestone billing exceeds the revenue recognised to date and any deposit or advances received from customers, then our Group recognises a contract liability for the difference.

Intelligent asset management solutions

The provision of intelligent asset management solutions to our customers is on a contract basis where the revenue is recognised over time as the services are rendered because the customer receives and uses the benefits simultaneously.

For FYE 2022 to 2025, revenue recognised from contracts with our customers over time contributed to 97.2%, 98.1%, 95.8% and 98.4% of our total revenue respectively, whereas revenue recognised at a point in time contributed to 2.8%, 1.9%, 4.2% and 1.6% of our total revenue respectively.

(c) Cost of sales

Our cost of sales comprises mainly subcontractor costs, cost of devices, instruments, and consumables, staff-related costs, and amortisation of intangible assets.

(d) Other income

Other income comprises mainly interest on discounting of long-term payables, interest income, rental income, and government grant.

(e) Administrative expenses

Administrative expenses comprise mainly depreciation of property, plant and equipment, staff-related costs, directors' remuneration, professional fees, upkeep expenses, travelling expenses, and marketing expenses.

(f) Other operating expenses

Other operating expenses comprise mainly impairment loss on other investments, property, plant and equipment written off, loss on disposal of property, plant and equipment, bad debts written off, and net realised loss on foreign exchange.

(g) Finance costs

Finance costs comprise unwinding of interest on discounting of long-term payables and interest expenses on term loans, lease liabilities, hire purchase payables, trade facilities, and bank overdrafts.

(h) Recent developments

Save for the Acquisitions, there were no other significant events subsequent to our combined audited financial statements for FYE 2022 to 2025.

(i) Exceptional and extraordinary items and audit qualifications

There were no exceptional or extraordinary items during FYE 2022 to 2025. In addition, our combined audited financial statements for the financial years under review were not subject to any audit qualifications.

12. FINANCIAL INFORMATION *(Cont'd)*

(j) Significant account policy information, estimates and judgements

Our significant accounting policies information are summarised in Note 3 of the Accountants' Report as set out in Section 13. There are no significant accounting policies or information that are peculiar to our Group because of the nature of our business activities. There were no material changes to our accounting policies and estimates during FYE 2022 to 2025.

12.2.2 Significant factors affecting our revenue

Section 9 details several risk factors relating to our business and the industry in which we operate. Some of these risk factors impact our Group's revenue and financial performance. The main factors which affect our financial performance include, but are not limited to the following:

(a) We are dependent on our largest major customer, JBALB, and other water agencies in Sarawak

We are dependent on JBALB as they contributed approximately 76.4%, 54.8%, and 46.8% of our total revenue during FYE 2022 to 2024 respectively, through direct contracts with JBALB. Further, we supplied to JBALB's projects through other contractors whereby we acted as subcontractor. Collectively, JBALB's projects contributed approximately 94.8%, 93.7% and 64.2% of our total revenue during FYE 2022 to 2024 respectively. Although JBALB was not our top 5 major customer in FYE 2025, JBALB remains an important customer to our Group as we have growing unbilled order book for contracts secured directly with JBALB and through other customer where we acted as subcontractor for JBALB's projects, which is expected to contribute significantly to our revenue in FYE 2026. From 1 May 2025 up to LPD, we have recognised RM21.8 million revenue for JBALB's projects. In addition, as at LPD, our unbilled order book amounted to RM18.9 million are relating to JBALB's projects.

As a supporting service provider to the water agencies in Sarawak, we are dependent on the capital and operating expenditure of the water agencies in Sarawak, namely JBALB, Sibu Water Board, Sarawak Water Sdn Bhd (formerly known as LAKU Management Sdn Bhd) and Kuching Water Board, all of which are our existing end customers. Collectively, water agencies' projects contributed to majority of our revenue in the water technology solution segment, which accounted for 100.0%, 100.0%, 68.1% and 31.6% of our Group's revenue during FYE 2022 to 2025 respectively. Hence, in addition to JBALB, we are also dependent on other water agencies in Sarawak.

Please refer to Section 9.1.1 for further details.

(b) The continuity of our order book is not assured and any significant decline in our order book will adversely affect our long-term sustainability and growth

We are awarded with contracts on a project basis and the duration of our projects typically range from 12 to 36 months. Hence, there is no assurance of continuity from one project to the next project. In addition, there is a risk that we may not be able to secure every project that we tender for and as such, this may affect the continuity of our order book. Any significant decline in our order book will adversely affect our long-term sustainability and business growth as well as the financial performance of our Group.

Please refer to Section 9.1.2 for further details.

12. FINANCIAL INFORMATION *(Cont'd)*

12.2.3 Review of our results of operations

(a) Revenue

Analysis of revenue by business segments

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Water technology solutions	**29,117**	**100.0**	**40,617**	**100.0**	**21,744**	**68.1**	**15,709**	**31.6**
- Water management system solutions	25,549	87.8	7,217	17.8	10,973	34.4	3,669	7.4
- Supply of IoT devices and instruments	1,109	3.8	14,326	35.3	4,611	14.4	758	1.5
- Technical support and maintenance services	2,459	8.4	7,373	18.1	6,160	19.3	5,451	11.0
- Construction of water treatment facilities	-	-	11,701	28.8	-	-	5,831	11.7
Intelligent asset management solutions	**-**	**-**	**-**	**-**	**10,206**	**31.9**	**33,930**	**68.4**
- IntelliTrack System	-	-	-	-	4,074	12.8	1,552	3.1
- IntelliHotel System	-	-	-	-	1,923	6.0	526	1.1
- IntelliRoad System	-	-	-	-	1,441	4.5	311	0.6
- IntelliConstruct System	-	-	-	-	462	1.4	25,914	52.2
- Others[1]	-	-	-	-	2,306	7.2	5,627	11.4
	29,117	**100.0**	**40,617**	**100.0**	**31,950**	**100.0**	**49,639**	**100.0**

Note:

(1) Comprises one-off projects generated from the provision of IT consultancy, IT training, IT manpower supply, and the implementation of various management systems (such as procurement management, building management, billing management as well as human resource and finance management) for our customers.

Analysis of revenue by geographical location[1]

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Malaysia	**29,113**	**99.9**	**40,617**	**100.0**	**31,378**	**98.2**	**49,639**	**100.0**
Overseas	**4**	**<0.1**	**-**	**-**	**572**	**1.8**	**-**	**-**
- Cambodia	-	-	-	-	572	1.8	-	-
- Vietnam	4	<0.1	-	-	-	-	-	-
	29,117	**100.0**	**40,617**	**100.0**	**31,950**	**100.0**	**49,639**	**100.0**

Note:

(1) Revenue by geographical market is based on the place of domicile of our customers.

12. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2022 and FYE 2023

Our revenue for FYE 2022 and FYE 2023 was generated solely from the water technology solutions segment. Our revenue of RM40.6 million in FYE 2023 was contributed entirely by the Malaysian market (FYE 2022: RM29.1 million or 99.9%).

Our revenue increased by RM11.5 million or 39.5%, to RM40.6 million in FYE 2023 (FYE 2022: RM29.1 million), mainly due to the following:

(i) increase in revenue generated from the supply of IoT devices and instruments to RM14.3 million in FYE 2023 (FYE 2022: RM1.1 million), mainly due to higher percentage of completion for a project in relation to smart water meter asset management, replacement and associated works for the Serian division for JBALB. The said project achieved a completion stage of 87.4% in FYE 2023 (FYE 2022: 1.5%) and contributed RM12.9 million to the revenue in FYE 2023 (FYE 2022: RM0.2 million);

(ii) increase in revenue generated from the technical support and maintenance services to RM7.4 million in FYE 2023 (FYE 2022: RM2.5 million), mainly due to higher revenue generated from ad-hoc meter auditing services which contributed RM3.4 million to the revenue in FYE 2023 (FYE 2022: RM1.1 million), as well as the commencement of a project in relation to leak detection and pipe inspection which contributed RM1.9 million to the revenue in FYE 2023 (FYE 2022: RM Nil); and

(iii) increase in revenue generated from the construction of water treatment facilities to RM11.7 million in FYE 2023 (FYE 2022: RM Nil), mainly due to the commencement of a project secured from a new customer in relation to the design and build of water treatment facilities located in Lubau Areas, Betong Division, which was completed in FYE 2023.

The above increase was partially offset by the decrease in revenue generated from the water management system solutions to RM7.2 million in FYE 2023 (FYE 2022: RM25.5 million). Such decrease was mainly due to the completion of the Intelli Water System implementation for JBALB in FYE 2022.

Comparison between FYE 2023 and FYE 2024

Our revenue decreased by RM8.6 million or 21.2%, to RM32.0 million in FYE 2024 (FYE 2023: RM40.6 million). This was due to the decrease in revenue generated from the water technology solutions segment and partially offset by the increase in revenue generated from the intelligent asset management solutions segment. The Malaysian market was our primary revenue contributor in FYE 2024, contributing RM31.4 million or 98.2% of our total revenue (FYE 2023: RM40.6 million or 100.0%).

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12. FINANCIAL INFORMATION *(Cont'd)*

Water technology solutions

Our water technology solutions segment recorded a decrease in revenue of RM18.9 million or 46.6%, to RM21.7 million in FYE 2024 (FYE 2023: RM40.6 million), mainly due to the following:

(i) decrease in revenue generated from the supply of IoT devices and instruments to RM4.6 million in FYE 2024 (FYE 2023: RM14.3 million), mainly due to the project in relation to smart water meter asset management, replacement and associated works for the Serian division for JBALB, which was substantially completed in FYE 2023. The said project is completed in FYE 2024 (FYE 2023: completion stage of 87.4%) and contributed RM3.4 million to the revenue in FYE 2024 (FYE 2023: RM12.9 million);

(ii) decrease in revenue generated from the technical support and maintenance services to RM6.2 million in FYE 2024 (FYE 2023: RM7.4 million), mainly due to the completion of a project in relation to leak detection and pipe inspection, which was substantially completed in FYE 2023. The said project contributed RM349 to the revenue in FYE 2024 (FYE 2023: RM1.9 million); and

(iii) no revenue generated from the construction of water treatment facilities in FYE 2024 (FYE 2023: RM11.7 million). There was a project carried out in relation to the design and build of water treatment facilities located in Lubau Areas, Betong division which was completed in FYE 2023.

The above decrease was partially offset by the increase in revenue generated from the water management system solutions to RM11.0 million in FYE 2024 (FYE 2023: RM7.2 million), mainly due to higher percentage of completion for a project in relation to the provision of NRW solutions for JBALB. The said project achieved a completion stage of 76.7% in FYE 2024 (FYE 2023: 12.1%).

Intelligent asset management solutions

Our intelligent asset management solutions segment recorded a revenue of RM10.2 million in FYE 2024 (FYE 2023: RM Nil), mainly due to the following:

(i) implementation of IntelliTrack System for 4 customers, which collectively contributed RM4.1 million to our revenue;

(ii) one-off project provided to one of our major customers in relation to the provision of IT consultancy, IT training, and IT manpower supply, which contributed RM2.3 million to our revenue;

(iii) implementation of IntelliHotel System for 2 customers, which contributed RM1.9 million to our revenue;

(iv) implementation of IntelliRoad System for a customer, which contributed RM1.4 million to our revenue; and

(v) implementation of IntelliConstruct System for a customer, which contributed RM0.5 million to our revenue.

Comparison between FYE 2024 and FYE 2025

Our revenue increased by RM17.6 million or 55.0%, to RM49.6 million in FYE 2025 (FYE 2024: RM32.0 million). This was due to the increase in revenue generated from the intelligent asset management solutions segment and partially offset by the decrease in revenue generated from the water technology solutions segment. Our revenue of RM49.6 million in FYE 2025 was contributed entirely by the Malaysian market (FYE 2024: RM31.4 million or 98.2%).

Water technology solutions

Our water technology solutions segment recorded a decrease in revenue of RM6.0 million or 27.6%, to RM15.7 million in FYE 2025 (FYE 2024: RM21.7 million), mainly due to the following:

(i) decrease in revenue generated from the water management system solutions to RM3.7 million in FYE 2025 (FYE 2024: RM11.0 million). This was mainly due to the completion of project in relation to the supply, install, integrate, test and commission of smart water supply system for JBALB, which contributed a total revenue of RM5.6 million in FYE 2024. As such, no revenue was generated from the said project in FYE 2025. The decrease in revenue generate from the water management system solutions was also due to a project in relation to the provision of NRW solutions to JBALB which was substantially completed in FYE 2024. The said project contributed RM1.7 million to the revenue in FYE 2025 (FYE 2024: RM5.4 million);

(ii) decrease in revenue generated from the supply of IoT devices and instruments to RM0.8 million in FYE 2025 (FYE 2024: RM4.6 million). This was mainly due to a project in relation to the smart water meter asset management, replacement and associated works for Serian division for JBALB, which was completed in FYE 2024. As such, no revenue was generated from the said project in FYE 2025 (FYE 2024: RM3.4 million); and

(iii) decrease in revenue generated from the technical support and maintenance services to RM5.5 million in FYE 2025 (FYE 2024: RM6.2 million), mainly due to the completion of ad-hoc meter auditing services provided to a customer in FYE 2024.

The above-mentioned decreases were partially offset by the increase in revenue generated from the construction of water treatment facilities to RM5.8 million in FYE 2025 (FYE 2024: RM Nil). This was mainly due to the commencement of a project in relation to the design and build of water treatment facilities located in Lichok, Betong Division, which is expected to be completed in October 2025, along with a project in relation to the upgrading of mechanical and pipeline works at Sematan, Lundu, Sarawak, which was completed in FYE 2025.

Intelligent asset management solutions

Our intelligent asset management solutions segment recorded an increase in revenue of RM23.7 million or 232.4%, to RM33.9 million in FYE 2025 (FYE 2024: RM10.2 million). This was mainly due to 30 new projects in relation to the implementation of IntelliConstruct System, each with varying contract values and implementation durations depending on the scale of deployment which collectively contributed RM25.2 million to the revenue in FYE 2025. The duration of implementation generally ranges from 2 to 12 months, depending on whether it involves standard module deployment or a more comprehensive module.

12. FINANCIAL INFORMATION *(Cont'd)*

(b) Cost of sales, GP and GP margin

Analysis of cost of sales by cost components

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Subcontractor costs[1]	20,311	85.9	17,065	54.1	11,869	61.9	10,622	53.2
Cost of devices, instruments, and consumables[2]	1,914	8.1	13,387	42.4	6,292	32.8	7,708	38.6
Staff-related costs	803	3.4	857	2.7	804	4.2	856	4.3
Amortisation of intangible assets[3]	-	-	-	-	-	-	693	3.5
Others[4]	611	2.6	250	0.8	211	1.1	77	0.4
	23,639	**100.0**	**31,559**	**100.0**	**19,176**	**100.0**	**19,956**	**100.0**

Notes:

(1) Comprises costs incurred to engage third-party subcontractors for fieldwork (i.e. installation, integration, calibration, testing, commission), maintenance and technical support as well as construction services.

(2) Comprises IoT devices, instruments, and fittings.

(3) Amortisation of intangible assets relating to the 4 intelligent asset management solutions, namely IntelliHotel System, IntelliTrack System, IntelliRoad System, and IntelliCostruct System. The amortisation of the 4 intelligent asset management solutions is recurrent in nature and is estimated to be fully amortised over a period of 10 years.

(4) Comprises mainly utilities and travelling expenses.

Analysis of cost of sales by business segments

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Water technology solutions	23,639	100.0	31,559	100.0	16,118	84.1	12,165	61.0
Intelligent asset management solutions	-	-	-	-	3,058	15.9	7,791	39.0
	23,639	**100.0**	**31,559**	**100.0**	**19,176**	**100.0**	**19,956**	**100.0**

Analysis of GP and GP margin by business segments

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	GP	GP margin	GP	GP margin	GP	GP margin	GP	GP margin
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Water technology solutions	5,478	18.8	9,058	22.3	5,626	25.9	3,544	22.6
Intelligent asset management solutions	-	-	-	-	7,148	70.0	26,139	77.0
	5,478	**18.8**	**9,058**	**22.3**	**12,774**	**40.0**	**29,683**	**59.8**

Comparison between FYE 2022 and FYE 2023

Our cost of sales and GP for FYE 2022 and FYE 2023 were recorded solely from the water technology solutions segment.

Our cost of sales increased by RM8.0 million or 33.9%, to RM31.6 million in FYE 2023 (FYE 2022: RM23.6 million), primarily resulting from the increase in cost of devices, instruments, and consumables to RM13.4 million in FYE 2023 (FYE 2022: RM1.9 million). This increase was mainly due to the higher supply of IoT devices and instruments in FYE 2023, in tandem with the increase in revenue for IoT devices and instruments. Such increase was partially offset by the decrease in subcontractor costs to RM17.1 million in FYE 2023 (FYE 2022: RM20.3 million). The higher subcontractor costs incurred in FYE 2022 was mainly due to the subcontractors engaged for the implementation of Intelli Water System for JBALB in FYE 2022.

Our GP increased by RM3.6 million or 65.5%, to RM9.1 million in FYE 2023 (FYE 2022: RM5.5 million), and our overall GP margin increased to 22.3% in FYE 2023 (FYE 2022: 18.8%). The higher GP margin recorded for FYE 2023 was mainly due to the relatively lower subcontractor costs incurred in FYE 2023. During FYE 2023, we provided continuous support services to JBALB in relation to the Intelli Water System, which was fully implemented in FYE 2022. These services required fewer subcontractors, resulting in lower subcontractor costs incurred, thereby contributing to the improved overall GP margin for FYE 2023.

Comparison between FYE 2023 and FYE 2024

Our cost of sales for FYE 2024 decreased by RM12.4 million or 39.2%, to RM19.2 million in FYE 2024 (FYE 2023: RM31.6 million), mainly due to the decrease in cost of devices, instruments, and consumables to RM6.3 million in FYE 2024 (FYE 2023: RM13.4 million). This decrease was a result of the lower supply of IoT devices and instruments in FYE 2024, in tandem with the decrease in revenue from the supply of IoT devices and instruments. Additionally, our subcontractor costs also decreased to RM11.9 million in FYE 2024 (FYE 2023: RM17.1 million). The higher subcontractor costs incurred in FYE 2023 were mainly due to the subcontractors engaged for the project in relation to the design and build of water treatment facilities.

Our GP increased by RM3.7 million or 40.7%, to RM12.8 million in FYE 2024 (FYE 2023: RM9.1 million). This was due to the higher GP recorded from the intelligent asset management solutions segment (FYE 2024: RM7.1 million, FYE 2023: RM Nil) and partially offset by the lower GP recorded from the water technology solutions segment (FYE 2024: RM5.6 million, FYE 2023: RM9.1 million). Our overall GP margin increased to 40.0% in FYE 2024 (FYE 2023: 22.3%), mainly contributed by the intelligent asset management solutions segment and the improved GP margin for the water technology solutions segment.

Water technology solutions

Our cost of sales for the water technology solutions segment decreased by RM15.5 million or 49.1%, to RM16.1 million in FYE 2024 (FYE 2023: RM31.6 million) in tandem with the overall decrease in revenue for the water technology solutions segment. GP for this segment decreased by RM3.5 million or 38.5%, to RM5.6 million in FYE 2024 (FYE 2023: RM9.1 million), but GP margin increased to 25.9% in FYE 2024 (FYE 2023: 22.3%). The decrease in cost of sales of 49.1% was larger than the decrease in revenue of 46.6% in FYE 2024, mainly due to the lower subcontractor costs incurred in FYE 2024 resulting from the completion of the project in relation to the design and build of water treatment facilities in FYE 2023.

The higher GP margin recorded in FYE 2024 was mainly due to the higher revenue generated from a project in relation to the provision of NRW solutions, which generally yields a higher GP margin due to the comprehensive scope of work involved.

Intelligent asset management solutions

Our intelligent asset management solutions segment recorded a cost of sales of RM3.1 million in FYE 2024 (FYE 2023: RM Nil) and a GP of RM7.1 million in FYE 2024 (FYE 2023: RM Nil).

The intelligent asset management solutions generally yielded a higher GP margin as the intelligent asset management solutions are customised solutions tailored to our customers' specific requirements, which allowed us to secure higher selling prices. As such, we recorded a GP margin of 70.0% for the intelligent asset management solutions segment in FYE 2024.

Comparison between FYE 2024 and FYE 2025

Our cost of sales for FYE 2025 increased by RM0.8 million or 4.2%, to RM20.0 million in FYE 2025 (FYE 2024: RM19.2 million). This was mainly due to the increase in cost of devices, instruments, and consumables to RM7.7 million in FYE 2025 (FYE 2024: RM6.3 million), attributable to the purchases of materials for the project in relation to the upgrading of mechanical and pipeline works at Sematan, Lundu, Sarawak. Such increase was partially offset by the decrease in subcontractor costs to RM10.6 million in FYE 2025 (FYE 2024: RM11.9 million). The higher subcontractor costs incurred in FYE 2024 was mainly due to the subcontractors engaged in the project in relation to the supply, install, integrate, test and commission of smart water supply system for JBALB, as well as the project in relation to the smart water meter asset management, replacement and associated works for Serian division for JBALB. The said projects were completed in FYE 2024, resulting in the lower subcontracted costs in FYE 2025.

Our GP increased by RM16.9 million or 132.0%, to RM29.7 million in FYE 2025 (FYE 2024: RM12.8 million). This was due to the higher GP recorded from the intelligent asset management solutions segment (FYE 2025: RM26.1 million, FYE 2024: RM7.1 million) and partially offset by the lower GP recorded from the water technology solutions segment (FYE 2025: RM3.5 million, FYE 2024: RM5.6 million). Our overall GP margin increased to 59.8% in FYE 2025 (FYE 2024: 40.0%), contributed by the intelligent asset management solutions segment.

Water technology solutions

Our cost of sales for the water technology solutions segment decreased by RM3.9 million or 24.2%, to RM12.2 million in FYE 2025 (FYE 2024: RM16.1 million), which was in tandem with the overall decrease in revenue for the water technology solutions segment. As such, the GP for this segment decreased by RM2.1 million or 37.5%, to RM3.5 million in FYE 2025 (FYE 2024: RM5.6 million), and the GP margin decreased to 22.6% in FYE 2025 (FYE 2024: 25.9%).

The lower GP margin recorded in FYE 2025 was mainly due to the completion of the project in relation to the supply, install, integrate, test and commission of smart water supply system for JBALB in FYE 2024, coupled with the lower revenue generated from a project in relation to the provision of NRW solutions, both of which yielded a higher GP margin due to the higher complexity of the said projects. The lower GP margin is also attributable to the higher subcontractor costs incurred for the meter auditing service projects in FYE 2025, due to higher rate charged for a more comprehensive scope of work performed.

12. FINANCIAL INFORMATION *(Cont'd)*

Intelligent asset management solutions

Our cost of sales for the intelligent asset management solutions segment increased by RM4.7 million or 151.6%, to RM7.8 million in FYE 2025 (FYE 2024: RM3.1 million), which was lower than the revenue increase of 232.4% during FYE 2025. As such, the GP for this segment increased by RM19.0 million or 267.6%, to RM26.1 million in FYE 2025 (FYE 2024: RM7.1 million) and the GP margin increased to 77.0% in FYE 2025 (FYE 2024: 70.0%).

The higher GP margin recorded in FYE 2025 was mainly attributable to the higher revenue recorded in FYE 2025, resulting from the commencement of the 30 new projects in relation to the implementation of IntelliConstruct System which collectively contributed RM25.2 million to the revenue. Higher selling prices were negotiated with customers as we were able to customise the solutions according to their specific requirements. For clarity, our ability to customise solutions according to customers' requirements, and consequently to negotiate for higher selling prices, applies to the entire intelligent asset management solutions segment, not specifically to the IntelliConstruct System.

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12. FINANCIAL INFORMATION *(Cont'd)*

(c) Other income

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Interest on discounting of long-term payables[(1)]	-	-	-	-	-	-	1,419	96.7
Gain on bargain purchase[(2)]	-	-	-	-	4	12.1	-	-
Interest income	10	13.3	18	85.7	23	69.7	36	2.4
Rental income	21	28.0	-	-	-	-	-	-
Government grant	41	54.7	-	-	-	-	-	-
Others[(3)]	3	4.0	3	14.3	6	18.2	13	0.9
	75	**100.0**	**21**	**100.0**	**33**	**100.0**	**1,468**	**100.0**

Notes:

(1) Arises from the recognition of gain arising from the 36 monthly instalment payments for the acquisition of 3 intelligent asset management solutions. Pursuant to MFRS 9, our Group is required to take into account the time value of money to recognise the amount at its fair value at the reporting date. The present value for the purchase consideration of RM13.2 million amount to RM11.8 million, resulting in the one-off interest on discounting of long-term payables of RM1.4 million.

(2) Arises from the acquisition of 51% equity interest in Intelli Technologies on 11 October 2023, details as set out in Note 1 of the Accountants' Report.

(3) Comprises mainly payment in lieu of resigned staff due to serving short notice, gain on lease termination, advances forfeited from a supplier, and gain on disposal of property, plant and equipment.

Comparison between FYE 2022 and FYE 2023

Our other income decreased by RM0.06 million or 75.0%, to RM0.02 million in FYE 2023 (FYE 2022: RM0.08 million). This was mainly due to the following:

(i) There was no government grant received in FYE 2023 (FYE 2022: RM0.04 million). The government grant received in FYE 2022 was in relation to the wages subsidy programme provided by the Malaysian Government in relation to the COVID-19 and a one-off financial assistance provided by the Sarawak Government; and

(ii) There was no rental income received in FYE 2023 (FYE 2022: RM0.02 million). The rental income in FYE 2022 was from the rental of motor vehicle to one of our subcontractors for project requirements in FYE 2022.

Comparison between FYE 2023 and FYE 2024

Our other income for FYE 2024 did not fluctuate significantly from FYE 2023.

12. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2024 and FYE 2025

Our other income increased to RM1.4 million in FYE 2025 (FYE 2024 RM0.03 million), mainly due to the interest on discounting of long-term payables resulted from the discounting impact of payables in relation to the acquisition of Integrated Smart Hotel Operations, Management and Reservation System (IntelliHotel System), Centralised Smart Transport Management System (IntelliTrack System), and Integrated Construction Site Resources Information Management System (IntelliConstruct System) via installment payments of 36 months.

(d) Administrative expenses

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Depreciation	770	38.8	748	30.3	561	20.1	515	10.7
Staff-related costs	363	18.3	428	17.4	591	21.2	877	18.3
Directors' remuneration	404	20.4	415	16.8	607	21.7	770	16.0
Professional fees	57	2.9	207	8.4	209	7.5	1,526	31.8
Upkeep expenses	138	6.9	194	7.9	249	8.9	329	6.9
Travelling expenses	73	3.7	169	6.8	136	4.9	190	4.0
Marketing expenses	67	3.4	178	7.2	110	3.9	253	5.3
Penalty[(1)]	-	-	-	-	120	4.3	134	2.8
Others[(2)]	112	5.6	128	5.2	209	7.5	200	4.2
	1,984	**100.0**	**2,467**	**100.0**	**2,792**	**100.0**	**4,794**	**100.0**

Notes:

(1) Comprises provision for tax penalty for underestimation of income tax for year of assessment 2023, 2024, and 2025, penalty arising from tax audit for the years of assessment 2019, 2020, and 2021, and penalty for late stamping of legal documents.

(2) Comprises mainly printing and stationery, utilities, stamp duty and bank charges. The increase in FYE 2024 mainly due to the general expenses incurred for overseas purchases.

Comparison between FYE 2022 and FYE 2023

Our administrative expenses increased by RM0.5 million or 25.0%, to RM2.5 million in FYE 2023 (FYE 2022: RM2.0 million), mainly due to the following:

(i) professional fees increased to RM0.2 million in FYE 2023 (FYE 2022: RM0.1 million), mainly due to the increase in auditors' remuneration for the reaudit of FYE 2022 and FYE 2023 in preparation for our IPO;

(ii) marketing expenses increased to RM0.2 million in FYE 2023 (FYE 2022: RM0.1 million), mainly due to higher exhibition costs incurred resulting from participation in more exhibition events; and

(iii) travelling expenses increased to RM0.2 million in FYE 2023 (FYE 2022: RM0.1 million), mainly due to more business travelling during FYE 2023.

Comparison between FYE 2023 and FYE 2024

Our administrative expenses increased by RM0.3 million or 12.0%, to RM2.8 million in FYE 2024 (FYE 2023: RM2.5 million), mainly due to the following:

(i) directors' remuneration increased to RM0.6 million in FYE 2024 (FYE 2023: RM0.4 million), mainly due to annual salary increments; and

(ii) staff-related costs increased to RM0.6 million in FYE 2024 (FYE 2023: RM0.4 million), mainly due to annual salary increment, coupled with the recruitment of 3 employees for our operations.

The above increase was partially offset by the decrease in depreciation to RM0.6 million in FYE 2024 (FYE 2023: RM0.7 million), mainly due to 3 motor vehicles which were fully depreciated in FYE 2023.

Comparison between FYE 2024 and FYE 2025

Our administrative expenses increased by RM2.0 million or 71.4%, to RM4.8 million in FYE 2025 (FYE 2024: RM2.8 million), mainly due to the following:

(i) increase in professional fees to RM1.5 million in FYE 2025 (FYE 2024: RM0.2 million), resulted from the fees incurred for the Listing; and

(ii) staff-related costs increased to RM0.9 million in FYE 2025 (FYE 2024: RM0.6 million), mainly due to annual salary increment, coupled with the increased number of senior personnel in FYE 2025.

(e) Other operating expenses

	Audited							
	FYE 2022		**FYE 2023**		**FYE 2024**		**FYE 2025**	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Impairment loss on other investments	99	100.0	61	48.4	119	84.4	-	-
Impairment loss on other receivables	*	<0.1	-	-	-	-	-	-
Loss on disposal of other investment	-	-	-	-	*	<0.1	-	-
Loss on disposal of property, plant and equipment	-	-	12	9.5	-	-	-	-
Property, plant and equipment written off	-	-	-	-	5	3.5	-	-
Net realised loss on foreign exchange	-	-	-	-	17	12.1	16	100.0
Bad debt written off	-	-	53	42.1	-	-	-	-
	99	**100.0**	**126**	**100.0**	**141**	**100.0**	**16**	**100.0**

** Denotes < RM1,000*

Comparison between FYE 2022 and FYE 2023

Our other operating expenses increased by RM0.03 million or 30.0%, to RM0.13 million in FYE 2023 (FYE 2022: RM0.10 million). This was mainly due to the bad debts written off amounting to RM0.05 million in FYE 2023, resulting from the dissolution of a related party's business.

Comparison between FYE 2023 and FYE 2024

Our other operating expenses increased by RM0.01 million or 7.7%, to RM0.14 million in FYE 2024 (FYE 2023: RM0.13 million). This was mainly due to the higher impairment loss on other investments in FYE 2024, namely Bioion Vietnam Company Limited ("**Bioion**") which resulted from the member's voluntary winding-up in Vietnam due to its loss-making business operations. The member's voluntary winding-up was completed on 18 June 2024. Prior to its winding-up, Bioion was a wholly-owned subsidiary of our Group, whom principally involved in the export, import and wholesale distribution of household goods. For clarity, there were no related party transactions and related party balances between our Group and Bioion during the financial years under review.

For information, our Group invested in Bioion as we observed that there was business opportunities to offer household goods in Vietnam. However, Bioion faced significant challenges, primarily through disruptions in supply chain and distribution channels from the COVID-19 pandemic and resulted in its loss-making business operations. In addition, the geographical distance between Bioion and our Group posed additional operational challenges, making it difficult to manage and control operations effectively. As such, our Group has decided to wind up Bioion.

Comparison between FYE 2024 and FYE 2025

Our other operating expenses decreased to less than RM0.1 million in FYE 2025 (FYE 2024: RM0.1 million), due to the absence of impairment loss on other investments arising from the winding-up of Bioion in FYE 2025.

(f) Finance costs

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Unwinding of interest on discounting of long-term payables[(1)]	-	-	-	-	-	-	427	80.3
Interest expenses on:								
- Term loans	41	40.2	45	20.9	46	24.7	41	7.7
- Lease liabilities	4	3.9	3	1.4	4	2.2	1	0.2
- Hire purchase payables	56	54.9	54	25.1	54	29.0	63	11.8
- Trade facilities	-	-	77	35.8	43	23.1	-	-
- Bank overdrafts	1	1.0	36	16.8	39	21.0	*	<0.1
	102	**100.0**	**215**	**100.0**	**186**	**100.0**	**532**	**100.0**

** Denotes < RM1,000*

Note:

(1) Arises from the interest charges on the 36 monthly instalment payments for the acquisition of 3 intelligent asset management solutions. The interest charges will be recognised over the payment term of 36 months.

Comparison between FYE 2022 and FYE 2023

Our finance costs increased by RM0.1 million or 100.0%, to RM0.2 million in FYE 2023 (FYE 2022: RM0.1 million), mainly due the increase in interests on trade facilities to RM0.1 million in FYE 2023 (FYE 2022: RM Nil), which resulted from the utilisation of invoice financing for payments to our suppliers and/or subcontractors.

Comparison between FYE 2023 and FYE 2024

Our finance costs for FYE 2024 did not fluctuate significantly from FYE 2023.

Comparison between FYE 2024 and FYE 2025

Our finance costs increased by RM0.3 million or 150.0%, to RM0.5 million in FYE 2025 (FYE 2024: RM0.2 million), mainly due to the unwinding of interest on discounting of long-term payables arising from the acquisition of 3 intangible assets for the intelligent asset management solutions pursuant to MFRS 9 as explained in Note 1 of Section 12.2.3(c).

(g) PBT, PAT, PBT margin and PAT margin

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
PBT (RM'000)	3,368	6,271	9,688	25,636
PBT margin (%)	11.6	15.4	30.3	51.6
PAT (RM'000)	2,332	4,788	6,899	18,978
PAT margin (%)	8.0	11.8	21.6	38.2

Comparison between FYE 2022 and FYE 2023

We recorded an increase in PBT of RM2.9 million or 85.3%, to RM6.3 million in FYE 2023 (FYE 2022: RM3.4 million), and our PBT margin increased from 11.6% in FYE 2022 to 15.4% in FYE 2023. The increase in PBT and PBT margin was mainly due to the higher GP and GP margin recorded, as explained in Section 12.2.3(b).

Correspondingly, our PAT increased by RM2.5 million or 108.7%, to RM4.8 million in FYE 2023 (FYE 2022: RM2.3 million), and our PAT margin increased from 8.0% in FYE 2022 to 11.8% in FYE 2023.

Comparison between FYE 2023 and FYE 2024

We recorded an increase in PBT of RM3.4 million or 54.0%, to RM9.7 million in FYE 2024 (FYE 2023: RM6.3 million), and our PBT margin increased from 15.4% in FYE 2023 to 30.3% in FYE 2024. The increase in PBT and PBT margin was mainly due to the higher GP and GP margin recorded, as explained in Section 12.2.3(b).

Correspondingly, our PAT increased by RM2.1 million or 43.8%, to RM6.9 million in FYE 2024 (FYE 2023: RM4.8 million), and our PAT margin increased from 11.8% in FYE 2023 to 21.6% in FYE 2024.

Comparison between FYE 2024 and FYE 2025

We recorded an increase in PBT of RM15.9 million or 163.9%, to RM25.6 million in FYE 2025 (FYE 2024: RM9.7 million), and our PBT margin increased from 30.3% in FYE 2024 to 51.6% in FYE 2025. The increase in PBT and PBT margin was mainly due to the higher GP and GP margin recorded, as explained in Section 12.2.3(b).

Correspondingly, our PAT increased by RM12.1 million or 175.4%, to RM19.0 million in FYE 2025 (FYE 2024: RM6.9 million), and our PAT margin increased from 21.6% in FYE 2024 to 38.2% in FYE 2025.

(h) Income tax expense

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
Tax expense (RM'000)	1,036	1,483	2,789	6,658
Statutory tax rate (%)	24.0	24.0	24.0	24.0
Effective tax rate (%)[(1)]	30.8	23.6	28.8	26.0

Note:

(1) Calculated based on income tax expense divided by PBT for each financial year.

Comparison between FYE 2022 and FYE 2023

Our income tax expenses increased by RM0.5 million or 50.0%, to RM1.5 million in FYE 2023 (FYE 2022: RM1.0 million), mainly due to the higher PBT recorded in FYE 2023. Our effective tax rate of 23.6% in FYE 2023 did not fluctuate significantly from the statutory tax rate of 24.0%.

In contrast, our effective tax rate in FYE 2022 was 30.8%, which was higher than the statutory tax rate of 24.0%. This was mainly due to certain expenses that were non-deductible for tax reporting purposes, mainly comprising depreciation of property, plant and equipment.

Comparison between FYE 2023 and FYE 2024

Our income tax expenses increased by RM1.3 million or 86.7%, to RM2.8 million in FYE 2024 (FYE 2023: RM1.5 million). This was mainly due to the higher PBT recorded in FYE 2024, coupled with the additional tax expenses arising from tax audit for the years of assessment 2019, 2020, and 2021.

Our effective tax rate for FYE 2024 was 28.8%, which was higher than the statutory tax rate of 24.0% mainly due to the following:

(i) certain expenses that were non-deductible for tax reporting purposes, mainly comprising depreciation of property, plant and equipment, and impairment loss on other investments; and

(ii) underprovision of income tax of RM0.3 million in respect of prior financial years.

Comparison between FYE 2024 and FYE 2025

Our income tax expenses increased by RM3.9 million or 139.3%, to RM6.7 million in FYE 2025 (FYE 2024: RM2.8 million), mainly due to the higher PBT recorded in FYE 2025. Our effective tax rate for FYE 2025 was 26.0%, which was higher than the statutory tax rate of 24.0%, mainly due to certain expenses that were non-deductible for tax reporting purposes mainly comprising the amortisation of intangible assets and the unwinding of interest on discounting of long-term payables.

12.2.4 Review of cash flows

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Net cash (used in)/from operating activities	(1,138)	(5,324)	10,767	7,246
Net cash (used in)/from investing activities	(54)	(944)	483	(2,476)
Net cash (used in)/from financing activities	(576)	4,077	(5,027)	(761)
Net (decrease)/increase in cash and cash equivalents	(1,768)	(2,191)	6,223	4,009
Cash and cash equivalents at the beginning of the financial year	3,102	1,334	(857)	5,365
Effect of exchange rate changes on cash and cash balances	-	-	(1)	-
Cash and cash equivalents at the end of the financial year	**1,334**	**(857)**	**5,365**	**9,374**
Cash and cash equivalents at the end of the financial year				
Cash and bank balances	1,334	755	5,468	9,374
Short-term deposits	374	1,305	391	401
	1,708	2,060	5,859	9,775
Less: Pledged deposits	(374)	(1,305)	(391)	(401)
Less: Bank overdrafts	-	(1,612)	(103)	-
	1,334	**(857)**	**5,365**	**9,374**

As tabulated above, our Group recorded net cash flows used in operating activities of RM1.1 million and RM5.3 million for FYE 2022 and FYE 2023 respectively. As water technology solutions provider, we offer hardware and software solutions to our customers along the water utility supply chain. In order for our Group to provide water management system solutions, supply of IoT devices and instruments, technical support and maintenance services as well as construction of water treatment facilities, we rely on internally generated funds as well as external borrowings such as trade financing from licensed bank for payments to our suppliers and/or subcontractors. Our Group requires flexibility in our working capital as we typically experience slower collection from our customers, which resulted in a timing mismatch between collection from our customers and payment to our suppliers and/or subcontractors.

To further analyse the negative net cash flow from operating activities for FYE 2022 and FYE 2023, the breakdown of cash flows from operating activities for FYE 2022 to 2025 is provided as follows:

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Cash flows from operating activities				
PBT	3,368	6,271	9,688	25,636
Adjustments for:				
Depreciation of property, plant and equipment	719	690	524	485
Depreciation of right-of-use assets	51	58	37	30
Amortisation of intangible asset	-	-	7	693

12. FINANCIAL INFORMATION *(Cont'd)*

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Loss/(Gain) on disposal of property, plant and equipment	-	12	(1)	-
Property, plant and equipment written off	-	-	5	-
Gain on lease termination	-	*	-	(3)
Loss on disposal of other investment	-	-	*	-
Finance costs	102	215	186	532
Interest income	(10)	(18)	(23)	(1,455)
Bad debts written off	-	53	-	-
Gain on bargain purchase	-	-	(4)	-
Impairment loss on other investments	99	61	119	-
Reversal of impairment loss	*	-	-	-
Impairment loss on other receivables	*	-	-	-
Share of results of an associate	-	-	*	173
Net unrealised foreign exchange gain	-	-	*	(1)
Operating profits before changes in working capital	4,329	7,342	10,538	26,090
Changes in working capital:				
Contract assets	2,981	(7,692)	8,955	(1,952)
Inventories	(189)	(1,252)	1,387	(465)
Contract liabilities	171	(117)	363	(88)
Trade and other receivables	(7,446)	(8,968)	(4,647)	(9,000)
Trade and other payables	985	6,470	(4,531)	(1,448)
Net cash generated from/(used in) operations	**831**	**(4,217)**	**12,065**	**13,137**
Income tax paid	(1,877)	(910)	(1,135)	(5,395)
Interest paid	(102)	(215)	(186)	(532)
Interest received	10	18	23	36
Net cash (used in)/from operating activities	**(1,138)**	**(5,324)**	**10,767**	**7,246**

* *Denotes < RM1,000*

As shown above, our Group recorded an increasing operating profit before changes in working capital during FYE 2022 and FYE 2023, which increased from RM4.3 million in FYE 2022 to RM7.3 million in FYE 2023. This demonstrates that our Group's business operations are sustainable and profitable after fulfilling all related operating expenses for the business operations. However, the Group recorded negative operating cash flow positions of RM1.1 million and RM5.3 million for FYE 2022 and FYE 2023, primarily due to the changes in working capital.

In addition, although our Group recorded negative cash and cash equivalents of RM 0.9 million as at 30 April 2023, this was funded mainly through bank overdrafts temporarily, after which our Group had significantly improved collections in FYE 2024.

Premised on the above, our management is of the view that there is no concern with our Group's overall cash flow management for FYE 2022 and FYE 2023. Nonetheless, our management has taken note of its cash flow management in the past and continues to improve and avail more liquidity for working capital use as and when required.

12. FINANCIAL INFORMATION *(Cont'd)*

FYE 2022

Net cash used in operating activities

For FYE 2022, we recorded operating profits before working capital changes of RM4.3 million and operating cash outflow of RM1.1 million after adjusting for the following working capital changes:

(i) decrease in contract assets of RM3.0 million, mainly due to billings to our customers for work performed;

(ii) increase in trade and other receivables of RM7.4 million, mainly due to higher billings to our customers in the last quarter of FYE 2022;

(iii) increase in trade and other payables of RM1.0 million, mainly due to the increase in trade accruals as there were higher accrual of project costs incurred pending the suppliers' invoices in FYE 2022; and

(iv) income tax paid of RM1.9 million despite incurring RM1.0 million tax expenses in FYE 2022. These were excess payment for overestimation of income tax for FYE 2022.

Net cash used in investing activities

For FYE 2022, we recorded a net cash outflow of RM0.1 million for investing activities mainly due to the advances to a related party of RM0.04 million for working capital purposes.

Net cash used in financing activities

For FYE 2022, we recorded a net cash outflow of RM0.6 million for financing activities, mainly due to the following:

(i) repayment of hire purchase obligations amounting to RM0.4 million;

(ii) repayment of term loans amounting to RM0.1 million; and

(iii) repayment of lease liabilities amounting to RM0.1 million.

FYE 2023

Net cash used in operating activities

For FYE 2023, we recorded operating profits before working capital changes of RM7.3 million and operating cash outflow of RM5.3 million after adjusting for the following major working capital changes:

(i) increase in contract assets of RM7.7 million, mainly due to work performed for our ongoing projects prior to their billing milestones;

(ii) increase in inventories of RM1.3 million, comprise mainly inventories-in-transit for a project in relation to the smart meter asset management, replacement and associated works for Serian division for JBALB which required supply and installation of hardware and software;

(iii) increase in trade and other receivables of RM9.0 million, mainly due to the outstanding receivables from a major customer for a project secured in FYE 2023 where we were engaged as a subcontractor for construction of water treatment facilities;

(iv) increase in trade and other payables of RM6.5 million, mainly due to outstanding payables owing to a major supplier in relation to the project as mentioned in note (iii) above, on a back-to-back basis; and

(v) income tax paid of RM0.9 million.

Net cash used in investing activities

For FYE 2023, we recorded a net cash outflow of RM0.9 million for investing activities mainly due to additional deposits pledged amounting to RM0.9 million.

Net cash from financing activities

For FYE 2023, we recorded a net cash inflow of RM4.1 million for financing activities, mainly due to the net effects of the following:

(i) borrowings from trade facilities amounting to RM4.6 million for payments to our suppliers and/or subcontractors;

(ii) repayment of hire purchase obligations amounting to RM0.4 million;

(iii) repayment of term loans amounting to RM0.1 million;

(iv) repayment of lease liabilities amounting to RM0.1 million; and

(v) net advances from directors amounting to RM0.05 million, comprising payment on behalf for administrative expenses.

FYE 2024

Net cash from operating activities

For FYE 2024, we recorded operating profits before working capital changes of RM10.5 million and operating cash inflow of RM10.8 million after adjusting for the following working capital changes:

(i) decrease in contract assets of RM9.0 million, being the eventual billings to our customers for the work performed;

(ii) decrease in inventories of RM1.4 million, mainly due to the completion of the project in relation to the smart meter asset management, replacement and associated works for Serian division for JBALB which required supply and installation of hardware and software;

(iii) increase in trade and other receivables of RM4.6 million, mainly due to higher billings to our customers in the last quarter of FYE 2024;

(iv) decrease in trade and other payables of RM4.5 million, mainly due to the decrease in trade accruals as there were lower accrual of project costs incurred pending the suppliers' invoices in FYE 2024; and

12. FINANCIAL INFORMATION *(Cont'd)*

(v) income tax paid of RM1.1 million.

Net cash from investing activities

For FYE 2024, we recorded a net cash inflow of RM0.5 million from investing activities mainly due to upliftment of pledged deposits amounting to RM0.9 million. This was partially offset by the purchase of unquoted equity securities of Intelli Technology Vietnam amounting to RM0.4 million.

Net cash used in financing activities

For FYE 2024, we recorded a net cash outflow of RM5.0 million for financing activities, mainly due to the net effects of the following:

(i) repayment of trade facilities amounting to RM4.6 million;

(ii) repayment of hire purchase obligations amounting to RM0.4 million;

(iii) repayment of term loans amounting to RM0.1 million;

(iv) net advances from directors amounting to RM0.1 million for working capital purposes; and

(v) repayment of lease liabilities amounting to RM0.04 million.

FYE 2025

Net cash from operating activities

For FYE 2025, we recorded operating profits before working capital changes of RM26.1 million and operating cash inflow of RM7.2 million after adjusting for the following working capital changes:

(i) increase in contract assets of RM2.0 million, due to work performed for the new projects in the construction of water treatment facilities segment prior to the billing milestones;

(ii) increase in trade and other receivables of RM9.0 million, mainly due to higher billings to the customers in the last quarter of FYE 2025;

(iii) decrease in trade and other payables of RM1.4 million, mainly due to the decrease in trade payables resulted from payments made to the suppliers and/or subcontractors;

(iv) income tax paid of RM5.4 million; and

(v) interest paid of RM0.5 million.

Net cash used in investing activities

For FYE 2025, we recorded a net cash outflow of RM2.5 million for investing activities, primarily due to the instalment payments of RM2.4 million for the purchase of intangible assets for the intelligent asset management solutions.

12. FINANCIAL INFORMATION *(Cont'd)*

Net cash used in financing activities

For FYE 2025, we recorded a net cash outflow of RM0.8 million for financing activities, mainly due to the following:

(i) repayment of hire purchase obligations of RM0.5 million;

(ii) net repayment to directors amounting to RM0.1 million;

(iii) repayment of term loans amounting to RM0.1 million; and

(iv) repayment of lease liabilities amounting to RM0.03 million.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.3 LIQUIDITY AND CAPITAL RESOURCES

12.3.1 Working capital

We finance our operations with cash generated from operations, supplier's credit, various credit facilities extended by financial institutions as well as existing cash and bank balances. Our credit facilities from financial institutions comprise term loans, trade facilities, bank overdrafts and hire purchase payables.

The decision to utilise either internally generated funds or borrowings for our business operations depends on, amongst others, our cash and bank balances, expected cash inflows, future working capital requirements, future capital expenditure requirements and interest rates on borrowings. We carefully consider our cash position and ability to obtain further financing before making significant capital commitments.

Our Board is confident that our working capital will be sufficient for our existing and foreseeable requirements for a period of 12 months from the date of this Prospectus, taking into consideration the following:

(a) our cash and cash equivalents of approximately RM9.5 million as at LPD;

(b) our expected future cash flows from operations taking into account on unbilled order book of RM35.3 million as at LPD, out of which RM21.3 million is expected to be recognised by FYE 2026;

(c) our total banking facilities limit as at LPD of RM9.6 million (excluding hire purchase), of which RM1.1 million have been utilised;

(d) the proceeds from the Public Issue of RM43.6 million of which RM22.2 million has been earmarked for our general working capital; and

(e) our pro forma gearing level of 0.01 times, based on our pro forma statements of financial position as at 30 April 2025 after the Acquisitions, Public Issue and utilisation of proceeds.

At this juncture, we do not foresee any circumstances which may materially affect our liquidity. Our Group has not encountered any major disputes with our debtors. Our finance and accounting team work closely with our sales and marketing team for the collection of outstanding balances on a monthly basis. This measure has proven to be effective while maintaining a cordial relationship with our customers.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.4 BORROWINGS AND INDEBTEDNESS

As at 30 April 2025, our Group's total outstanding borrowings and indebtedness stood at RM1.0 million (excluding lease liabilities arising from right-of-use assets of RM2,000), details of which are set out below:

	Purposes	Interest rate % per annum	Tenure	As at 30 April 2025 RM'000
Current				
Term loans	To finance property, plant and equipment as well as keyman insurance	4.37 – 6.76	7 to 20 years	123
Hire purchases	To finance motor vehicles	2.13 – 3.58	5 to 7 years	111
	Total current borrowings			**234**
Non-current				
Term loans	To finance property, plant and equipment as well as keyman insurance	4.37 – 6.76	7 to 20 years	659
Hire purchases	To finance motor vehicles	2.13 – 3.58	5 to 7 years	125
	Total non-current borrowings			**784**
	Total borrowings			**1,018**

	Pro forma gearing (times)
After Acquisitions but before Public Issue and utilisation of proceeds[(1)]	0.03
After Acquisitions, Public Issue and utilisation of proceeds[(2)]	0.01

Notes:

(1) Computed based on our pro forma total equity of RM38.9 million after Acquisitions but before the Public Issue and utilisation of proceeds.

(2) Computed based on our pro forma total equity of RM78.4 million after Acquisitions, Public Issue and utilisation of proceeds.

12. FINANCIAL INFORMATION *(Cont'd)*

Separately, we have also recognised the following lease liabilities:

	Purpose	Tenure	As at 30 April 2025
			RM'000
Lease liabilities payable within 1 year	Rental of offices	Initial lease of 2 years with option to renew for another 2 years	2
Lease liabilities payable after 1 year	Rental of offices	Initial lease of 2 years with option to renew for another 2 years	-
			2

Our borrowings including term loans, trade facilities and bank overdrafts are secured by the following:

(i) absolute assignment of life policy of certain directors of our Group;

(ii) personal guarantee by certain directors of our Group;

(iii) joint and/or several guarantee by directors of our Group;

(iv) deed of assignment of contract proceeds;

(v) pledge of first party fixed deposits receipt together with memorandum of legal charge over deposit and letter of set-off as disclosed in Note 14 of the Accountants' Report; and

(vi) legal assignment over the buildings of certain directors of the Group and their family members.

As at LPD, all of our borrowings are interest bearing and denominated in RM. We have not defaulted on payments of principal sums and/or interests in respect of any borrowings throughout FYE 2022 to 2025 and up to LPD. We also do not encounter any seasonality in our borrowings trend. Our Group is not in breach of any terms, conditions or covenants associated with credit arrangements or bank loans, which can materially affect our financial position and results or business operations or the investments by holders of our securities. During FYE 2022 to 2025, we did not experience any claw back or reduction in the facilities limit granted to us by our lenders.

As at LPD, our Group's Promoters and substantial shareholders, Ts. Wee Khiam Hui, Bong Joon Fook and Charlene Bong Myn Ee have provided personal guarantees for the banking granted to our Group by UOB. In addition, the directors of our Group and their family members have also provided their personal properties as securities for the banking facilities granted to our Group.

In conjunction with our Listing, we have applied to UOB to obtain a conditional consent for the release and/or discharge of the Personal Guarantees and Third-Party Securities by substituting the same with a corporate guarantee from our Company and/or other securities from our Group acceptable to UOB.

As at LPD, we have received conditional approval from UOB for the release and discharge of the Personal Guarantees and Third-Party Securities. The approval is subject to the successful Listing of our Company on the ACE Market.

12.5 TYPES OF FINANCIAL INSTRUMENTS USED, TREASURY POLICIES AND OBJECTIVES

Save as disclosed in Section 12.4, we do not utilise any other financial instruments. We occasionally receive proceeds in USD in respect of our foreign sales in our foreign currency accounts.

We finance our operations mainly through cash generated from our operations, credit extended by trade payables as well as external sources of funds which mainly comprise borrowings. Save for our hire purchases which carry fixed interest rates, other borrowings bear variable interest rates based on the bank's cost of funds plus a rate which varies depending on the different types of bank facilities.

12.6 MATERIAL CAPITAL COMMITMENTS

As at LPD, save for the acquisition of 4 intelligent asset management solutions amounting to RM13.4 million (including sales and service tax), which have been approved and contracted for, we do not have any other material capital commitments. The acquisition of intelligent asset management solutions were completed in October and November 2024 upon the successful transfer of the ownership to and registration of copyright for the 4 intelligent management solutions by Exxor Technologies, as set out in Section 6.8.3. The purchase consideration of RM0.2 million for Integrated Smart Road Maintenance and Management System has been paid in full, whilst the remaining RM13.2 million purchase consideration is to be settled on a deferred monthly basis over 36 months, amounting to a monthly repayment of RM0.37 million via our internally generated funds. As at LPD, the balance payable for the said acquisition was RM9.6 million.

12.7 MATERIAL LITIGATION AND CONTINGENT LIABILITIES

(a) Material litigation

As at LPD, we are not engaged in any material litigation, claims and/or arbitration, either as plaintiff or defendant, which has a material effect on our financial position, and there are no proceedings pending or threatened, or of any fact likely to give rise to any proceedings, which might materially and adversely affect our financial position or business.

(b) Contingent liabilities

As at LPD, there are no material contingent liabilities incurred by our Group, which upon becoming enforceable, may have a material effect on our Group's business, financial results and financial position.

12. FINANCIAL INFORMATION *(Cont'd)*

12.8 KEY FINANCIAL RATIOS

The key financial ratios of our Group for FYE 2022 to 2025 are as follows:

	FYE 2022	FYE 2023	FYE 2024	FYE 2025
Trade receivables turnover (days)[1]	80	125	253	226
Trade payables turnover (days)[2]	131	112	237	184
Inventory turnover (days)[3]	N/A	N/A	N/A	N/A
Current ratio (times)[4]	1.7	1.6	2.0	2.4
Gearing ratio (times)[5]	0.2	0.5	0.1	0.03

Notes:

(1) Computed based on average trade receivables (excluding retention sum) as at the end of each financial year divided by revenue for the respective financial years, multiplied by 365 days for FYE 2022, FYE 2023, and FYE 2025, and 366 days for FYE 2024.

(2) Computed based on average trade payables (excluding retention sum and trade accruals) as at the end of each financial year divided by cost of sales for the respective financial years, multiplied by 365 days for FYE 2022, FYE 2023, and FYE 2025, and 366 days for FYE 2024.

(3) N/A – Our Group's inventories comprise water meters, fittings and consumables that were used in the provision of water technology solutions. Our Group generally maintains a minimal inventory level, and the level of inventory depends on the requirement for ongoing and upcoming projects. The value of our inventories at the end of any FYE may not correspond to our cost of sales as each projects have specific project costing. In this regard, we do not analyse inventory turnover period. Further, our inventories balance is not material and accounted for only 0.8%, 3.4%, 0.1%, and 1.0% of our current assets as at 30 April FYE 2022 to 2025 respectively.

(4) Computed based on current assets divided by current liabilities as at the end of the respective financial years.

(5) Computed based on total interest-bearing loans and borrowings (excluding lease liabilities) divided by total equity as at the end of the respective financial years.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.8.1 Trade receivables turnover

Our trade receivables turnover (days) for FYE 2022 to 2025 is stated as below:

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Opening trade receivables	2,890	9,883	17,885	26,262
Closing trade receivables	9,883	17,885	26,262	35,286
Average trade receivables	6,387	13,884	22,074	30,774
Revenue	29,117	40,617	31,950	49,639
Trade receivables turnover (days)	80	125	253	226

The normal credit term granted by our Group to our customers ranges from 30 to 90 days from the date of invoice. Our credit terms to customers are assessed and approved on a case-by-case basis taking into consideration various factors such as relationship with customers, customers' payment history, credit worthiness and the quantum of amount owing. We use ageing analysis to monitor the credit quality of our trade receivables.

Our trade receivables turnover days for FYE 2022, 2023, 2024 and 2025 was 80 days, 125 days, 253 days and 226 days respectively. Our trade receivables turnover days increased to 125 days in FYE 2023 (FYE 2022: 80 days). This was mainly due to amount owing from a major customer in FYE 2023 where we were engaged as a subcontractor for construction of water treatment facilities for JBALB, whereby the payment will be made to our Group upon our customer receiving payment from JBALB. The receivables in relation to the said project amounted to RM11.7 million was fully settled as at LPD.

Our trade receivables turnover days increased to 253 days in FYE 2024 (FYE 2023: 125 days), mainly due to the following:

(i) amount of RM9.8 million owing from a major customer which was brought forward from FYE 2023, pertaining to the construction of water treatment facilities for JBALB in FYE 2023 remained outstanding as at 30 April 2024. The said outstanding receivables was fully settled as at LPD; and

(ii) billings to JBALB amounting to RM5.8 million and billings to 3 of our customers from the intelligent asset management solutions segment, collectively amounting to RM6.5 million in the last quarter of FYE 2024.

Our trade receivables turnover days for FYE 2025 was 226 days (FYE 2024: 253 days), which is not within the credit term granted by our Group, mainly due to the following:

(i) higher billings in the last quarter of FYE 2025, amounting to RM19.0 million;

(ii) amount of RM2.2 million owing from a customer from the intelligent asset management solutions segment, which was brought forward from FYE 2024, remained outstanding as at 30 April 2025. The said outstanding receivables as at LPD amounted to RM0.5 million; and

(iii) slower collection from 3 of our customers from the intelligent asset management solutions segment, collectively amounted to RM5.7 million. The said outstanding receivables as at LPD amounted to RM3.3 million.

12. FINANCIAL INFORMATION *(Cont'd)*

In consideration of our increasing trade receivable turnover period, our Group is taking reasonable steps to improve the collection process, including the implementation of a revised collection schedule for the relevant customers. In addition, our Group plans to accelerate the upcoming collections, closely monitoring the recoverability of the trade receivables by following up with customers via phone calls and reminder emails.

Premised on the above and in view that most of the trade receivables causing the increase in turnover period have been collected, our management is of the view that there is no concern on our Group's trade receivables turnover period from FYE 2022 to 2025.

The ageing analysis of our trade receivables (excluding retention sum) as at 30 April 2025 is as follows:

	Trade receivables as at 30 April 2025		**Collection from 1 May 2025 up to LPD**	**Balance as at LPD**
	RM'000	**Percentage of trade receivables**	**RM'000**	**RM'000**
	(a)	**(a)/total of (a)**	**(b)**	**(c) = (a)-(b)**
Neither past due nor impaired	28,041	79.5	6,866	21,175
Past due but not impaired:				
- less than 30 days	1,889	5.3	618	1,271
- 31 to 60 days	2,396	6.8	1,109	1,287
- 61 to 90 days	2,960	8.4	1,786	1,174
- more than 90 days	-	-	-	-
	7,245	20.5	3,513	3,732
	35,286	**100.0**	**10,379**	**24,907**

As at 30 April 2025, our total trade receivables stood at RM35.3 million, with RM7.2 million exceeding the normal credit period.

As at LPD, RM10.4 million or 29.4% of our trade receivables as at 30 April 2025 have been collected. The remaining balance of RM24.9 million have yet to be collected as at LPD, of which RM3.7 million have exceeded the credit period, which comprised the following:

(i) RM2.4 million receivables from 5 customers in which our Group have agreed upon proposed payment schedules with the said customers; and

(ii) RM1.3 million receivables from 3 customers in which our Group are closely monitoring and following up with.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.8.2 Trade payables turnover

Our trade payables turnover (days) for FYE 2022 to 2025 is stated as below:

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Opening trade payables	9,655	7,318	12,030	12,829
Closing trade payables	7,318	12,030	12,829	7,271
Average trade payables	8,487	9,674	12,430	10,050
Cost of sales	23,639	31,559	19,176	19,956
Trade payables turnover (days)	131	112	237	184

The normal credit term granted to us by our suppliers and/or subcontractors range from 30 to 90 days from the date of invoice. Our trade payables turnover days for FYE 2022, 2023, 2024, and 2025 was 131 days, 112 days, 237, and 184 days respectively.

Our trade payables turnover days for FYE 2022 was 131 days, which exceeded the normal credit terms granted by our suppliers and/or subcontractors. This was mainly due to the long outstanding payables of RM4.1 million owing to Hytran Sdn Bhd and Abbaco Controls Sdn Bhd mainly in relation to the Intelli Water System implementation project for JBALB. The said amount was fully settled as at LPD.

Our trade payables turnover days for FYE 2023 was 112 days, which exceeded the normal credit terms granted by our suppliers and/or subcontractors. This was mainly due to the long outstanding payables of RM8.0 million owing to Titisan Mutiara Tarat Sdn Bhd in relation to the provision of construction of water treatment facilities for JBALB as these trade payables would be settled upon our Group receiving the corresponding payments from our customer, in line with the operation of the water treatment facilities. The said amount was fully settled as at LPD.

Our trade payables turnover days for FYE 2024 was 237 days, which exceeded the normal credit terms granted by our suppliers and/or subcontractors. This was mainly due to the following:

(i) long outstanding payables of RM6.0 million owing to Titisan Mutiara Tarat Sdn Bhd in relation to the construction of water treatment facilities for JBALB which was brought forward from FYE 2023. The said amount was fully settled as at LPD;

(ii) outstanding payables of RM1.2 million owing to Hytran Sdn Bhd mainly due to billings received in the last quarter of FYE 2024. The said amount was fully settled as at LPD; and

(iii) long outstanding payables of RM1.4 million owing to Hydrateq PLT in relation to the supply and installation of meter accessory and pipe fittings, which was fully settled as at LPD.

Our trade payables turnover days for FYE 2025 decreased to 184 days (FYE 2024: 237 days). However, the trade payables turnover days for FYE 2025 still exceeded the normal credit terms granted by our suppliers and/or subcontractors. This was mainly due to the higher billings from the suppliers in the last quarter of FYE 2025, amounting to RM4.1 million.

12. FINANCIAL INFORMATION *(Cont'd)*

Our Group's suppliers and/or subcontractors have in practice allowed a longer period for payment in view of the back-to-back arrangements with our Group's receivables in the same project, and considering our Group's established relationship with them, the payment history and credentials of our Group. Our Group has not encountered any issue with the suppliers and/or subcontractors despite the slower payment to them. In addition, our Group has fully settled almost all of the outstanding payables (as mentioned above) to the suppliers and/or subcontractors as at LPD. As such, our management is of the view that there is no concern on our Group's trade payables turnover period from FYE 2022 to 2025.

The ageing analysis of our trade payables (excluding retention sum and trade accruals) as at 30 April 2025 is as follows:

	Trade payables as at 30 April 2025		**Payment from 1 May 2025 up to LPD**	**Balance as at LPD**
	RM'000	**Percentage of trade payables**	**RM'000**	**RM'000**
	(a)	**(a)/total of (a)**	**(b)**	**(c) = (a)-(b)**
Within credit period	5,379	74.0	2,668	2,711
Exceeding credit period:				
- 1 to 30 days	997	13.7	464	533
- 31 to 60 days	242	3.3	224	18
- More than 60 days	653	9.0	653	-
	1,892	26.0	1,341	551
	7,271	**100.0**	**4,009**	**3,262**

As at 30 April 2025, our total trade payables stood at RM7.3 million, with RM1.9 million exceeding the normal credit period.

As at LPD, RM4.0 million or 55.1% of our trade payables as at 30 April 2025 have been paid. There is a remaining balance of RM3.3 million as at LPD, out of which RM0.6 million have exceeded the normal credit period, comprising mainly an amount owing to a major supplier and/or subcontractor, which will be paid upon receiving collections from our customers, due to back-to-back arrangement.

As at LPD, there are no disputes in respect of our trade payables and there is no legal action initiated by our suppliers and/or subcontractors to demand for payment from us.

12.8.3 Inventory turnover

Our inventories comprise water meters, fittings and consumables that were used in the provision of our water technology solutions. We purchase the inventories required for the implementation of projects and these inventories are typically shipped directly to the respective projects' sites for installation. As such, our inventories predominantly comprise inventories-in-transit, whereby we will transfer the ownership of such inventories upon project delivery. As such, we generally maintain a minimal inventory level. Our inventory balances as at 30 April 2022, 2023, 2024, and 2025 are RM0.2 million, RM1.4 million (mainly inventories in-transit), RM0.1 million and RM0.5 million respectively. In this regard, we do not analyse inventory turnover.

12. FINANCIAL INFORMATION *(Cont'd)*

12.8.4 Current ratio

Our current ratio throughout FYE 2022 to 2025 is as follows:

	Audited			
	As at 30 April			
	2022	**2023**	**2024**	**2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Current assets	24,860	42,701	38,480	53,773
Current liabilities	14,605	27,401	19,427	21,984
Net current assets	**10,255**	**15,300**	**19,053**	**31,789**
Current ratio (times)	1.7	1.6	2.0	2.4

Our current ratios range between 1.6 times to 2.4 times for FYE 2022 to 2025. This indicates that our Group is capable of meeting short-term obligations as our current assets, such as trade receivables, which can be readily converted to cash, together with our cash and cash equivalents, are enough to meet our current liabilities.

Our current ratio increased to 2.0 times as at 30 April 2024 (as at 30 April 2023: 1.6 times), mainly due to the decrease in loans and borrowings, largely attributable to the scheduled repayment of trade facilities amounting to RM4.6 million during FYE 2024.

Our current ratio further increased to 2.4 times as at 30 April 2025 (as at 30 April 2024: 2.0 times), mainly due to the increase in trade receivables, largely attributable to the higher billings in the last quarter of FYE 2025.

12.8.5 Gearing ratio

Our gearing ratio throughout FYE 2022 to 2025 is as follows:

	Audited			
	As at 30 April			
	2022	**2023**	**2024**	**2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Total borrowings (excluding lease liabilities)	2,600	8,302	1,713	1,018
Total equity	10,861	15,649	19,925	38,903
Gearing ratio (times)	0.2	0.5	0.1	0.03

Our gearing ratio ranges from 0.03 times to 0.5 times for FYE 2022 to 2025.

We recorded a higher gearing ratio of 0.5 times as at 30 April 2023 as compared to 0.2 times as at 30 April 2022, mainly due to the increase in trade facilities in FYE 2023 for payments to our suppliers and/or subcontractors.

Our gearing ratio decreased to 0.1 times as at 30 April 2024 as compared to 0.5 times as at 30 April 2023, mainly due to scheduled repayment of borrowings, coupled with the higher total equity arising from the net profits recorded during FYE 2024.

Our gearing ratio further decreased to 0.03 times as at 30 April 2025 as compared to 0.1 times as at 30 April 2024, mainly due to the higher total equity arising from the net profits recorded during FYE 2025.

12. FINANCIAL INFORMATION *(Cont'd)*

12.9 IMPACT OF GOVERNMENT, ECONOMIC, FISCAL OR MONETARY POLICIES

There were no government, economic, fiscal or monetary policies or factors which have materially affected our financial performance during FYE 2022 to 2025. There is no assurance that our financial performance will not be adversely affected by the impact of further changes in government, economic, fiscal or monetary policies or factors moving forward.

Risks relating to government, economic, fiscal or monetary policies or factors which may adversely and materially affect our operations are set out in Section 9.

12.10 IMPACT OF INFLATION

During FYE 2022 to 2025, our financial performance was not materially affected by the impact of inflation. However, there is no assurance that our financial performance will not be adversely affected by the impact of inflation moving forward. Any significant increase in our costs of sales in the future may adversely affect our operations and performance if we are unable to pass on the higher costs to our customers through an increase in selling prices.

12.11 IMPACT OF FOREIGN EXCHANGE RATES, INTEREST RATES AND/OR COMMODITY PRICES ON OUR GROUP'S OPERATIONS

(a) Impact of foreign exchange rates

Our proportion of sales and purchases denominated in local and foreign currencies are as follows:

	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Sales denominated in:								
RM	29,117	100.0	40,617	100.0	31,378	98.2	49,639	100.0
USD	-	-	-	-	572	1.8	-	-
	29,117	**100.0**	**40,617**	**100.0**	**31,950**	**100.0**	**49,639**	**100.0**

	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Purchases denominated in:								
RM	22,389	97.2	31,449	98.4	16,946	99.8	18,842	99.9
EUR	636	2.8	-	-	-	-	-	-
USD	-	-	505	1.6	39	0.2	28	0.1
	23,025	**100.0**	**31,954**	**100.0**	**16,985**	**100.0**	**18,870**	**100.0**

Our Group's gain or loss from foreign exchange fluctuations for FYE 2022 to 2025 are as follows:

	Audited			
	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Net realised loss on foreign exchange	-	-	17	16
Net unrealised gain on foreign exchange	-	-	*	(1)
Net loss	-	-	17	15

** Denotes < RM1,000*

Based on the table above, our Group has not been materially impacted by the foreign exchange fluctuations.

(b) Impact of interest rates

Our exposure to changes in interest rate risk relates primarily to our loans and borrowings.

A sensitivity analysis performed on our Group based on the outstanding floating rate of our loans and borrowings as at 30 April 2025 indicates that our PAT for FYE 2025 would increase or decrease by approximately RM6,000 as a result of increase or decrease in interest rates by 100 basis points on these borrowings.

Our financial results for FYE 2022 to 2025 were not materially affected by fluctuations in interest rates.

(c) Impact of commodity prices

Due to the nature of our business, we are not affected by fluctuations in commodity prices.

12.12 ORDER BOOK

Details of our Group's unbilled order book as at LPD and the revenue recognition progressively up to FYE 2031 based on expected progress are as follows:

	Unbilled order book as at LPD	**Expected revenue recognition**		
		FYE 2026	**FYE 2027**	**FYE 2028 to 2031**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Water technology solutions	**18,920**	**8,227**	**4,320**	**6,373**
- Recurring	12,973	2,280	4,320	6,373
- Non-recurring	5,947	5,947	-	-
Intelligent asset management solutions	**16,422**	**13,106**	**784**	**2,532**
- Recurring	3,839	523	784	2,532
- Non-recurring	12,583	12,583	-	-
	35,342	**21,333**	**5,104**	**8,905**

The above unbilled order book relates to the contract value of projects which are on-going less revenue recognised up to LPD. This unbilled order book will be recognised progressively over the next 6 financial years based on the expected progress of each project.

As at LPD, the unbilled order book secured with JBALB amounted to RM18.9 million (through other customers where we acted as a subcontractor). Recognition of the unbilled order book related to JBALB is scheduled as follows: RM8.2 million in FYE 2026, RM4.3 million in FYE 2027, RM2.6 million in FYE 2028, RM2.0 million in FYE 2029, RM1.2 million in FYE 2030, and RM0.6 million in FYE 2031.

As at LPD, we do not have any unbilled order book contributed by our related party.

12. FINANCIAL INFORMATION *(Cont'd)*

12.13 DIRECTORS' STATEMENT ON OUR GROUP'S FINANCIAL PERFORMANCE

Our Board is of the opinion that:

(a) our revenue will remain sustainable with an upward growth trend, in line with positive outlook of the water management industry and intelligent asset management solutions industry as set out in the IMR Report in Section 8;

(b) our liquidity will improve subsequent to the Public Issue, given the additional funds to be raised for our Group to carry out our future plans and strategies as stated in Section 7.15; and

(c) our capital resources will strengthen, considering the proceeds to be raised from the Public Issue as well as internally generated funds. We may consider debt funding for our business expansion should the need arise.

In addition to the above, our Board confirms that there are no circumstances which would result in a significant decline in our revenue and GP margins or know of any factors that are likely to have a material impact on our liquidity, revenue or profitability.

12.14 TREND INFORMATION

As at LPD, after all reasonable enquiries, our Board confirms that our operations have not been and are not expected to be affected by any of the following:

(a) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material impact on our Group's financial performance, position and operations other than those discussed in Sections 7, 8, 9 and 12.2;

(b) material commitments for capital expenditure as disclosed in Section 12.6;

(c) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group save as discussed in Sections 7.12 and 9;

(d) known trends, demands, commitments, events or uncertainties that have resulted in a substantial increase in our Group's revenue save for those that had been discussed in Sections 12.2 and 12.11; and

(e) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our Group's historical combined financial statements not necessarily indicative of the future financial performance and position other than those discussed in Sections 12.2, 12.9 and 12.11.

Based on the above, our Board is optimistic about the future prospects of our Group given the long term positive outlook of the water management industry and intelligent asset management solutions industry in Malaysia as set out in the IMR Report in Section 8, our Group's competitive strengths set out in Section 7.14 and our Group's intention to implement the future plans and strategies as set out in Section 7.15.

12. FINANCIAL INFORMATION *(Cont'd)*

12.15 DIVIDEND POLICY

Our Company presently does not have any formal dividend policy, and the declaration of dividends are subject to the discretion of our Board. It is our intention to pay dividends to shareholders in the future, however, such payments will depend upon several factors, including our Group's financial performance, capital expenditure requirements and any other factors considered relevant by our Board.

As our Company is an investment holding company, our income and therefore our ability to pay dividends is dependent upon the dividends we receive from our subsidiaries, present or future. Our subsidiaries will require its financiers' consent (if any) as set out in the respective facility agreements to pay dividends to our Company. Save for compliance with the solvency requirement under the Act, which is applicable to all Malaysian companies, there are no legal, financial, or economic restrictions on the ability of our existing subsidiaries to transfer funds in the form of cash dividends, loans or advances to us.

During FYE 2022 to 2025 and up to LPD, we have declared and paid the following dividends:

	FYE 2022	**FYE 2023**	**FYE 2024**	**FYE 2025**	**1 May 2025 up to LPD**
	RM'000	**RM'000**	**RM'000**	**RM'000**	**RM'000**
Dividends declared and paid	-	-	2,627	-	-

There was a single-tier interim dividend of RM2.6 million declared with respect to FYE 2024, which was paid on 28 December 2023.

There were no further dividends declared and/or paid up to LPD. Further to the above, we do not intend to declare or pay any dividends from LPD up to our Listing.

You should take note that this dividend policy merely describes our current intention and shall not constitute legally binding statements in respect of our future dividends that are subject to our Board's discretion.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.16 CAPITALISATION AND INDEBTEDNESS

The table below summarises our capitalisation and indebtedness:

(a) Based on latest combined unaudited financial information of our Group as at 8 September 2025; and

(b) After adjusting for the effects of the Public Issue and utilisation of proceeds.

	I	II	III
	Unaudited		
	As at 8 September 2025	**After I and Public Issue**	**After II and utilisation of proceeds**
	RM'000	**RM'000**	**RM'000**
Indebtedness			
Current			
Secured and guaranteed			
Term loans	78	78	78
Unsecured and unguaranteed			
Lease liabilities	22	22	22
Non-current			
Secured and guaranteed			
Term loans	67	67	67
Unsecured and unguaranteed			
Lease liabilities	19	19	19
Total indebtedness	**186**	**186**	**186**
Total indebtedness (excluding lease liabilities)	**145**	**145**	**145**
Equity			
Share capital	19,562	63,122	61,058
Total capitalisation	**19,562**	**63,122**	**61,058**
Total capitalisation and indebtedness	**19,748**	**63,308**	**61,244**
Gearing ratio (times)[1]	0.01	[2]-	[2]-

Notes:

[1] Calculated based on total indebtedness (excluding lease liabilities) divided by total capitalisation.

[2] Negligible.

13. ACCOUNTANTS' REPORT

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17 September 2025

The Board of Directors
Insights Analytics Berhad
D272, D273 & D274, 1st Floor Block D
ICOM Square
Jalan Pending
93450 Kuching
Sarawak

Dear Sirs,

Reporting Accountants' opinion on the Combined Financial Statements contained in the Accountants' Report of Insights Analytics Berhad ("IAB" or the "Company")

Opinion

We have audited the accompanying combined financial statements of the Company and its combining entities (collectively known as the "Group") as detailed in Note 2 to the combined financial statements, which comprise the combined statements of financial position as at 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025, the combined statements of comprehensive income, combined statements of changes in equity and combined statements of cash flows for the financial years ended ("FYE(s)") 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025, and notes to the combined financial statements, including material accounting policy information, as set out on pages 6 to 81.

In our opinion, the accompanying combined financial statements contained in the Accountants' Report of the Company gives a true and fair view of the financial positions of the Group as at 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025, and of its financial performance and its cash flows for the FYEs 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025 in accordance with the Malaysian Financial Reporting Standards and International Financial Reporting Standards as well as Chapter 10, Part II Division 1: Equity of the Prospectus Guidelines as issued by the Securities Commission Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Reporting Accountants' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Baker Tilly Monteiro Heng PLT trading as Baker Tilly is a member of the global network of Baker Tilly International Ltd., the members of which are separate and independent legal entities.

INSIGHTS ANALYTICS BERHAD
(Incorporated in Malaysia)

Independence and Other Ethical Responsibilities

We are independent of the Group in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Responsibilities of the Directors for the Combined Financial Statements

The directors of the Company are responsible for the preparation of the combined financial statements contained in the Accountants' Report of the Company, so as to give a true and fair view in accordance with the Malaysian Financial Reporting Standards and the International Financial Reporting Standards. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of the combined financial statements of the Group that are free from material misstatement, whether due to fraud or error.

In preparing the combined financial statements of the Group, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements

Our objectives are to obtain reasonable assurance about whether the combined financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a Reporting Accountants' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these combined financial statements.

bakertilly

INSIGHTS ANALYTICS BERHAD
(Incorporated in Malaysia)

Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements (continued)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the combined financial statements of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Reporting Accountants' report to the related disclosures in the combined financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Reporting Accountants' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- evaluate the overall presentation, structure and content of the combined financial statements of the Group, including the disclosures, and whether the combined financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purpose of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

13. ACCOUNTANTS' REPORT *(Cont'd)*

INSIGHTS ANALYTICS BERHAD
(Incorporated in Malaysia)

Other Matter

This report is made solely to the Company and has been prepared solely to comply with the Prospectus Guidelines issued by the Securities Commission Malaysia for inclusion in the Prospectus of the Company in connection with the listing of and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad and should not be relied upon any other purpose. We do not assume responsibility to any other person for the content of this report.

Baker Tilly Monteiro Heng PLT
201906000600 (LLP0019411-LCA) & AF 0117
Chartered Accountants

Paul Tan Hong
No. 03459/11/2025 J
Chartered Accountant

Kuala Lumpur

Date: 17 September 2025

13. ACCOUNTANTS' REPORT *(Cont'd)*

INSIGHTS ANALYTICS BERHAD
Accountants' Report

STATEMENT BY DIRECTORS

We, **WEE KHIAM HUI** and **BONG JOON FOOK**, being two of the directors of INSIGHTS ANALYTICS BERHAD, do hereby state that in the opinion of the directors, the accompanying combined financial statements are drawn up in accordance with the Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Company as at 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025 and of its financial performance and cash flows for the financial years ended 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025.

Signed on behalf of the Board of Directors in accordance with a resolution of the directors:

.....
WEE KHIAM HUI
Director

.....
BONG JOON FOOK
Director

Kuching, Sarawak

Date: 17 SEP 2025

COMBINED STATEMENTS OF FINANCIAL POSITION

		As at 30 April			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
ASSETS					
Non-current assets					
Property, plant and equipment	5	2,637	1,946	1,442	1,042
Right-of-use assets	6	71	2	53	2
Intangible asset	7	-	-	-	13,175
Investment in an associate	8	-	-	432	259
Other investments	9	180	119	-	-
Deferred tax assets	18	-	-	84	-
Total non-current assets		**2,888**	**2,067**	**2,011**	**14,478**
Current assets					
Inventories	10	189	1,441	54	519
Trade and other receivables	11	19,022	27,940	30,199	39,202
Contract assets	12	3,568	11,260	2,305	4,257
Other investments	9	1	-	-	-
Cash and short-term deposits	13	1,708	2,060	5,859	9,775
Current tax assets		372	-	63	20
Total current assets		**24,860**	**42,701**	**38,480**	**53,773**
TOTAL ASSETS		**27,748**	**44,768**	**40,491**	**68,251**
EQUITY AND LIABILITIES					
Equity attributable to owners of the Company					
Invested equity	14	1,000	1,000	1,000	1,000
Retained earnings		9,861	14,649	18,941	37,937
		10,861	15,649	19,941	38,937
Non-controlling interests		-	-	(16)	(34)
TOTAL EQUITY		**10,861**	**15,649**	**19,925**	**38,903**

COMBINED STATEMENTS OF FINANCIAL POSITION (CONTINUED)

		As at 30 April			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Non-current liabilities					
Loans and borrowings	15	2,179	1,678	1,133	784
Lease liabilities	16	11	-	6	-
Other payables	17	-	-	-	6,279
Deferred tax liabilities	18	92	40	-	301
Total non-current liabilities		**2,282**	**1,718**	**1,139**	**7,364**
Current liabilities					
Loans and borrowings	15	421	6,624	580	234
Lease liabilities	16	62	2	50	2
Trade and other payables	17	13,951	20,468	16,286	18,491
Contract liabilities	12	171	54	417	328
Current tax liabilities		-	253	2,094	2,929
Total current liabilities		**14,605**	**27,401**	**19,427**	**21,984**
TOTAL LIABILITIES		**16,887**	**29,119**	**20,566**	**29,348**
TOTAL EQUITY AND LIABILITIES		**27,748**	**44,768**	**40,491**	**68,251**

The accompanying notes form an integral part of these combined financial statements.

COMBINED STATEMENTS OF COMPREHENSIVE INCOME

		FYE 30 April			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Revenue	19	29,117	40,617	31,950	49,639
Cost of sales		(23,639)	(31,559)	(19,176)	(19,956)
Gross profit		**5,478**	**9,058**	**12,774**	**29,683**
Other income	20	75	21	33	1,468
Administrative expenses		(1,984)	(2,467)	(2,792)	(4,794)
Other operating expenses		(99)	(126)	(141)	(16)
Operating profit		**3,470**	**6,486**	**9,874**	**26,341**
Finance costs	21	(102)	(215)	(186)	(532)
Share of results of an associate, net of tax		-	-	*	(173)
Profit before tax	22	**3,368**	**6,271**	**9,688**	**25,636**
Income tax expense	24	(1,036)	(1,483)	(2,789)	(6,658)
Profit for the financial year, representing total comprehensive income for the financial year		**2,332**	**4,788**	**6,899**	**18,978**
Profit attributable to:					
Owners of the Company		2,332	4,788	6,919	18,996
Non-controlling interests		-	-	(20)	(18)
		2,332	4,788	6,899	18,978
Total comprehensive income attributable to:					
Owners of the Company		2,332	4,788	6,919	18,996
Non-controlling interests		-	-	(20)	(18)
		2,332	4,788	6,899	18,978
Earnings per share					
Basic (sen)	25	233.20	478.80	691.90	1,899.60

** Denotes <RM1,000*

The accompanying notes form an integral part of these combined financial statements.

COMBINED STATEMENTS OF CHANGES IN EQUITY

	|----- Attributable to owners of the Company -----|		
	Invested equity RM'000	Retained earnings RM'000	Total equity RM'000
At 1 May 2021	**1,000**	**7,529**	**8,529**
Total comprehensive income for the financial year			
Profit for the financial year, representing total comprehensive income for the financial year	-	2,332	2,332
Transactions with owners			
Issuance of ordinary shares	*	-	*
At 30 April 2022	**1,000**	**9,861**	**10,861**
Total comprehensive income for the financial year			
Profit for the financial year, representing total comprehensive income for the financial year	-	4,788	4,788
At 30 April 2023	**1,000**	**14,649**	**15,649**

* *Denotes <RM1,000*

COMBINED STATEMENTS OF CHANGES IN EQUITY (CONTINUED)

	Note	Attributable to owners of the Company: Invested equity RM'000	Retained earnings RM'000	Sub-total RM'000	Non-controlling interests RM'000	Total equity RM'000
At 1 May 2023		**1,000**	**14,649**	**15,649**	**-**	**15,649**
Total comprehensive income for the financial year						
Profit for the financial year, representing total comprehensive income for the financial year		-	6,919	6,919	(20)	6,899
Transactions with owners						
Non-controlling interests arising from acquisition of a new subsidiary	1	-	-	-	4	4
Dividend paid on shares	26	-	(2,627)	(2,627)	-	(2,627)
At 30 April 2024		**1,000**	**18,941**	**19,941**	**(16)**	**19,925**
Total comprehensive income for the financial year						
Profit for the financial year, representing total comprehensive income for the financial year		-	18,996	18,996	(18)	18,978
Transactions with owners						
Issuance of ordinary shares	14	*	-	-	-	-
At 30 April 2025		**1,000**	**37,937**	**38,937**	**(34)**	**38,903**

* *Denotes <RM1,000*

The accompanying notes form an integral part of these combined financial statements.

COMBINED STATEMENTS OF CASH FLOWS

	Note	FYE 30 April 2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Cash flows from operating activities					
Profit before tax		3,368	6,271	9,688	25,636
Adjustments for:					
Depreciation of property, plant and equipment	5	719	690	524	485
Depreciation of right-of-use assets	6	51	58	37	30
Amortisation of intangible asset	7	-	-	7	693
Loss/(gain) on disposal of property, plant and equipment		-	12	(1)	-
Property, plant and equipment written off		-	-	5	-
Gain on lease termination		-	*	-	(3)
Loss on disposal of other investment		-	-	*	-
Finance costs		102	215	186	532
Interest income		(10)	(18)	(23)	(1,455)
Bad debts written off		-	53	-	-
Gain on bargain purchase	1	-	-	(4)	-
Impairment loss on investment in subsidiary	9	99	61	119	-
Reversal of impairment loss on other receivables		*	-	-	-
Impairment loss on other receivables		*	-	-	-
Share of results of an associate		-	-	*	173
Net unrealised gain on foreign exchange		-	-	*	(1)
Operating profits before changes in working capital		4,329	7,342	10,538	26,090
Changes in working capital:					
Contract assets		2,981	(7,692)	8,955	(1,952)
Inventories		(189)	(1,252)	1,387	(465)
Contract liabilities		171	(117)	363	(88)
Trade and other receivables		(7,446)	(8,968)	(4,647)	(9,000)
Trade and other payables		985	6,470	(4,531)	(1,448)
Net cash generated from/(used in) operations		831	(4,217)	12,065	13,137
Income tax paid		(1,877)	(910)	(1,135)	(5,395)
Interests paid		(102)	(215)	(186)	(532)
Interests received		10	18	23	36
Net cash (used in)/from operating operating activities		(1,138)	(5,324)	10,767	7,246

** Denotes <RM1,000*

COMBINED STATEMENTS OF CASH FLOWS (CONTINUED)

	Note	FYE 30 April 2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Cash flows from investing activities					
Purchase of property, plant and equipment	13(ii)	(12)	(26)	(5)	(85)
Purchase of intangible assets	13(iii)	-	-	-	(2,381)
Purchase of other investments		*	-	-	-
Acquisition of an associate, net of cash acquired		-	-	(432)	-
Proceeds from disposal of other investment		-	1	-	-
Advances to related parties		(37)	(3)	-	-
Proceeds from disposal of property, plant and equipment		-	15	1	-
Change in pledged deposits	13	(5)	(931)	914	(10)
Net cash inflow from acquisition of a subsidiary	1	-	-	5	-
Net cash (used in)/from investing activities		(54)	(944)	483	(2,476)
Cash flows from financing activities	13(iv)				
Repayment of term loans		(126)	(113)	(112)	(116)
Payment of lease liabilities		(50)	(60)	(36)	(30)
Repayment of hire purchase obligations		(400)	(385)	(380)	(476)
Net change of trade facilities		-	4,588	(4,588)	-
Net change in amount owing to/(by) directors		-	47	89	(139)
Issuance of share capital		-	-	-	*
Net cash (used in)/from financing activities		(576)	4,077	(5,027)	(761)

* *Denotes <RM1,000*

COMBINED STATEMENTS OF CASH FLOWS (CONTINUED)

		FYE 30 April			
		2022	2023	2024	2025
	Note	RM'000	RM'000	RM'000	RM'000
Net (decrease)/increase in cash and cash equivalents		(1,768)	(2,191)	6,223	4,009
Cash and cash equivalents at the beginning of the financial year		3,102	1,334	(857)	5,365
Effect of exchange rate changes on cash and bank balances		-	-	(1)	-
Cash and cash equivalents at the end of the financial year	13(i)	**1,334**	**(857)**	**5,365**	**9,374**

The accompanying notes form an integral part of these combined financial statements.

NOTES TO THE COMBINED FINANCIAL STATEMENTS

1. GENERAL INFORMATION

Insights Analytics Berhad ("IAB" or the "Company") was incorporated as a private company limited by shares on 27 August 2024 under Companies Act 2016 and is domiciled in Malaysia. On 8 January 2025, IAB was converted to a public limited company.

The registered office and principal place of the Company is located at D272, D273 & D274, 1st Floor Block D, ICOM Square Jalan Pending, 93450 Kuching, Sarawak.

The principal activity of the Company is investment holding. The details of the combining entities are as follows:

Combining entities	Principal place of business/country of incorporation	Principal activities
Exxor Technologies Sdn. Bhd.	Malaysia	Provision of water technology solutions and intelligent asset management solutions
Intelli Technologies Sdn. Bhd.*	Malaysia	Provision of software development and related services
Exxor Data Solutions Sdn. Bhd.	Malaysia	Dormant

* Audited by auditors other than Baker Tilly Monteiro Heng PLT

There have been no significant changes in the nature of these principal activities during the financial years under review.

The combined financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 8 September 2025.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

1. GENERAL INFORMATION (CONTINUED)

(a) Acquisition of a subsidiary

On 11 October 2023, Exxor Technologies Sdn. Bhd. had acquired 51 ordinary shares in Intelli Technologies Sdn. Bhd., representing 51% of the issued and paid up share capital of Intelli Technologies Sdn. Bhd. for a total cash consideration of RM51. The principal activities of the subsidiary were to provide software development and related services.

(i) Fair value of the identifiable assets acquired and liabilities recognised:

	Note	RM'000
Assets		
Property, plant and equipment	**5**	20
Right-of-use asset	**6**	36
Intangible asset	**7**	7
Trade and other receivables		238
Cash and bank balances		5
Total assets		306
Liabilities		
Trade and other payables		(260)
Lease liabilities		(38)
Total liabilities		(298)
Total identifiable net assets acquired		8
Gain on bargain purchase		(4)
Non-controlling interest at fair value		(4)
Fair value of consideration transferred		*

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

1. GENERAL INFORMATION (CONTINUED)

(a) Acquisition of a subsidiary (continued)

(ii) Effect of acquisition on cash flows:

	RM'000
Fair value of consideration transferred	*
Less: Cash and cash equivalents of the subsidiary acquired	(5)
Net cash inflows on acquisition	(5)

* *Denotes <RM1,000*

(iii) Effect of acquisition in the statements of comprehensive income:

From the date of acquisition, the subsidiary's contributed revenue and loss net of tax are as follows:

	RM'000
Revenue	50
Loss for the financial year	(40)

If the acquisition had occurred on 1 May 2023, the combined results for the financial year ended 30 April 2024 would have been as follows:

	RM'000
Revenue	32,156
Profit for the financial year	6,907

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

1. GENERAL INFORMATION (CONTINUED)

(b) Non-controlling interests in a subsidiary

The financial information of a subsidiary of the Group that has material non-controlling interests is as follows:

Equity interest held by non-controlling interests is as follows:

Name of Company	Principal place of business/country of incorporation	Ownership interest 2022 %	2023 %	2024 %
Intelli Technologies Sdn. Bhd.	Malaysia	-	-	49

Carrying amount of material non-controlling interests:

	As at 30 April 2022 RM'000	2023 RM'000	2024 RM'000
Name of company			
Intelli Technologies Sdn. Bhd.	-	-	(16)

Profit or loss allocated to material non-controlling interests:

	As at 30 April 2022 RM'000	2023 RM'000	2024 RM'000
Name of company			
Intelli Technologies Sdn. Bhd.	-	-	(20)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

1. GENERAL INFORMATION (CONTINUED)

(b) Non-controlling interests in a subsidiary (continued)

The financial information of a subsidiary of the Group that has material non-controlling interests is as follows: (continued)

The summarised financial information before intra-group elimination of a subsidiary that has material non-controlling interests is as follows:

	Intelli Technologies Sdn. Bhd. RM'000
Summarised statement of financial position As at 30 April 2024	
Non-current assets	17
Current assets	145
Current liabilities	(163)
Net liabilities	(1)
Summarised statement of comprehensive income Financial year ended 30 April 2024	
Revenue	256
Loss for the financial year	(32)
Total comprehensive loss	(32)
Summarised cash flow information Financial year ended 30 April 2024	
Net cash flows from operating activities, representing net increase in cash and cash equivalents	15
Dividends paid to non-controlling interests	-

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION

The combined financial statements of IAB consist of the financial statements of the following entities under common control which is accounted for using the merger method of accounting (collectively hereinafter referred to as the "Group") for each of the financial years:

	FYE 30 April			
Entities Under Common Control	**2022**	**2023**	**2024**	**2025**
Insights Analytics Berhad	*	*	*	✓,^,!
Exxor Technologies Sdn. Bhd.	✓,@	✓,^	✓,^	✓,^
Intelli Technologies Sdn. Bhd.	&	&	✓,#	✓,#
Exxor Data Solutions Sdn. Bhd.	*,@	✓,@,>	✓,@	✓,^

✓ *The combined financial statements of the Group include the financial statements of these combining entities prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs") and/or the International Financial Reporting Standards ("IFRSs") for the respective financial years.*

^ *The combined financial statements of the Group for the respective financial years have been prepared based on the audited financial statements which were audited by Baker Tilly Monteiro Heng PLT.*

@ *The combined financial statements of the Group for the respective financial years have been prepared based on the audited financial statements which were re-audited by Baker Tilly Monteiro Heng PLT for the purpose of inclusion into the combined financial statements of the Group. The audited financial statements which were lodged with Companies Commission of Malaysian were audited by a firm of chartered accountants other than Baker Tilly Monteiro Heng PLT.*

& *The financial statements were not applicable for Intelli Technologies Sdn. Bhd. as it was acquired on 11 October 2023.*

The combined financial statements of the Group for the respective financial years have been prepared based on the audited financial statements which were audited by a firm of chartered accountants other than Baker Tilly Monteiro Heng PLT.

* *No financial statements were available for Exxor Data Solutions Sdn. Bhd. as it was incorporated on 29 March 2022.*
No financial statements were available for Insights Analytics Berhad. as it was incorporated on 27 August 2024.

> *The first set of audited financial statements covered the financial period from 29 March 2022 (date of incorporation) to 28 February 2023. Subsequently, Company changed its financial year end to 30 April 2024.*

! *The first set of audited financial statements covered the financial period from 27 August 2024 (date of incorporation) to 30 April 2025.*

The audited financial statements of all the combining entities within the Group for the relevant years reported above were not subject to any qualification or modification.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

Combined financial statements of the Group for FYE 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025

The combined financial statements of the Group for the relevant periods were prepared in a manner as if the entities under common control were operating as a single economic enterprise from the beginning of the earliest comparative period covered by the relevant period or the dates of incorporation of entities within the Group, if later.

Entities under common control are entities which are ultimately controlled by the same parties and that control is not transitory ("commonly controlled entities"). Control exists when the same parties have, as a result of contractual agreements, ultimate collective power to govern the financial and operating policies of each of the commonly controlled entities so as to obtain benefits from their activities, and that ultimate collective power is not transitory. The financial statements of commonly controlled entities are included in the combined financial statements from the day that control commences until the date that control ceases.

The financial information presented in the combined financial statements may not correspond to those in the combined financial statements of the Group had the relevant transactions to legally constitute a group been incorporated in the combined financial statements for the respective financial years. Such financial information in the combined financial statements does not purport to predict the financial position, results and the cash flows of the entities under common control for those financial years.

The combined financial statements are prepared under the historical cost convention except otherwise indicated in the material accounting policy information.

The accounting policies applied by the Group are consistently applied for all the financial years presented in these combined financial statements.

2.1 Statement of compliance

The combined financial statements of the Group have been prepared in accordance with the MFRSs and IFRSs.

2.2 Adoption of new MFRS and amendments to MFRSs

The Group has adopted the following applicable new MFRS and amendments to MFRSs for the current financial year:

New MFRS

MFRS 17	Insurance Contracts

Amendments to MFRSs

MFRS 101	Presentation of Financial Statements
MFRS 108	Accounting Policies, Changes in Accounting Estimates and Errors
MFRS 112	Income Taxes

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.2 Adoption of new MFRS and amendments to MFRSs (continued)

The adoption of the above new MFRS and amendments to MFRSs did not have any significant effect on the financial statements of the Group and did not result in significant changes to the Group's existing accounting policies, except as discussed below.

Amendments to MFRS 101 Presentation of Financial Statements

The amendments require an entity to disclose its material accounting policy information rather than significant accounting policies. The amendments, amongst others, also include examples of circumstances in which an entity is likely to consider an accounting policy information to be material to its financial statements.

Accordingly, the Group disclosed its material accounting policy information in these financial statements. However, the amendments did not result in changes to the accounting policies of the Group.

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective

(a) The Group has not adopted the following new MFRS and amendments to MFRSs that have been issued, but yet to be effective.

		Effective for financial periods beginning on or after
New MFRS		
MFRS 18	Presentation and Disclosure in Financial Statements	1 January 2027
Amendments to MFRSs		
MFRS 1	First-time Adoption of Malaysian Financial Reporting Standards	1 January 2026
MFRS 7	Financial Instruments: Disclosures	1 January 2024/ 1 January 2026
MFRS 9	Financial Instruments	1 January 2026
MFRS 10	Consolidated Financial Statements	1 January 2026/ Deferred
MFRS 16	Leases	1 January 2024
MFRS 101	Presentation of Financial Statements	1 January 2024
MFRS 107	Statements of Cash Flows	1 January 2024/ 1 January 2026
MFRS 121	The Effects of Changes in Foreign Exchange Rates	1 January 2025
MFRS 128	Investments in Associates and Joint Ventures	Deferred

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below.

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 18 replaces *MFRS 101 Presentation of Financial Statements*. It retains many requirements from MFRS 101 without modification.

MFRS 18 introduces two subtotals which are to be presented in the statement of profit or loss – including "operating profit", which has been specifically defined. Income and expenses shall be presented in five categories: operating, investing, financing, income taxes and discontinued operations.

MFRS 18 requires disclosure of explanations of the entity's company-specific measures that are related to the statement of profit or loss, referred to as management-defined performance measures ("MPMs"). The entity is required to reconcile MPMs to a total or subtotal required by MFRS 18 or another MFRS Accounting Standards. MFRS 18 also requires other disclosures, including how each MPM is calculated, what the MPM communication about the entity's financial performance, and any changes made to the MPMs in the year.

MFRS 18 adds new principles for aggregation and disaggregation of information. It requires the entity to classify the expenses in the "operating" category in the profit or loss by nature or function, or both. The entity that classifies operating expenses by functions are required to disclose in the notes to the financial statements, the amount of depreciation, amortisation, employee benefits, impairment losses and write-downs of inventories included in each line in the operating category. Subject to materiality, MFRS 18 requires items presented or disclosed as "other" to be labelled and/or described in as faithfully representative and precise a way as possible.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below. (continued)

Amendments to MFRS 16 Leases

The amendments clarify how an entity should subsequently measure the leaseback liability that arise in a sale and leaseback transaction. Although MFRS 16 includes requirements on how to account for a sale and leaseback at the date the transaction takes place, it has not specified how to measure the sale and leaseback transaction when reporting after that date.

The amendments add subsequent measurement requirements for the right-of-use assets and lease liability arising from a sale and leaseback transaction by clarifying that a seller-lessee in a sale and leaseback transaction shall apply paragraphs 29 to 35 to the right-of-use asset arising from the leaseback and paragraphs 36 to 46 to the lease liability arising from the leaseback. The amendments will not change the accounting for leases other than those arising in a sale and leaseback transaction.

Amendments to MFRS 101 Presentation of Financial Statements

The amendments include specifying that an entity's right to defer settlement of a liability for at least twelve months after the reporting period must have substance and must exist at the end of the reporting period; clarifying that classification of liability is unaffected by the likelihood of the entity to exercise its right to defer settlement of the liability for at least twelve months after the reporting period ; clarifying how lending conditions affect classification of a liability; and clarifying requirements for classifying liabilities an entity will or may settle by issuing its own equity instruments.

The latest amendments to MFRS 101 clarify how conditions with which an entity must comply within 12 months after the reporting period affect the classification of a liability. As such, the amendments specify that covenants to be complied with after the reporting date do not affect the classification of debt as current or non-current at the reporting date. Instead, the amendments require an entity to disclose information about these covenants in the notes to the financial statements.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below. (continued)

Amendments to MFRS 107 Statement of Cash Flows and MFRS 7 Financial Instruments: Disclosures

Amendments to MFRS 107 and MFRS 7 respond to investors' concerns that some supplier finance arrangements – also referred to as supply chain finance, trade payables finance or reverse factoring arrangements – used by entities are not sufficiently visible, hindering investors' analysis.

The disclosure requirements require entities to disclose information that would enable users of financial statements to assess how supplier finance arrangements affect an entity's operations; including the effects supplier finance arrangements have on an entity's liability, cash flows and exposures to liquidity risk. The new disclosure requirements would also inform users of financial statements on how an entity might be affected if the arrangements were no longer available to it.

Amendments to MFRS 121 The Effects of Changes in Foreign Exchange Rates

Amendments to MFRS 121 respond to stakeholder feedback and concerns about diversity in practice in accounting for a lack of exchangeability between currencies.

Applying the Amendments, entities will be applying a consistent approach in determining if a currency can be exchanged into another currency. These amendments provide guidance on the spot exchange rate to use when a currency is not exchangeable into another currency and the disclosures entities need to provide to enable users of financial statements to understand the impact on the entities' financial performance, financial position and cash flows as a result of a currency being not exchangeable into another currency.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below. (continued)

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures

These narrow scope amendments to MFRS 9 clarify the classification and measurement requirements, including:

- clarify how the contractual cash flows on financial assets with environmental, social and corporate governance and similar features should be assessed, specifically the assessment of interest focuses on what an entity is being compensated for, rather than how much compensation it receives. Nonetheless, the amount of compensation the entity receives may indicate that it is being compensated for something other than basic lending risks and costs.
- clarify the date on which a financial asset or a financial liability settled via electronic payment systems is derecognised. The Amendments permit an entity to derecognise a financial liability before it delivers cash on the settlement date if specified criteria are met.

Amendments to MFRS 7 introduces new disclosure requirements relating to investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features that do not relate directly to basic lending risks and costs.

(c) The initial application of the above applicable new MFRS and amendments to MFRSs are not expected to have any material impact on the financial statements.

2.4 Functional and presentation currency

The individual financial statements of each entity in the Group are measured using the currency of the primary economic environment in which they operate (the "functional currency"). The combined financial statements are presented in Ringgit Malaysia ("RM"), which is also the Company's functional currency, and has been rounded to the nearest thousand, unless otherwise stated.

2.5 Basis of measurement

The combined financial statements of the Group have been prepared on the historical cost basis, except as otherwise disclosed.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION

Unless otherwise stated, the following material accounting policy information have been applied consistently to all the financial years presented in the financial statements of the Group.

3.1 Basis of combination/consolidation

(a) Subsidiaries and business combination

The Group applies the acquisition method to account for business combinations from the acquisition date when the acquired set of activities meets the definition of a business and control is transferred to the Group.

A business combination involving entities under common control is a business combination in which all the combining entities or subsidiaries are ultimately controlled by the same party and parties both before and after the business combination, and that control is not transitory. Under the merger method of accounting, the results of subsidiaries are presented as if the business combination had been affected throughout the current and previous financial years. The assets and liabilities combined are accounted for based on the carrying amounts from the perspective of the common control shareholder at the date of transfer. On consolidation, the difference between costs of acquisition over the nominal value of share capital of the subsidiaries is taken to reorganisation reserve or merger deficit.

(b) Non-controlling interests

At the acquisition date, components of non-controlling interests of the Group are measured at the non-controlling interest's proportionate share of the acquiree's identifiable net assets.

(c) Associates

Investment in associates is accounted for in the combined financial statements of the Group using the equity method.

3.2 Separate financial statements

In the Company's statement of financial position, investment in subsidiaries and an associate are measured at cost less any accumulated impairment losses.

Contributions to subsidiaries are amounts for which the settlement is neither planned nor likely to occur in the foreseeable future is, in substance, considered as part of the Company's investment in the subsidiaries.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.3 Financial instruments

Financial assets - subsequent measurement and gains and losses

Debt instruments at amortised cost

The Group subsequently measures these assets at amortised cost under the effective interest method. The gross carrying amount is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Debt instruments at fair value through other comprehensive income

The Group subsequently measures these assets at fair value. Interest income calculated under the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in other comprehensive income. On derecognition, gains and losses accumulated in other comprehensive income are reclassified to profit or loss.

Financial liabilities - subsequent measurement and gains and losses

The Group classifies the financial liabilities at amortised cost.

The Group subsequently measures other financial liabilities at amortised cost under the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

3.4 Property, plant and equipment

Property, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

All property, plant and equipment are depreciated on straight-line basis by allocating their depreciable amounts over their remaining useful lives.

	Useful lives (years)
Buildings	50
Motor vehicles	5
Signboard	6.67
Office equipment	6.67
Furniture and fittings	6.67
Computers	6.67
Renovations	5

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.5 Leases

Lessee accounting

The Group presents right-of-use assets and lease liabilities as separate lines in the combined statements of financial position.

Short-term leases and leases of low value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. Accordingly, the Group recognises the lease payments as an operating expense on a straight-line basis over the term of the lease.

Right-of-use assets

The right-of-use assets are measured at cost less accumulated depreciation and any accumulated impairment losses, and adjust for any remeasurement of the lease liabilities. The right-of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Lease liabilities

The lease liabilities are initially measured at the present value of the lease payments, that are not paid at the commencement date, discounted by using the incremental borrowing rate.

The Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

3.6 Intangible assets

Intangible assets, other than goodwill and licenses, that are acquired by the Group and the Company, which have finite useful lives, are measured at cost less any accumulated amortisation and any accumulated impairment losses.

The amortization methods used and estimated useful lives are as follows:

	Useful lives (years)
Software	10

3.7 Inventories

Inventories are measured at the lower of cost and net realisable value.

Cost includes the actual cost of purchase and other cost incurred in bringing the inventories to their present location and condition. Cost of inventories is measured by using the weighted average cost basis.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.8 Contract assets/(liabilities)

Contract assets are the right to consideration in exchange for goods or services transferred to the customers when that right is conditioned on something other than the passage of time (for example, the Group's future performance).

Contract liabilities are the obligation to transfer services to customers for which the Group has received the consideration or has billed the customers.

3.9 Revenue and other income

(a) Sale of goods and services

Revenue from sale of goods and services are recognised at a point in time when control of the products has been transferred, being when the customer accepts the delivery of the goods and services.

(b) Construction contacts

Construction service contracts comprise multiple deliverables that require significant integration service and therefore accounted as a single performance obligation.

Under the terms of the contracts, control of the works performed is transferred over time as the Group creates or enhances an asset that the customer controls as the asset is created or enhanced. The progress towards complete satisfaction of a performance obligation is determined by the proportion of costs incurred for work performed to date bear to the estimated total project costs (an input method).

Sales are made with a credit term of 30 to 90 days, which is consistent with market practice, therefore, no element of financing is deemed present. The Group becomes entitled to invoice customers based on achieving a series of performance-related milestones.

The Group recognises a contract asset for any excess of revenue recognised to date over the billings-to-date. Any amount previously recognised as a contract asset is reclassified to trade receivables at the point when invoice is issued or timing for billing is due to passage of time. If the milestone billing exceeds the revenue recognised to date and any deposit or advances received from customers then the Group recognises a contract liability for the difference.

(c) Rendering of services

Revenue from a contract to provide services is recognised over time as the services are rendered because the customer receives and uses the benefits simultaneously. This is determined based on the time elapsed (output method).

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

4. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of combined financial statements in conformity with MFRSs requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of the revenue and expenses during the reporting period. It also requires directors to exercise their judgement in the process of applying the Group's accounting policies. Although these estimates and judgement are based on the directors' best knowledge of current events and actions, actual results may differ.

The areas involving a higher degree of judgement or complexity that have the most significant effect on the Group's combined financial statements, or areas where assumptions and estimates that have a significant risk of resulting in a material adjustment to the Group's combined financial statements within the next financial year are disclosed as follows:

Construction revenue

The Group recognised construction revenue in profit or loss by using the progress towards complete satisfaction of performance obligation. The progress towards complete satisfaction of performance obligation is determined by the proportion that construction costs incurred for work performed to date bear to the estimated total construction costs.

Significant judgement is required in determining the progress towards complete satisfaction of performance obligation, the extent of the construction costs incurred, the estimated total construction revenue and costs, as well as the recoverability of the construction projects. In making the judgement, the Group evaluates based on past experience and by relying on the work of specialists.

The carrying amounts of contract assets and contract liabilities are disclosed in Note 12.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT

	Note	Buildings RM'000	Motor vehicles RM'000	Signboard RM'000	Office equipment RM'000	Furniture and fittings RM'000	Computers RM'000	Renovations RM'000	Total RM'000
Cost									
At 1 May 2021		930	3,270	7	133	139	101	266	4,846
Additions		-	122	-	2	2	5	-	131
Writen off		-	-	-	(16)	(4)	-	-	(20)
At 30 April 2022		930	3,392	7	119	137	106	266	4,957
Accumulated depreciation									
At 1 May 2021		93	1,085	3	76	84	36	244	1,621
Depreciation charge for the financial year	22	19	623	1	18	20	16	22	719
Writen off		-	-	-	(16)	(4)	-	-	(20)
At 30 April 2022		112	1,708	4	78	100	52	266	2,320
Net carrying amount									
At 30 April 2022		818	1,684	3	41	37	54	-	2,637

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

	Note	Buildings RM'000	Motor vehicles RM'000	Signboard RM'000	Office equipment RM'000	Furniture and fittings RM'000	Computers RM'000	Renovations RM'000	Total RM'000
Cost									
At 1 May 2022		930	3,392	7	119	137	106	266	4,957
Additions		-	-	-	7	6	13	-	26
Disposal		-	(38)	-	-	-	-	-	(38)
At 30 April 2023		930	3,354	7	126	143	119	266	4,945
Accumulated depreciation									
At 1 May 2022		112	1,708	4	78	100	52	266	2,320
Depreciation charge for the financial year	22	19	614	1	17	21	18	-	690
Disposal		-	(11)	-	-	-	-	-	(11)
At 30 April 2023		131	2,311	5	95	121	70	266	2,999
Net carrying amount									
At 30 April 2023		799	1,043	2	31	22	49	-	1,946

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

	Note	Buildings RM'000	Motor vehicles RM'000	Signboard RM'000	Office equipment RM'000	Furniture and fittings RM'000	Computers RM'000	Renovations RM'000	Total RM'000
Cost									
At 1 May 2023		930	3,354	7	126	143	119	266	4,945
Acquisition of a subsidiary	1	-	-	3	6	14	-	-	23
Addition		-	-	-	-	-	5	-	5
Disposal		-	(62)	-	-	-	-	-	(62)
Written off		-	-	-	(25)	(4)	(18)	-	(47)
At 30 April 2024		930	3,292	10	107	153	106	266	4,864
Accumulated depreciation									
At 1 May 2023		131	2,311	5	95	121	70	266	2,999
Acquisition of a subsidiary	1	-	-	*	1	2	-	-	3
Depreciation charge for the financial year	22	19	459	1	13	16	16	-	524
Disposal		-	(62)	-	-	-	-	-	(62)
Written off		-	-	-	(25)	(4)	(13)	-	(42)
At 30 April 2024		150	2,708	6	84	135	73	266	3,422
Net carrying amount									
At 30 April 2024		780	584	4	23	18	33	-	1,442

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

	Note	Buildings RM'000	Motor vehicles RM'000	Signboard RM'000	Office equipment RM'000	Furniture and fittings RM'000	Computers RM'000	Renovations RM'000	Total RM'000
Cost									
At 1 May 2024		930	3,292	10	107	153	106	266	4,864
Addition		-	-	-	18	-	67	-	85
Written off		-	-	-	(2)	-	-	-	(2)
At 30 April 2025		930	3,292	10	123	153	173	266	4,947
Accumulated depreciation									
At 1 May 2024		150	2,708	6	84	135	73	266	3,422
Depreciation charge for the financial year	22	18	430	1	11	4	21	-	485
Written off		-	-	-	(2)	-	-	-	(2)
At 30 April 2025		168	3,138	7	93	139	94	266	3,905
Net carrying amount									
At 30 April 2025		762	154	3	30	14	79	-	1,042

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Motor vehicles of the Group with carrying amount of RM153,065 (2024: RM543,350, 2023: RM972,259 and 2022: RM1,556,614) have been pledged as securities for hire purchase arrangements as disclosed in Note 15(b).

6. RIGHT-OF-USE ASSETS

Information about leases for which the Group is lessee is presented below:

	Note	Buildings RM'000
Cost		
At 1 May 2021		138
Additions		110
Derecognition due to end of lease term		(138)
At 30 April 2022		110
Derecognition due to lease termination		(57)
At 30 April 2023		53
Acquisition of a subsidiary	1	64
Additions		52
Derecognition due to end of lease term		(53)
At 30 April 2024		116
Derecognition due to end of lease term		(64)
At 30 April 2025		52
Accumulated depreciation		
At 1 May 2021		126
Depreciation charge for the financial year	22	51
Derecognition due to end of lease term		(138)
At 30 April 2022		39
Depreciation charge for the financial year	22	58
Derecognition due to lease termination		(46)
At 30 April 2023		51
Acquisition of a subsidiary	1	28
Depreciation charge for the financial year	22	37
Derecognition due to end of lease term		(53)
At 30 April 2024		63
Depreciation charge for the financial year	22	30
Derecognition due to end of lease term		(43)
At 30 April 2025		50

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

6. RIGHT-OF-USE ASSETS (CONTINUED)

Information about leases for which the Group is lessee is presented below (continued):

	Buildings RM'000
Carrying amount	
At 30 April 2022	71
At 30 April 2023	2
At 30 April 2024	53
At 30 April 2025	2

The Group leases buildings for their operation. The leases for buildings generally have lease terms of two (2) to three (3) years.

7. INTANGIBLE ASSET

	Note	Software RM'000
Cost		
At 1 May 2023		-
Acquisition of a subsidiary	1	61
At 30 April 2024		61
Additions		13,868
At 30 April 2025		13,929
Accumulated amortisation		
At 1 May 2023		-
Acquisition of a subsidiary	1	54
Amortisation charge for the financial year	22	7
At 30 April 2024		61
Amortisation charge for the financial year	22	693
		754
Carrying amount		
At 30 April 2024		-
At 30 April 2025		13,175

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

8. INVESTMENT IN AN ASSOCIATE

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Share at cost	-	-	-	432
Additional investment	-	-	432	-
	-	-	432	432
Share of post-acquisition reserves	-	-	*	(173)
	-	-	432	259

** Denotes <RM1,000*

Details of the associate are as follows:

Name of company	Principal place of business/ country of incorporation	Ownership interest 2022 %	2023 %	2024 %	2025 %	Principal activities
Intelli Technology Joint Stock Company ^	Vietnam	-	-	25	25	Provision of software development and related services

^ Audited by auditors other than Baker Tilly Monteiro Heng PLT. The statutory financial year end of Intelli Technology Joint Stock Company was 31 December 2023 and 31 December 2024 which does not coincide with the financial year end of the Group. For the purpose of combination, the financial statements of Intelli Technology Joint Stock Company for the financial ended 31 December 2023 and 31 December 2024 have been used.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

8. INVESTMENT IN AN ASSOCIATE (CONTINUED)

Summarised financial information of material associate

The following table illustrates the summarised financial information of the Group's material associate, adjusted for any differences in accounting policies and reconciles the information to the carrying amount of the Group's interest in associate:

	Intelli Technology Joint Stock Company RM'000
30 April 2024	
Assets and liabilities:	
Non-current assets	66
Current assets	5,820
Current liabilities	(799)
Net assets	5,087
Results	
Profit from continuing operations	1
Total comprehensive income	1
Included in the total comprehensive income of the associate is:	
Revenue	799
Reconciliation of net assets to carrying amount:	
Cost of investments	432
Share of post acquisition loss	*
Carrying amount in the statements of financial position	432

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

8. INVESTMENT IN AN ASSOCIATE (CONTINUED)

Summarised financial information of material associate (continued)

The following table illustrates the summarised financial information of the Group's material associate, adjusted for any differences in accounting policies and reconciles the information to the carrying amount of the Group's interest in associate (continued):

	Intelli Technology Joint Stock Company RM'000
30 April 2025	
Assets and liabilities:	
Non-current assets	59
Current assets	5,243
Current liabilities	(799)
Net assets	4,503
Results	
Profit from continuing operations	(692)
Total comprehensive income	(692)
Included in the total comprehensive income of the associate is:	
Revenue	1,434
Reconciliation of net assets to carrying amount:	
Cost of investments	432
Share of post acquisition loss	(173)
Carrying amount in the statements of financial position	259

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

9. OTHER INVESTMENTS

	Note	As at 30 April 2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Non-current:					
At cost:					
- Unquoted shares					
At beginning of the financial year		361	361	361	361
Voluntary winding-up		-	-	-	(361)
At end of the financial year		361	361	361	-
Accumulated impairment loss					
At beginning of the financial year		82	181	242	361
Impairment loss during the financial year	22	99	61	119	-
Reversal of impairment loss during the financial year	20	-	-	-	(361)
At end of the financial year		181	242	361	-
		180	119	-	-
Financial assets designated at fair value through other comprehensive income					
At fair value:					
- Unquoted equity security		*	*	-	-
		180	**119**	**-**	**-**
Current:					
Financial assets at fair value through profit or loss					
At fair value:					
- Short-term fund		1	-	-	-
		181	**119**	**-**	**-**

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

9. OTHER INVESTMENTS (CONTINUED)

Other investments in unquoted shares for financial years ended 30 April 2022, 30 April 2023 and 30 April 2024 represents investments in the below subsidiary at cost less accumulated impairment.

The Group holds non-controlling interests in unquoted equity security designated at fair value through other comprehensive income. The directors have assessed on the fair value of the Group's investment in unquoted shares, based on the available information and directors' best estimates, the fair value of unquoted shares is insignificant.

The financial position, financial performance and cash flows of the below company had been carved from the combined financial statements as the management had placed the company under Member's Voluntary Winding-up in Vietnam which had been completed on 18 June 2024.

Name of company	Principal place of business/ country of incorporation	Ownership interest 2022 %	2023 %	2024 %	2025 %	Principal activities
Bioion Vietnam Company Limited^	Vietnam	100	100	100	-	Exercise the right to export, import and wholesale distribution of goods

^ Audited by auditors other than Baker Tilly Monteiro Heng PLT

10. INVENTORIES

	As at 30 April 2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
At lower of cost and net realisable value:				
Finished goods	189	1,441	54	519
Inventories recognised as expenses	23,639	31,559	19,176	19,956

The cost of inventories of the Group recognised as an expense during the financial year in respect of expenses off of inventories was RM19,955,688 (2024: RM19,176,218, 2023: RM31,559,304 and 2022: RM23,638,801).

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

11. TRADE AND OTHER RECEIVABLES

	Note	As at 30 April 2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Trade	(a)				
- Third parties		9,883	17,885	26,262	35,286
- Retention sum		5,791	6,869	3,430	2,564
		15,674	24,754	29,692	37,850
Non-trade					
Other receivables		569	1,090	7	-
Deposits		664	31	500	24
Prepayments		-	-	-	1,328
Amount owing by related parties	(b)	2,115	2,065	-	-
Allowance for impairment	(c)	-	-	-	-
		3,348	3,186	507	1,352
Total trade and other receivables		19,022	27,940	30,199	39,202

(a) Trade receivables

Trade receivables are non-interest bearing and normal credit terms offered by the Group is 30 days to 90 days (2024: 30 days to 90 days, 2023: 30 days to 90 days and 2022: 30 days to 90 days) from the date of invoices. Other credit terms are assessed and approved on a case by case basis.

The retention sums are trade in nature, unsecured, interest-free and are expected to be collected within the period of normal operating cycle.

The information about the credit exposure are disclosed in Note 27(b)(i).

(b) Amounts owing by related parties

In the previous financial years, the amounts owing by related parties were non-trade in nature, unsecured, interest-free and repayable upon on demand in cash.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

11. TRADE AND OTHER RECEIVABLES (CONTINUED)

(c) Other receivables

The reconciliation of movement in the accumulated impairment losses of other receivables is as follows:

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
At 1 May	-	-	-	-
Charge for the financial year	*	-	-	-
Reversal during the financial year	*	-	-	-
At 30 April	-	-	-	-

** Denotes <RM1,000*

12. CONTRACT ASSETS/(LIABILITIES)

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Contract assets relating to construction service contracts	3,568	11,260	1,822	3,485
Contract assets relating to information technology service contracts	-	-	483	772
	3,568	11,260	2,305	4,257
Contract liabilities relating to construction service contracts	(171)	(53)	(416)	(327)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

12. CONTRACT ASSETS/(LIABILITIES) (CONTINUED)

Significant changes in contract balances

	As at 30 April							
	2022		2023		2024		2025	
	Contract assets Increase/ (decrease) RM'000	Contract liabilities (Increase)/ decrease RM'000	Contract assets Increase/ (decrease) RM'000	Contract liabilities (Increase)/ decrease RM'000	Contract assets Increase/ (decrease) RM'000	Contract liabilities (Increase)/ decrease RM'000	Contract assets Increase/ (decrease) RM'000	Contract liabilities (Increase)/ decrease RM'000
Increase due to revenue recognised for unbilled goods or services transferred to customers	1,140	-	9,123	-	2,300	-	4,257	-
Transfer from contract assets recognised at the beginning of the year to receivables	(4,121)	-	(1,431)	-	(11,255)	-	(2,305)	-
Revenue recognised that was included in contract liability at the beginning of the financial year	-	-	-	171	-	54	-	417
Increase due to consideration received from customers, but revenue not recognised	-	(171)	-	(54)	-	(417)	-	(327)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

13. CASH AND SHORT-TERM DEPOSITS

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Cash in hand	2	2	4	4
Cash at banks	1,332	753	5,464	9,370
Short-term deposits	374	1,305	391	401
	1,708	2,060	5,859	9,775

(i) For the purpose of combined statements of cash flows, cash and cash equivalents comprise of the following:

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Cash and bank balances	1,334	755	5,468	9,374
Short-term deposits	374	1,305	391	401
	1,708	2,060	5,859	9,775
Less: Pledged deposits	(374)	(1,305)	(391)	(401)
Less: Bank overdrafts	-	(1,612)	(103)	-
	1,334	(857)	5,365	9,374

The short-term deposits placed with licensed banks are placements with periods of less than 3 months, interest bearing at rate of 2.40% (2024: 2.40%, 2023: 2.10% to 2.25% and 2022: 1.45%) per annum and mature within 3 months.

Included in the short-term deposits with a licensed bank of the Group is an amount of RM400,515 (2024: RM391,020, 2023: RM1,305,131 and 2022: RM374,326) pledged as security to secure credit facilities granted to the Group as disclosed in Note 15.

(ii) During the financial years under review, the Group made the following cash payments to purchase property, plant and equipment.

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Purchase of property, plant and equipment	131	26	5	85
Less: Financed by way of finance lease arrangement	(119)	-	-	-
Cash payments on purchase of property, plant and equipment	12	26	5	85

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

13. CASH AND SHORT-TERM DEPOSITS (CONTINUED)

(iii) During the financial years under review, the Group made the following cash payments to intangible assets.

	Note	As at 30 April 2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Purchase of intangible assets		-	-	-	13,868
Less: Installment arrangement	7	-	-	-	(11,487)
Cash payments on purchase of intangible assets		-	-	-	2,381

(iv) Reconciliation of changes in liabilities arising from financing liabilities are as follows:

	01.05.2021 RM'000	Cash flows RM'000	Non-cash Others RM'000	30.04.2022 RM'000
Term loans	1,249	(126)	-	1,123
Hire purchase payables	1,758	(400)	119	1,477
Lease liabilities	13	(50)	110	73
Amount owing (by)/to directors	(27)	-	30	3
	2,993	(576)	259	2,676

	01.05.2022 RM'000	Cash flows RM'000	Non-cash Others RM'000	30.04.2023 RM'000
Term loans	1,123	(113)	-	1,010
Hire purchase payables	1,477	(385)	-	1,092
Lease liabilities	73	(60)	(11)	2
Trade facilities	-	4,588	-	4,588
Amount owing to directors	3	47	-	50
	2,676	4,077	(11)	6,742

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

13. CASH AND SHORT-TERM DEPOSITS (CONTINUED)

(iv) Reconciliation of changes in liabilities arising from financing liabilities are as follows (continued):

	01.05.2023 RM'000	Cash flows RM'000	Non-cash Others RM'000	30.04.2024 RM'000
Term loans	1,010	(112)	-	898
Hire purchase payables	1,092	(380)	-	712
Lease liabilities	2	(36)	90	56
Trade facilities	4,588	(4,588)	-	-
Amount owing to directors	50	89	-	139
	6,742	(5,027)	90	1,805

	01.05.2024 RM'000	Cash flows RM'000	Non-cash Others RM'000	30.04.2025 RM'000
Term loans	898	(116)	-	782
Hire purchase payables	712	(476)	-	236
Lease liabilities	56	(30)	(24)	2
Amount owing to directors	139	(139)	-	-
	1,805	(761)	(24)	1,020

(v) Total cash outflows for leases

During the financial year, the Group had total cash outflows for leases of RM81,459 (2024: RM117,859 2023: RM86,138 and 2022: RM131,725).

14. INVESTED EQUITY

For the purposes of these combined financial statements, the invested equity at the end of the respective financial years is the aggregate of the share capital of the combining entities constituting the Group.

The invested equity constitutes the share capital of Exxor Technologies Sdn. Bhd., Exxor Data Solutions Sdn. Bhd. and Intelli Technologies Sdn. Bhd..

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

15. LOANS AND BORROWINGS

	Note	As at 30 April 2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Non-current:					
Secured					
Term loans	(a)				
- I		305	289	276	259
- II		305	288	276	259
- III		-	-	-	-
- IV		-	-	-	-
- V		172	164	94	52
- VI		157	146	83	46
- VII		72	63	53	43
		1,011	950	782	659
Hire purchase payables	(b)	1,168	728	351	125
		2,179	1,678	1,133	784
Current:					
Secured					
Term loans	(a)				
- I		19	19	16	17
- II		19	19	16	17
- III		*	-	-	-
- IV		*	-	-	-
- V		36	7	39	41
- VI		29	6	35	37
- VII		9	9	10	11
		112	60	116	123
Hire purchase payables	(b)	309	364	361	111
Trade facilities	(a)	-	4,588	-	-
Bank overdrafts	(a)	-	1,612	103	-
		421	6,624	580	234

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

15. LOANS AND BORROWINGS (CONTINUED)

		As at 30 April			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Total loans and borrowings:					
Term loans	(a)	1,123	1,010	898	782
Hire purchase payables	(b)	1,477	1,092	712	236
Trade facilities	(a)	-	4,588	-	-
Bank overdrafts	(a)	-	1,612	103	-
		2,600	8,302	1,713	1,018

** Denotes <RM1,000*

(a) Term loans, trade facilities and bank overdrafts

Term loans, trade facilities and bank overdrafts of the Group are secured by the following:

(i) Absolute assignment of life policy of certain directors of the Group;
(ii) Personal guarantee by certain directors of the Group;
(iii) Joint and several guarantee by directors of the Group;
(iv) Deed of assignment of contract proceeds;
(v) Pledge of first party fixed deposits receipt together with memorandum of legal charge over deposit and letter of set-off as disclosed in Note 13(i); and
(vi) Legal assignment over the buildings of certain directors of the Group and their family members.

The interest rates of the loans and borrowings at the reporting date are as follows:

	As at 30 April			
	2022 % per annum	2023 % per annum	2024 % per annum	2025 % per annum
Term loans	3.60 - 5.57	4.60 - 6.57	4.36 - 6.76	4.37 - 6.76
Trade facilities	-	7.82	-	-
Bank overdrafts	-	7.56 - 7.82	7.81 - 8.97	-

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

15. LOANS AND BORROWINGS (CONTINUED)

(b) Hire purchase payables

Hire purchase payables of the Group of RM236,351 (2024: RM711,635, 2023: RM1,092,507 and 2022: RM1,477,449) bears interest ranging from 2.13% to 3.58% (2024: 2.13% to 3.58%, 2023: 2.13% to 3.58% and 2022: 2.13% to 3.58%) per annum and are secured by the Group's motor vehicles under hire purchase arrangements as disclosed in Note 5.

Future minimum lease payments together with the present value of the net minimum lease payments are as follows:

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Minimum lease payments:				
Not later than one year	370	405	384	147
Later than one year and not later than five years	1,214	763	364	129
Later than five years	38	-	-	-
	1,622	1,168	748	276
Less: Future interest charges	(145)	(76)	(36)	(40)
Present value of minimum lease payments	1,477	1,092	712	236
Present value of minimum lease payments:				
Not later than one year	309	364	361	111
Later than one year and not later than five years	1,131	728	351	125
Later than five years	37	-	-	-
	1,477	1,092	712	236
Less: Amount due within twelve months	(309)	(364)	(361)	(111)
Amount due after twelve months	1,168	728	351	125

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

16. LEASE LIABILITIES

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Non-current:				
Lease liabilities	11	-	6	-
Current:				
Lease liabilities	62	2	50	2
Total lease liabilities:				
Lease liabilities	73	2	56	2

The effective interest rates implicit in the leases was ranges from 6.69% to 7.94% (2024: 6.69% to 7.94%. 2023: 6.69% and 2022: 6.69% to 7.44%).

Future minimum lease payments together with the present value of net minimum lease payments are as follows:

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Minimum lease payments:				
Not later than one year	65	2	52	2
Later than one year and not later than five years	11	-	6	-
	76	2	58	2
Less: Future interest charges	(3)	-	(2)	*
Present value of minimum lease payments	73	2	56	2
Present value of minimum lease payments:				
Not later than one year	62	2	50	2
Later than one year and not later than five years	11	-	6	-
	73	2	56	2
Less: Amount due within twelve months	(62)	(2)	(50)	(2)
Amount due after twelve months	11	-	6	-

* *Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

17. TRADE AND OTHER PAYABLES

	Note	As at 30 April 2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Non current:					
Other payables	(a)	-	-	-	6,279
Current:					
Trade					
- Third parties	(b)	7,318	12,030	12,829	7,271
- Retention sum	(b)	2,337	2,023	1,858	1,235
- Trade accruals		4,263	5,735	458	2,667
		13,918	19,788	15,145	11,173
Non-trade					
Other payables	(a)	16	4	71	4,180
Accruals		14	626	465	289
Amount owing to directors	(c)	3	50	139	-
Withholding tax payables		-	-	*	2
Sales and service tax ("SST") payables		-	-	466	2,847
		33	680	1,141	7,318
Total current trade and other payables		13,951	20,468	16,286	18,491
Total non current and current trade payables and other payables		13,951	20,468	16,286	24,770

** Denotes <RM1,000*

(a) Other payables

Included in other payables is an amount RM10,068,668 (2024,2023 and 2022: RM Nil) owing in relation to the acquisition of intangible assets as disclosed in Note 13 (iii) and is repayable via monthly instalments of RM368,700 over 36 months commencing from 30 November 2024.

(b) Trade payables and retention sum

Trade payables are non-interest bearing and the normal credit terms granted to the Group ranging from 30 to 90 days (2024: 30 to 90 days, 2023: 30 to 90 days and 2022: 30 to 90 days). The retention sum is payable upon expiry of the defect liability period.

(c) Amounts owing to directors

Amounts owing to directors are non-trade in nature, unsecured, interest-free without fixed term of repayment.

For explanation on the Group's liquidity risk management processes, refer to Note 27(b)(ii).

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

18. DEFERRED TAX (ASSETS)/LIABILITIES

	As at 1 May 2021 RM'000	Recognised in profit or loss RM'000 (Note 24)	As at 30 April 2022 RM'000
Property, plant and equipment	18	74	92

	As at 1 May 2022 RM'000	Recognised in profit or loss RM'000 (Note 24)	As at 30 April 2023 RM'000
Property, plant and equipment	92	(52)	40

	As at 1 May 2023 RM'000	Recognised in profit or loss RM'000 (Note 24)	As at 30 April 2024 RM'000
Right-of-use assets	-	*	*
Contract liabilities	-	(100)	(100)
	-	(100)	(100)
Property, plant and equipment	40	(24)	16
	40	(124)	(84)

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

18. DEFERRED TAX (ASSETS)/LIABILITIES (CONTINUED)

	As at 1 May 2024 RM'000	Recognised in profit or loss RM'000 (Note 24)	As at 30 April 2025 RM'000
Right-of-use assets	*	*	-
Lease liabilities	-	*	*
Contract liabilities	(100)	21	(79)
	(100)	21	(79)
Property, plant and equipment	16	364	380
Right-of-use assets	-	*	*
	16	365	380
	(84)	385	301

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Presented after appropriate offsetting as follows:				
Deferred tax assets	-	-	(100)	(79)
Deferred tax liabilities	92	40	16	380
	92	40	(84)	301

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

19. REVENUE

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Revenue from contracts with customers:				
Over time:				
Construction contracts	-	11,701	-	5,830
Services rendered	28,303	28,151	30,596	42,990
	28,303	39,852	30,596	48,820
Revenue from other sources:				
At a point in time:				
Sale of goods and services rendered	814	765	1,354	819
	29,117	40,617	31,950	49,639

20. OTHER INCOME

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Gain on bargain purchase	-	-	4	-
Interests income	10	18	23	1,455
Rental income	21	-	-	-
Gain on lease termination	-	*	-	3
Gain on disposal of property, plant and equipment	-	-	1	-
Government grant	41	-	-	-
Net unrealised gain on foreign exchange	-	-	*	1
Others	3	3	5	9
	75	21	33	1,468

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

21. FINANCE COSTS

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Interest expenses on:				
- Term loans	41	45	46	41
- Lease liabilities	4	3	4	1
- Hire purchase payables	56	54	54	63
- Trade facilities	-	77	43	-
- Bank overdrafts	1	36	39	-
- Effect of unwinding of interest from discounting of other payable	-	-	-	427
	102	215	186	532

22. PROFIT BEFORE TAX

Other than disclosed elsewhere in the combined financial statements, the following items have been charged/(credited) in arriving at profit before tax:

		FYE 30 April			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Auditors' remuneration - statutory audit:					
- Baker Tilly Monteiro Heng PLT					
- Current year		-	80	80	93
- Other auditors					*
- Current year		14	1	4	3
- Prior year		(1)	-	-	-
Depreciation of property, plant and equipment	5	719	690	524	485
Depreciation of right-of-use assets	6	51	58	37	30
Amortisation of intangible asset	7	-	-	7	693
Property, plant and equipment written off		-	-	5	-
Loss on disposal of property, plant and equipment		-	12	-	-
Loss on disposal of other investments		-	-	*	-
Bad debt written off		-	53	-	-

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

22. PROFIT BEFORE TAX (CONTINUED)

Other than disclosed elsewhere in the combined financial statements, the following items have been charged/(credited) in arriving at profit before tax (continued):

		FYE 30 April			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Impairment loss on investment in a subsidiary	9	99	61	119	-
Impairment loss on other receivables		*	-	-	-
Expenses relating to short-term leases and low value assets		78	25	78	- 50
Employee benefits expense	23	1,511	1,649	1,935	2,550
Net realised loss on foreign exchange		-	-	17	15
Listing expenses		-	100	-	696
Incorporation expenses		3	-	-	5

23. EMPLOYEE BENEFITS EXPENSE

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Salaries and other staff benefits	1,324	1,445	1,701	2,134
Defined contribution plans	170	184	213	241
Other staff related expenses	17	20	21	175
	1,511	1,649	1,935	2,550
Included in the employee benefits expenses are:				
Directors of the Group:				
- Salaries, bonuses and allowances	358	367	539	445
- Defined contribution plans	44	45	65	67
- Other related expenses	2	3	3	97
	404	415	607	609

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

24. INCOME TAX EXPENSE

The major components of income tax expense for the financial years ended 30 April 2022, 30 April 2023 30 April 2024 and 30 April 2025 are as follows:

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Statements of comprehensive income				
Current income tax:				
- Current income tax charge	929	1,640	2,600	6,200
- Adjustment in respect of prior financial years	33	(105)	313	73
	962	1,535	2,913	6,273
Deferred tax: (Note 18)				
- Origination/(Reversal) of temporary differences	74	(13)	(116)	410
- Adjustment in respect of prior financial years	-	(39)	(8)	(25)
	74	(52)	(124)	385
Income tax expense recognised in profit or loss	1,036	1,483	2,789	6,658

Domestic income tax is calculated at the Malaysian statutory income tax rate of 24% (2024: 24%, 2023: 24% and 2022: 24%) of the estimated assessable profit for the financial years. The Group being a Malaysian resident with paid-up capital of RM2.5 million or less ("SME") and having gross income from source or sources consisting of a business of not more than RM50 million is qualified for the preferential tax rates under Paragraph 2A, Schedule 1 of the Income Tax Act, 1967 as follows:
On the first RM150,000 of chargeable income: 15% (2024: 15%, 2023: 17% and 2022:17%)
On the next RM150,001 to RM600,000 of chargeable income: 17% (2024: 17%, 2023: 17% and 2022: 17%)
On excess of RM600,000 of chargeable income: 24% (2024: 24%, 2023: 24% and 2022: 24%)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

24. INCOME TAX EXPENSE (CONTINUED)

The reconciliations from the tax amount at the statutory income tax rate to the Group's tax expenses are as follows:

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Profit before tax	3,368	6,271	9,688	25,636
Tax at Malaysian statutory income tax rate of 24%	808	1,505	2,325	6,153
Adjustments:				
SME tax savings	(42)	(42)	(45)	(45)
Non-deductible expenses	237	164	204	502
Adjustment in respect of current income tax of prior years	33	(105)	313	73
Adjustment in respect of deferred tax of prior years	-	(39)	(8)	(25)
Income tax expense	1,036	1,483	2,789	6,658

25. EARNINGS PER SHARE

Basic earnings per ordinary share

Basic earnings per ordinary share are based on the profit for the financial years attributable to owners of the Company and the weighted average number of ordinary shares outstanding during the financial years, calculated as follows:

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Profit attributable to owners of the Group (RM'000)	2,332	4,788	6,919	18,996
Weighted average number of ordinary shares for basic earnings per share ('000)	1,000	1,000	1,000	1,000
Basic earnings per ordinary share (sen)	233.20	478.80	691.90	1,899.60

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

25. EARNINGS PER SHARE (CONTINUED)

Diluted earnings per share

The diluted earnings per ordinary share is not applicable as the Company does not have potential dilutive equity instrument in issue as at the end of the each of the financial years that have dilutive effect to the basic earnings per ordinary share.

26. DIVIDENDS

	FYE 30 April			
	2022	2023	2024	2025
Recognised during the financial year:	RM'000	RM'000	RM'000	RM'000
Dividends on ordinary shares:				
- Single-tier interim dividend for the financial year ended 30 April 2024: RM2.6273 per ordinary share, paid on 28 December 2023	-	-	2,627	-

27. FINANCIAL INSTRUMENTS

(a) Categories of financial instruments

The following table analyses the financial instruments in the combined statements of financial position by the classes of financial instruments to which they are assigned at:

(i) Amortised cost
(ii) Fair value through profit or loss
(iii) Fair value through other comprehensive income

	Carrying amounts RM'000	Amortised cost RM'000	Fair value through profit or loss RM'000	Fair value through other comprehensive income RM'000
At 30 April 2022				
Financial assets				
Other investments	181	180	1	*
Trade and other receivables	19,022	19,022	-	-
Cash and short-term deposits	1,708	1,708	-	-
	20,911	20,910	1	*

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(a) Categories of financial instruments (continued)

The following table analyses the financial instruments in the combined statements of financial position by the classes of financial instruments to which they are assigned at (continued) :

(i) Amortised cost (continued)
(ii) Fair value through profit or loss (continued)
(iii) Fair value through other comprehensive income (continued)

	Carrying amounts RM'000	Amortised cost RM'000	Fair value through profit or loss RM'000	Fair value through other comprehensive income RM'000
At 30 April 2022				
Financial liabilities				
Loans and borrowings	(2,600)	(2,600)	-	-
Lease liabilities	(73)	(73)	-	-
Trade and other payables	(13,951)	(13,951)	-	-
	(16,624)	(16,624)	-	-
At 30 April 2023				
Financial assets				
Other investments	119	119	-	*
Trade and other receivables	27,940	27,940	-	-
Cash and short-term deposits	2,060	2,060	-	-
	30,119	30,119	-	*
Financial liabilities				
Loans and borrowings	(8,302)	(8,302)	-	-
Lease liabilities	(2)	(2)	-	-
Trade and other payables	(20,468)	(20,468)	-	-
	(28,772)	(28,772)	-	-

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(a) Categories of financial instruments (continued)

The following table analyses the financial instruments in the combined statements of financial position by the classes of financial instruments to which they are assigned at (continued) :

(i) Amortised cost (continued)
(ii) Fair value through profit or loss (continued)
(iii) Fair value through other comprehensive income (continued)

	Carrying amounts RM'000	Amortised cost RM'000	Fair value through profit or loss RM'000	Fair value through other comprehensive income RM'000
At 30 April 2024				
Financial assets				
Trade and other receivables	30,199	30,199	-	-
Cash and short-term deposits	5,859	5,859	-	-
	36,058	36,058	-	-
Financial liabilities				
Loans and borrowings	(1,713)	(1,713)	-	-
Lease liabilities	(56)	(56)	-	-
Trade and other payables, less withholding tax and SST payables	(15,820)	(15,820)	-	-
	(17,589)	(17,589)	-	-
At 30 April 2025				
Financial assets				
Trade and other receivables less prepayments	37,874	37,874	-	-
Cash and short-term deposits	9,775	9,775	-	-
	47,649	47,649	-	-
Financial liabilities				
Loans and borrowings	(1,018)	(1,018)	-	-
Lease liabilities	(2)	(2)	-	-
Trade and other payables, less withholding tax and SST payables	(21,923)	(21,923)	-	-
	(22,943)	(22,943)	-	-

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

The Group's activities are exposed to a variety of financial risks arising from its operations and the use of financial instruments. The key financial risks include credit risk, liquidity risk, foreign currency risk and interest rate risk. The Group's overall financial risk management objective is to optimise value for its shareholders. The Group does not trade in financial instruments.

The Board of Directors reviews and agrees to policies and procedures for the management of these risks, which are executed by the Group's senior management.

(i) Credit risk

Credit risk is the risk of financial loss to the Group that may arise on outstanding financial instruments should a counterparty default on its obligations. The Group is exposed to credit risk arises primarily from trade and other receivables. The Group has a credit policy in place and the exposure to credit risk is managed through the application of credit approvals, credit limits and monitoring procedures. Credit quality of a customer is assessed based on an extensive credit rating scorecard and individual credit limits are defined in accordance with this assessment.

The Group considers a financial asset to be in default when:

- the counterparty is unable to pay its credit obligations to the Group in full, without taking into account any credit enhancements held by the Group; or
- the contractual payment of the financial asset is more than 30 to 90 days past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

At the end of the reporting period, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Those events evidence that a financial asset is credit-impaired include observable data about the following events:

- significant financial difficulty of the counterparty;
- a breach of contract, including a default event;
- a concession or restructuring of loans granted by the lender of the counterparty relating to the counterparty's financial difficulty; or
- it is probable that the counterparty will enter bankruptcy or other financial reorganisation.

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group determines that the debtor does not have assets or source of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedure for recovery of amounts due.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets

As at the end of the reporting period, the maximum exposure to credit risk arising from trade receivables and contract assets is represented by the carrying amounts in the combined statements of financial position.

The carrying amounts of trade receivables and contract assets are not secured by any collateral or supported by any other credit enhancements. In determining the recoverability of these receivables, the Group considers any change in the credit quality of the receivables from the date the credit was initially granted up to the reporting date. The Group has adopted a policy of dealing with creditworthy counterparties as a means of mitigating the risk of financial loss from defaults.

Credit risk concentration profile
At the end of the reporting period, the Group has a significant concentration of credit risk in the form of three (3) (2024: three (3), 2023: two (2) and 2022: two (2)) trade receivables, representing approximately 94% (2024: 94%, 2023: 94% and 2022: 85%) of the Group's total trade receivables.

The Group applies the simplified approach to providing for impairment losses prescribed by MFRS 9 *Financial Instruments*, which permits the use of the lifetime expected credit losses provision for all trade receivables. To measure the impairment losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The impairment losses also incorporate forward-looking information. Forward-looking information considered includes consideration of various external sources of actual and forecast economic information that related to the Group's core operations.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The information about the credit risk exposure on the Group's trade receivables and contract assets are as follows:

		Trade receivables					
	Contract assets RM'000	Current RM'000	1 to 30 days past due RM'000	> 30 days past due RM'000	> 60 days past due RM'000	> 90 days past due RM'000	Total RM'000
At 30 April 2022							
Gross carrying amount at default	3,568	15,617	2	1	6	48	15,674
Impairment losses	-	-	-	-	-	-	-
Net balance	3,568	15,617	2	1	6	48	15,674
At 30 April 2023							
Gross carrying amount at default	11,260	24,713	6	6	4	25	24,754
Impairment losses	-	-	-	-	-	-	-
Net balance	11,260	24,713	6	6	4	25	24,754

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The information about the credit risk exposure on the Group's trade receivables and contract assets are as follows: (continued)

		Trade receivables					
	Contract assets RM'000	Current RM'000	1 to 30 days past due RM'000	> 30 days past due RM'000	> 60 days past due RM'000	> 90 days past due RM'000	Total RM'000
At 30 April 2024							
Gross carrying amount at default	2,305	27,429	500	1,763	-	-	29,692
Impairment losses	-	-	-	-	-	-	-
Net balance	2,305	27,429	500	1,763	-	-	29,692
At 30 April 2025							
Gross carrying amount at default	4,257	31,110	1,838	2,385	2,517	-	37,850
Impairment losses	-	-	-	-	-	-	-
Net balance	4,257	31,110	1,838	2,385	2,517	-	37,850

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Other receivables and other financial assets

For other receivables and other financial assets (including cash and cash equivalents), the Group minimises credit risk by dealing exclusively with high credit rating counterparties. At the reporting date, the Group maximum exposure to credit risk arising from other receivables and other financial assets is represented by the carrying amount of each class of financial assets recognised in the combined statements of financial position.

The Group considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk the Group compares the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportive forward-looking information. Especially the following indicators are incorporated:

- internal credit rating
- external credit rating (as far as available)
- actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations
- actual or expected significant changes in the operating results of the borrower
- significant increases in credit risk on other financial instruments of the same borrower
- significant changes in the value of the collateral supporting the obligation or in the quality of third-party guarantees or credit enhancements
- significant changes in the expected performance and behaviour of the borrower, including changes in the payment status of borrowers in the group and changes in the operating results of the borrower

Macroeconomic information (such as market interest rates or growth rates) is incorporated as part of the internal rating model.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than credit terms in making a contractual payment.

As at the end of the reporting date, the Group considers the other receivables and other financial assets as low risk and any loss allowance would be negligible.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(ii) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting financial obligations when they fall due. The Group's exposure to liquidity risk arises primarily from mismatches of the maturities between financial assets and liabilities. The Group's exposure to liquidity risk arises principally from trade and other payables and loans and borrowings.

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by facilities. The Group maintains sufficient liquidity and available funds to meet daily cash needs, while maintaining controls and security over cash movements. The Group uses a series of processes to obtain maximum benefits from its flow of funds, such that they are efficiently managed to maximise income from investment and minimise cost on borrowed funds. The Group's finance department also ensures that there are sufficient unutilised stand-by facilities, funding and liquid assets available to meet both short-term and long-term funding requirements.

Maturity analysis
The maturity analysis of the Group's financial liabilities by their relevant maturity at the reporting date based on contractual undiscounted repayment obligations are as follows:

		Contractual cash flows			
	Carrying amount RM'000	On demand or within one year RM'000	Between one to five years RM'000	More than five years RM'000	Total RM'000
At 30 April 2022					
Trade and other payables	13,951	13,951	-	-	13,951
Term loans	1,123	158	684	603	1,445
Hire purchase payables	1,477	370	1,214	38	1,622
Lease liabilities	73	65	11	-	76
	16,624	14,544	1,909	641	17,094

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(ii) Liquidity risk (continued)

Maturity analysis (continued)
The maturity analysis of the Group's financial liabilities by their relevant maturity at the reporting date based on contractual undiscounted repayment obligations are as follows: (continued)

		Contractual cash flows			
	Carrying amount RM'000	On demand or within one year RM'000	Between one to five years RM'000	More than five years RM'000	Total RM'000
At 30 April 2023					
Trade and other payables	20,468	20,468	-	-	20,468
Term loans	1,010	157	659	524	1,340
Hire purchase payables	1,092	405	763	-	1,168
Lease liabilities	2	2	-	-	2
Trade facilities	4,588	4,588	-	-	4,588
Bank overdrafts	1,612	1,612	-	-	1,612
	28,772	27,232	1,422	524	29,178
At 30 April 2024					
Trade and other payables, less withholding tax and SST payables	15,820	15,820	-	-	15,820
Term loans	898	157	483	492	1,132
Hire purchase payables	712	384	364	-	748
Lease liabilities	56	52	6	-	58
Bank overdrafts	103	103	-	-	103
	17,589	16,516	853	492	17,861
At 30 April 2025					
Trade and other payables, less withholding tax and SST payables	21,923	21,923	-	-	21,923
Term loans	782	157	385	433	975
Hire purchase payables	236	147	129	-	276
Lease liabilities	2	2	-	-	2
	22,943	22,229	514	433	23,176

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(iii) Foreign currency risk

Foreign currency risk is the risk of fluctuation in fair value or future cash flows of a financial instrument as a result of changes in foreign exchange rates. The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when sales, purchases and bank balances that are denominated in a foreign currency).

The Group's unhedged financial assets of the Group that are not denominated in their functional currencies are as follows:

	As at 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Financial assets not held in functional currencies				
Trade receivables				
United States Dollar ("USD")	-	-	95	-
Cash and bank balances				
USD	-	-	470	-

Sensitivity analysis for foreign currency risk
The Group's principal foreign currency exposure relates mainly to USD.

The following table demonstrates the sensitivity to a reasonably possible change in the USD, with all other variables held constant on the Group's total equity and profit for the financial years.

	Carrying amount RM'000	Changes in rate	Effect on (loss)/profit for the financial year/equity RM'000
30 April 2024			
USD	565	+ 10%	43
		- 10%	(43)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(iv) Interest rate risk

Interest rate risk is the risk of fluctuation in fair value or future cash flows of the Group's financial instruments as a result of changes in market interest rates. The Group's exposure to interest rate risk arises primarily from its loans and borrowings with floating interest rates.

The Group's interest rate risk arises primarily from interest-bearing borrowings. Borrowings at floating rates expose the Group to cash flow interest rate risk.

Sensitivity analysis for interest rate risk

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant on the Group's total equity and profit for the financial years.

	Carrying amount RM'000	Change in basis point	Effect on profit for the financial year/equity RM'000
30 April 2022			
Term loans	1,123	+ 100	(9)
		- 100	9
30 April 2023			
Term loans	1,010	+ 100	(8)
		- 100	8
Trade facilities	4,588	+ 100	(35)
		- 100	35
Bank overdrafts	1,612	+ 100	(12)
		- 100	12
30 April 2024			
Term loans	898	+ 100	(7)
		- 100	7
Bank overdrafts	103	+ 100	(1)
		- 100	1
30 April 2025			
Term loans	782	+ 100	(6)
		- 100	6

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(c) Fair value measurement

The carrying amounts of cash and cash equivalents, receivables and payables and short-term borrowings are reasonably approximate to their fair value due to relatively short-term nature of these financial instruments.

The carrying amounts of long-term floating rate term loans is reasonable approximation of fair values as the loans will be re-priced to market interest rate on or near reporting date.

There have been no transfers between Level 1 and Level 2 during the financial year (2024: no transfer in either directions, 2023: no transfer in either directions and 2022: no transfer in either directions).

The following table provides the fair value measurement hierarchy of the Group's financial instruments:

		Fair value of financial instruments not carried at fair value			
		Fair value			
	Carrying amount RM'000	Level 1 RM'000	Level 2 RM'000	Level 3 RM'000	Total RM'000
30 April 2022					
Financial asset					
Other investment	362	1	-	*	1
Financial liability					
Hire purchase payables	1,477	-	-	1,528	1,528
30 April 2023					
Financial asset					
Other investment	*	-	-	*	*
Financial liability					
Hire purchase payables	1,092	-	-	1,111	1,111
30 April 2024					
Financial liability					
Hire purchase payables	712	-	-	690	690
30 April 2025					
Financial liability					
Other payables	10,069	-	-	10,069	10,069
Hire purchase payables	236	-	-	690	690

** Denotes <RM1,000*

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

28. RELATED PARTIES

(a) Identity of related parties

Parties are considered to be related to the Group if the Group has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operational decisions, or vice versa, or where the Group and the party are subject to common control. Related parties may be individuals or other entity.

Related parties of the Group include:

(i) Subsidiary;
(ii) Persons connected to a director;
(iii) Entity in which directors have substantial financial interests; and
(iv) Key management personnel of the Group, comprise persons (including directors) having the authority and responsibility for planning, directing and controlling the activities or indirectly.

(b) Significant related party transactions

Significant related party transactions other than disclosed elsewehere in the financial statements are as follows:

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Sales of goods and rendering of services				
Persons connected to a director	381	934	607	2,981
Purchase of property, plant and equipment				
Entity in which director has substantial financial interests	-	5	-	-
Purchase of goods and services				
Entities in which directors have substantial financial interests	497	286	216	29
Persons connected to a director	25	6	-	-
Rental expenses				
Persons connected to a director	28	28	28	27

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

28. RELATED PARTIES (CONTINUED)

(b) Significant related party transactions (continued)

Significant related party transactions other than disclosed elsewehere in the financial statements are as follows: (continued)

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Advances from				
Directors	-	-	116	-
Advances to				
Entity in which director has substantial financial interests	10	6	-	-
Repayment by				
Entity in which director has substantial financial interests	-	5	-	-
Director	20	-	-	-
Repayment to				
Directors	-	151	177	229
Payment on behalf by				
Directors	3	197	147	93
Payment on behalf to				
Entity in which director has substantial financial interests	27	2	-	-

Significant outstanding balances with related parties at the end of the reporting period are as disclosed in Notes 11 and 17.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

28. RELATED PARTIES (CONTINUED)

(c) Compensation of key management personnel

	FYE 30 April			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Salaries, allowances and bonuses	358	367	539	445
Defined contribution plans	44	45	65	67
Other emoluments	2	3	3	97
	404	415	607	609

29. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholder value.

The Group manages its capital structure and make adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies and processes during financial years ended 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025.

The Group monitors capital using gearing ratio, which is total debts divided by total equity of the Group. The gearing ratio as at 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025 are as follows:

		As at 30 April			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Loans and borrowings	15	2,600	8,302	1,713	1,018
Total debts		2,600	8,302	1,713	1,018
Equity attributable to owners of the Company					
Total equity		10,861	15,649	19,941	38,937
Gearing ratio (times)		0.239	0.531	0.086	0.026

There were no changes in the Group's approach to capital management during the financial years under review.

The Group is not subject to externally imposed capital requirements.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

30. SEGMENT INFORMATION

The Group prepared the following segment information in accordance with MFRS 8 *Operating Segments* based on the internal reports of the Group's strategic business units which are regularly reviewed by Directors for the purpose of making decisions about resource allocation and performance assessment.

The 2 reportable segments are as follows:

Segments	**Products and services**
Water technology solutions	End to end solution from design, supply, installation and implementation of system solutions for water management. This includes designing the system solution, sourcing and supplying the IoT devices, instruments and software systems required, as well as installing, integrating, testing and commissioning the system solutions.
Intelligent asset management solutions	Intelligent asset management solutions which enable predictive analytics, automated reporting, and proactive alerts.

There is no inter-segment pricing.

Factors used to identify reportable segments
The group is organised into business units based on its business segment purposes.

Segment profit
Segment performance is used to measure performance as Directors believe that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries. Performance is evaluated based on operating profit or loss which is measured differently from operating profit or loss in the combined financial statements.

Segment assets
The total of segment asset is measured based on all of a segment, as included in the internal reports that are reviewed by the Directors.

Segment liabilities
Segment liabilities are not included in the internal reports that are reviewed by the Directors, hence no disclosures are made on segment liabilities.

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

30. SEGMENT INFORMATION (CONTINUED)

	Water technology solutions RM'000	Intelligent asset management solutions RM'000	Total RM'000
30 April 2022			
Revenue:			
Revenue from external customers	29,117	-	29,117
Segment profit	5,478	-	5,478
Other income			75
Unallocated expenses			(2,083)
Finance costs			(102)
Income tax expense			(1,036)
Profit for the financial year			2,332
Results:			
Included in the measure of segment profit are:			
Depreciation of property, plant and equipment			719
Employee benefits expense			1,511

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

30. SEGMENT INFORMATION (CONTINUED)

	Water technology solutions RM'000	Intelligent asset management solutions RM'000	Total RM'000
30 April 2023			
Revenue:			
Revenue from external customers	40,617	-	40,617
Segment profit	9,058	-	9,058
Other income			21
Unallocated expenses			(2,593)
Finance costs			(215)
Income tax expense			(1,483)
Profit for the financial year			4,788
Results:			
Included in the measure of segment profit are:			
Depreciation of property, plant and equipment			690
Employee benefits expense			1,649

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

30. SEGMENT INFORMATION (CONTINUED)

	Water technology solutions RM'000	Intelligent asset management solutions RM'000	Total RM'000
30 April 2024			
Revenue:			
Revenue from external customers	21,744	10,206	31,950
Segment profit	5,626	7,148	12,774
Other income			33
Unallocated expenses			(2,933)
Finance costs			(186)
Income tax expense			(2,789)
Profit for the financial year			6,899
Results:			
Included in the measure of segment profit are:			
Depreciation of property, plant and equipment			524
Employee benefits expense			1,935

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

30. SEGMENT INFORMATION (CONTINUED)

	Water technology solutions RM'000	Intelligent asset management solutions RM'000	Total RM'000
30 April 2025			
Revenue:			
Revenue from external customers	15,709	33,930	49,639
Segment profit	3,544	26,139	29,683
Other income			1,468
Unallocated expenses			(4,810)
Finance costs			(532)
Income tax expense			(6,658)
Share of results of an associate, net of tax			(173)
Profit for the financial year			18,978
Results:			
Included in the measure of segment profit are:			
Depreciation of property, plant and equipment			485
Employee benefits expense			2,550

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

30. SEGMENT INFORMATION (CONTINUED)

Geographical Information

Revenue and non-current assets information based on geographical location of customers are as follows:

	Revenue RM'000	Non-current assets RM'000
30 April 2022		
Malaysia	29,113	2,888
Vietnam	4	-
	29,117	2,888

	Revenue RM'000	Non-current assets RM'000
30 April 2023		
Malaysia	40,617	2,067

	Revenue RM'000	Non-current assets RM'000
30 April 2024		
Malaysia	31,378	2,011
Cambodia	572	-
	31,950	2,011

	Revenue RM'000	Non-current assets RM'000
30 April 2025		
Malaysia	49,639	14,478

Information about major customers

Revenue from top five (5) (30.04.2022: five (5) , 30.04.2023: five (5) and 30.04.2024: five (5)) customers represented approximately RM 17.64 million (30.04.2022: RM27.62 million, 30.04.2023: RM38.28 million and 30.04.2024: RM24.69 million) of the Group's total revenue.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION

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17 September 2025

The Board of Directors
Insights Analytics Berhad
D272, D273 & D274, 1st Floor Block D,
ICOM Square,
Jalan Pending,
93450 Kuching,
Sarawak

Dear Sirs,

INSIGHTS ANALYTICS BERHAD ("IAB" or the "Company")

REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION AS AT 30 APRIL 2025 INCLUDED IN A PROSPECTUS

We have completed our assurance engagement to report on the compilation of the pro forma combined statements of financial position of IAB and the combining entities, namely Exxor Technologies Sdn. Bhd., Intelli Technologies Sdn. Bhd. and Exxor Data Solutions Sdn Bhd. (collectively referred to as the "Group") for which the Board of Directors of IAB are solely responsible. The pro forma combined statements of financial position consist of the pro forma combined statements of financial position as at 30 April 2025 together with the accompanying notes thereon, as set out in the accompanying statements, for which we have stamped for the purpose of identification. The applicable criteria on the basis of which the Board of Directors of IAB have compiled the pro forma combined statements of financial position are as described in Note 2 to the pro forma combined statements of financial position and in accordance with the requirements of Chapter 9 of the *Prospectus Guidelines* issued by the Securities Commission Malaysia ("Prospectus Guidelines") and the Guidance Note for Issuers of Pro Forma Financial Information issued by the Malaysian Institute of Accountants ("Applicable Criteria").

The pro forma combined statements of financial position of the Group has been compiled by the Board of Directors of IAB, for illustrative purposes only, for inclusion in the prospectus of IAB ("Prospectus") in conjunction with the listing and quotation of the entire enlarged issued share capital of IAB on the ACE Market of Bursa Malaysia Securities Berhad comprising the Public Issue and the Offer for Sale ("IPO"), after making certain assumptions and such adjustments to show the effects on the pro forma combined financial position of the Group as at 30 April 2025 adjusted for the transactions as described in Note 2.2, Acquisitions, Public Issue, Offer for Sale and utilisation of proceeds as described in Notes 1.2.1, 1.2.2, 1.2.3 and 3.2.1 respectively.

Baker Tilly Monteiro Heng PLT trading as Baker Tilly is a member of the global network of Baker Tilly International Ltd., the members of which are separate and independent legal entities.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION *(Cont'd)*

As part of this process, information about the Group's pro forma combined financial position has been extracted by the Board of Directors of IAB from the accountants' report of the Group for the financial years ended ("FYEs") 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025, which were reported by us to the Board of Directors of IAB on 17 September 2025 without any modifications.

Directors' Responsibility for the Pro Forma Combined Statements of Financial Position

The Board of Directors of IAB are responsible for compiling the pro forma combined statements of financial position based on the Applicable Criteria.

Our Independence and Quality Control

We have complied with the independence and other ethical requirements of the *By-Laws (on Professional Ethics, Conduct and Practice)* issued by the Malaysian Institutes of Accountants and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*, which are founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

Our firm applies *International Standard on Quality Management 1 (ISQM 1), Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* issued by the international Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants and accordingly maintains a comprehensive system of quality management including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Reporting Accountants' Responsibilities

Our responsibility is to express an opinion, on whether the pro forma combined statements of financial position has been compiled, in all material respects, by the Board of Directors of IAB based on the Applicable Criteria.

We conducted our engagement in accordance with *International Standard on Assurance Engagements (ISAE) 3420: Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus*, issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants. This standard requires that we plan and perform procedures to obtain reasonable assurance about whether the Board of Directors of IAB have compiled, in all material respects, the pro forma combined statements of financial position based on the Applicable Criteria.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION *(Cont'd)*

Reporting Accountants' Responsibilities (Continued)

For the purpose of this engagement, we are not responsible for updating or reissuing any reports or opinions on any historical financial information used in compiling the pro forma combined statements of financial position, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the pro forma combined statements of financial position.

The purpose of the pro forma combined statements of financial position included in the Prospectus is solely to illustrate the impact of significant events or transactions on the unadjusted financial information of the Group as if the events had occurred or the transaction had been undertaken at an earlier date selected for illustrative purposes only. Accordingly, we do not provide any assurance that the actual outcome of the events or transactions would have been as presented.

A reasonable assurance engagement to report on whether the pro forma combined statements of financial position has been compiled, in all material respects, based on the Applicable Criteria involves performing procedures to assess whether the Applicable Criteria used by the Board of Directors of IAB in the compilation of the pro forma combined statements of financial position of the Group provide a reasonable basis for presenting the significant effects directly attributable to the Listing and the acquisition of the combining entities as described in Note 1.2 to the pro forma combined statements of financial position, and to obtain sufficient appropriate evidence about whether:

(a) The related pro forma adjustments give appropriate effect to those criteria; and

(b) The pro forma financial information reflects the proper application of those adjustments to the unadjusted financial information.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the events or transactions in respect of which the pro forma combined statements of financial position has been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the pro forma combined statements of financial position.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION *(Cont'd)*

INSIGHTS ANALYTICS BERHAD
Reporting Accountants' Report on the Compilation of the Pro Forma Combined Statements of Financial Position as at 30 April 2025 Included in a Prospectus

Our opinion

In our opinion the pro forma combined statements of financial position of the Group has been compiled, in all material respects, on the basis as described in the notes thereon on the pro forma combined statements of financial position and in accordance with the requirements of the Applicable Criteria.

Other matter

This report has been prepared for inclusion in the Prospectus of IAB in connection with the IPO. As such, this report should not be used, circulated, quoted or otherwise referred to in any document or used for any other purpose without our prior written consent. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this report contrary to the aforesaid purpose.

Yours faithfully,

Baker Tilly Monteiro Heng PLT
201906000600 (LLP0019411-LCA) & AF 0117
Chartered Accountants

Paul Tan Hong
No. 03459/11/2025 J
Chartered Accountant

PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION

1. INTRODUCTION

The pro forma combined statements of financial position of Insights Analytics Berhad ("IAB" or the "Company") and its combining entities, namely Exxor Technologies Sdn. Bhd. ("Exxor Technologies"), Intelli Technologies Sdn. Bhd. ("Intelli Technologies"), and Exxor Data Solutions Sdn. Bhd. ("Exxor Data Solutions") (hereinafter collectively referred to as the "Group") has been compiled by the Board of Directors of IAB, for illustrative purposes only, for inclusion in the prospectus of IAB in connection with the listing and quotation of the entire enlarged issued share capital of RM63,122,495 comprising 550,000,000 ordinary shares in IAB ("IAB Share(s)" or "Share(s)") on the ACE Market of Bursa Malaysia Securities Berhad ("Bursa Securities") ("Listing").

1.1 In conjunction with the admission of IAB Shares to the Official List of the ACE Market of Bursa Securities and the Listing, IAB had undertaken the following transactions:

1.2 Listing Scheme

1.2.1 Acquisitions

(a) Acquisitions of Exxor Technologies and Exxor Data Solutions

On 26 December 2024, IAB had entered into a conditional share sale agreement for the:

(i) acquisition of the entire issued share capital of Exxor Technologies of RM1,000,000 comprising 1,000,000 ordinary shares from the shareholders of Exxor Technologies for a total purchase consideration of RM19,562,395 to be satisfied entirely via the allotment and issuance of 428,999,900 new IAB Shares at an issue price of RM0.0456 per IAB Share.

The purchase consideration of RM19,562,395 was arrived at after taking into consideration of the audited net assets ("NA") of Exxor Technologies and its subsidiaries as at 30 April 2024; and

(ii) acquisition of the entire issued share capital of Exxor Data Solutions of RM100 comprising 100 ordinary shares from the shareholders of Exxor Data Solutions for a total purchase consideration of RM1,000.

The purchase consideration of RM1,000 was arrived at after taking into consideration of the audited net liabilities of Exxor Data Solutions as at 30 April 2024. The purchase consideration of Exxor Data Solutions is RM1,000 as the company is inactive.

PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION (CONTINUED)

1. (Continued)

1.2 (Continued)

1.2.2 **Public Issue**

The Public Issue of 121,000,000 new IAB Shares at the issue price of RM0.36 per Share ("IPO Price"), representing 22.0% of the enlarged share capital of IAB, will be allocated in the following manner:

(i) 27,500,000 new Issue Shares to be issued under the Public Issue ("Issue Share(s)"), representing 5.0% of enlarged share capital, will be offered to the Bumiputera Malaysian Public and the Malaysian Public by way of public balloting;

(ii) 11,000,000 Issue Shares, representing approximately 2.0% of enlarged share capital, will be made available for application by the eligible Directors and eligible employees and persons who have contributed to the Group;

(iii) 41,250,000 Issue Shares, representing 7.5% of enlarged share capital, will be made available by way of private placement for Ministry of Investment, Trade and Industry ("MITI") approved Bumiputera investors; and

(iv) 41,250,000 Issue Shares, representing 7.5% of enlarged share capital, will be offered by way of private placement to selected investors.

(Collectively hereinafter referred to as "Public Issue").

1.2.3 **Offer for Sale**

A total of 27,500,000 existing IAB Shares, representing 5.0% of enlarged share capital is offered under Offer for Sale by way of private placement at the issue price of RM0.36 per Share to MITI approved Bumiputera investors.

1.2.4 **Listing**

Upon completion of the IPO, IAB's entire enlarged issued share capital of approximately RM63,122,495 comprising 550,000,000 IAB Shares will be listed on the ACE Market of Bursa Securities.

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14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION *(Cont'd)*

2. BASIS OF PREPARATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION

2.1 The pro forma combined statements of financial position have been prepared to illustrate the pro forma combined financial position of the Group as at 30 April 2025, adjusted for the transactions as described in Note 2.2, Acquisitions, Public Issue, Offer for Sale and utilisation of proceeds as described in Notes 1.2.1, 1.2.2, 1.2.3 and 3.2.1 respectively.

2.2 The pro forma combined statements of financial position have been prepared based on the audited combined financial statements of the Group for the financial year ended ("FYE") 30 April 2025.

2.3 The audited combined financial statements of the Group for the FYE 30 April 2025 were reported by the auditors to the members without any modifications.

2.4 The pro forma combined statements of financial position of the Group have been prepared for illustrative purposes only and, such information may not, because of its nature, give a true picture of the actual financial position and the results of the Group and does not purport to predict the future financial position and results of the Group.

2.5 The pro forma combined statements of financial position of the Group have been properly prepared on the basis set out in the accompanying notes to the pro forma combined statements of financial position based on the audited combined financial statements of the Group for FYE 30 April 2025, which have been prepared in accordance with the Malaysian Financial Reporting Standards and the International Financial Reporting Standards.

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3. PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION OF THE GROUP

3.1 The pro forma combined statements of financial position of the Group as set out below, for which the directors of IAB are solely responsible, have been prepared for illustrative purposes only, to show the effects on the audited combined statement of financial position of IAB as at 30 April 2025, had the transactions as described in Note 2.2, 1.2.1, 1.2.2, 1.2.3 and utilisation of proceeds as described in Note 3.2.1 been effected on that date, and should be read in conjunction with the notes accompanying thereto.

	Combined Statements of Financial Position as at 30 April 2025[#] RM'000	Pro Forma I After the Acquisitions RM'000	Pro Forma II After the Public Issue RM'000	Pro Forma III After Pro Forma I and the Utilisation of Proceeds RM'000
ASSETS				
Non-current assets				
Property, plant and equipment	1,042	1,042	1,042	1,042
Right-of-use assets	2	2	2	2
Intangible assets	13,175	13,175	13,175	13,175
Investment in an associate	259	259	259	259
Total non-current assets	**14,478**	**14,478**	**14,478**	**14,478**
Current assets				
Inventories	519	519	519	519
Trade and other receivables	39,202	39,202	39,202	39,202
Contract assets	4,257	4,257	4,257	4,257
Cash and short-term deposits	9,775	9,774	53,334	49,221
Current tax assets	20	20	20	20
Total current assets	**53,773**	**53,772**	**97,332**	**93,219**
TOTAL ASSETS	**68,251**	**68,250**	**111,810**	**107,697**

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14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION *(Cont'd)*

3. PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)

3.1 (Continued)

	Combined Statements of Financial Position as at 30 April 2025# RM'000	Pro Forma I After the Acquisitions RM'000	Pro Forma II After the Public Issue RM'000	Pro Forma III After Pro Forma I and the Utilisation of Proceeds RM'000
EQUITY AND LIABILITIES				
Equity attributable to owners of the Company				
Share capital	-	19,562	63,122	61,058
Invested equity	1,000	-	-	-
Reorganisation reserve	-	(18,563)	(18,563)	(18,563)
Retained earnings	37,937	37,937	37,937	35,888
	38,937	38,936	82,496	78,383
Non-controlling interests	(34)	(34)	(34)	(34)
TOTAL EQUITY	**38,903**	**38,902**	**82,462**	**78,349**
Non-current liabilities				
Loans and borrowings	784	784	784	784
Lease liabilities	-	-	-	-
Other payables	6,279	6,279	6,279	6,279
Deferred tax liabilities	301	301	301	301
Total non-current liabilities	**7,364**	**7,364**	**7,364**	**7,364**
Current liabilities				
Loans and borrowings	234	234	234	234
Lease liabilities	2	2	2	2
Trade and other payables	18,491	18,491	18,491	18,491
Contract liabilities	328	328	328	328
Current tax liabilities	2,929	2,929	2,929	2,929
Total current liabilities	**21,984**	**21,984**	**21,984**	**21,984**
TOTAL LIABILITIES	**29,348**	**29,348**	**29,348**	**29,348**
TOTAL EQUITY AND LIABILITIES	**68,251**	**68,250**	**111,810**	107,697

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14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION *(Cont'd)*

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3. PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)

3.1 (Continued)

	Combined Statements of Financial Position as at 30 April 2025[#]	Pro Forma I After the Acquisitions	Pro Forma II After the Public Issue	Pro Forma III After Pro Forma I and the Utilisation of Proceeds
Number of ordinary shares assumed to be in issue ('000)	1,000[@]	429,000	550,000	550,000
Net assets ("NA")^ (RM'000)	38,937	38,936	82,496	78,383
NA per ordinary share (RM)	38.94	0.09	0.15	0.14
Interest-bearing borrowings (RM'000)	1,018	1,018	1,018	1,018
Gearing (times)	0.03	0.03	0.01	0.01

^ attributable to owners of the Company

Note:

[#] *Extracted from Group's Accountants' Report for the FYEs 30 April 2022, 30 April 2023, 30 April 2024 and 30 April 2025*

[@] *Representing invested equity of the Company as at FYE 30 April 2025*

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3. PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)

3.2 Notes to the pro forma combined statements of financial position are as follows:

3.2.1 The proceeds from the Public Issue would be used in the following manner:

Purposes	RM'000	%	Estimated timeframe for utilisation from proposed listing date
Business expansion[(1)]			
- Expansion of corporate office in Sarawak with a mini data centre	4,400	10.1%	Within 18 months
- Expansion of IT operations	1,860	4.3%	Within 24 months
- Expansion of West Malaysia branch office	1,212	2.8%	Within 24 months
General working capital	22,181	50.9%	Within 24 months
Strategic investments, mergers and acquisitions opportunities	9,000	20.7%	Within 24 months
Estimated Listing expenses[(2)]	4,907	11.2%	Immediately
	43,560	100.0%	

Notes:

(1) As at 8 September 2025, being the latest practicable date for this letter, the Group has yet to enter into any contractual binding agreement or issue any purchase order in relation to the expansion of corporate office in Sarawak with a mini data centre, expansion of IT operations and expansion of West Malaysia branch office. Accordingly, the utilisation of proceeds earmarked for the expansion of corporate office in Sarawak with a mini data centre, expansion of IT operations and expansion of West Malaysia branch office are not reflected in the pro forma combined statements of financial position.

(2) The estimated listing expenses totaling RM4.91 million to be borne by the Company comprise of, among others, underwriting, placement and brokerage fees, professional fees as well as other miscellaneous expenses.

As at 30 April 2025, out of the RM4.91 million relating to the listing exercise earmarked for listing expenses, RM0.80 million has been incurred and charged to the Retained Earnings Account.

Out of RM4.11 million, being the remaining estimated listing expenses to be incurred, RM2.05 million will be charged to Retained Earnings Account and the remaining RM2.06 million will be capitalised in Share Capital Account as these are directly attributable expenses relating to the new issuance of Shares

3. **PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.2 The pro forma combined statements of financial position should be read in conjunction with the notes below:

(a) Pro Forma I

Pro Forma I incorporates the Proposed Acquisitions as described in Note 1.2.1 on the pro forma combined statements of financial position of the Group as at 30 April 2025.

Acquisition of Exxor Technologies

The reorganisation reserve arising from the Acquisition of Exxor Technologies are as below:

	RM'000
Purchase consideration	19,562
Less: Share capital of the proposed subsidiaries	(1,000)
Reorganisation reserve	18,562

Acquisition of Exxor Data Solutions

The reorganisation reserve arising from the Acquisition of Exxor Data Solutions are as below:

	RM'000
Purchase consideration	1
Less: Share capital of the proposed subsidiaries	*
Reorganisation reserve	1

* *Less than RM1,000*

The Proposed Acquisitions will have the following impact on the audited combined statements of financial position of the Group as at 30 April 2025:

	Increase/(Decrease)	
	Effects on Total Assets RM'000	**Effects on Total Equity RM'000**
Share capital	-	19,562
Cash and short-term deposits	(1)	-
Invested equity	-	(1,000)
Reorganisation reserve	-	(18,563)
	(1)	(1)

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3. PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)

3.2 (Continued)

3.2.2 (Continued)

(b) **Pro Forma II**

Pro Forma II incorporates the cumulative effects of Pro Forma I and the Public Issue as described in Notes 1.2.2.

The Public Issue will have the following impact on the pro forma combined statements of financial position of the Group as at 30 April 2025:

	Increase	
	Effects on Total Assets RM'000	**Effects on Total Equity RM'000**
Cash and short-term deposits	43,560	-
Share capital	-	43,560
	43,560	43,560

(c) **Pro Forma III**

Pro Forma III incorporates the cumulative effects of Pro Forma II and the utilisation of proceeds from the Public Issue of RM43.56 million and after netting off RM4.91 million of estimated listing expenses.

The remaining proceeds expected from the Public Issue of RM38.65 million will be used in the manner as described in Note 3.2.1.

The proceeds arising from the Public Issue earmarked for the expansion of corporate office in Sarawak with a mini data centre, expansion of IT operations, expansion of West Malaysia branch office and Group's working capital purposes of RM38.65 million will be included in the Cash and Bank Balances Account.

As at 30 April 2025, out of the RM4.91 million for listing expenses, RM0.80 million has been incurred and charged to the Retained Earnings Account.

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3. **PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.2 (Continued)

(d) **Pro Forma III (continued)**

As for the remaining estimated listing expenses of RM4.11 million, RM2.05 million will be charged to Retained Earnings Account and the remaining RM2.06 million will be capitalised in Share Capital Account as these are directly attributable expenses relating to the new issuance of shares.

The utilisation of proceeds will have the following impact on the pro forma combined statements of financial position of the Group as at 30 April 2025:

	Decrease	
	Effects on Total Assets RM'000	**Effects on Total Equity RM'000**
Share capital	-	2,064
Retained earnings	-	2,049
Cash and short-term deposits	4,113	-
	4,113	4,113

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14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION *(Cont'd)*

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3. PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)

3.2 (Continued)

3.2.3 Movements in share capital and reserves are as follows:

	Share capital RM'000	Invested equity RM'000	Reorganisation reserve RM'000	Retained earnings RM'000	Total RM'000
Combined statements of financial position of IAB as at 30 April 2025	-	1,000	-	37,937	38,937
Arising from the Acquisitions	19,562	(1,000)	(18,563)	-	(1)
As per Pro Forma I	19,562	-	(18,563)	37,937	38,936
Arising from the Public Issue	43,560	-	-	-	43,560
As per Pro Forma II	63,122	-	(18,563)	37,937	82,496
Arising from the defrayment of estimated listing expenses	(2,064)	-	-	(2,049)	(4,113)
As per Pro Forma III	61,058	-	(18,563)	35,888	78,383

3.2.4 Movements in cash and short-term deposits are as follows:

	RM'000
Combined statements of financial position of IAB as at 30 April 2025	9,775
Arising from Subsequent Events	-
Combined statements of financial position of IAB	9,775
Arising from the Acquisitions	(1)
As per Pro Forma I	9,774
Arising from the Public Issue	43,560
As per Pro Forma II	53,334
Arising from the defrayment of estimated listing expenses	(4,113)
As per Pro Forma III	49,221

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14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENTS OF FINANCIAL POSITION *(Cont'd)*

INSIGHTS ANALYTICS BERHAD

APPROVAL BY BOARD OF DIRECTORS

Approved and adopted on behalf of the Board of Directors of Insights Analytics Berhad in accordance with a resolution dated 17 SEP 2025

.....	.....
Wee Khiam Hui	**Bong Joon Fook**
Director	**Director**

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15. STATUTORY AND OTHER INFORMATION

15.1 SHARE CAPITAL

(a) As at the date of this Prospectus, we only have one class of shares, namely, ordinary shares, all of which rank equally with one another.

(b) Save for the Pink Form Allocations as disclosed in Section 4.3.3,

(i) no Director or employee of our Group has been or is entitled to be given or has exercised any option to subscribe for any share of our Company or our subsidiaries; and

(ii) there is no scheme involving the employees of our Group in the shares of our Company or our subsidiaries.

(c) Save for the new Shares issued to the subscribers shareholder pursuant to the Acquisitions as disclosed in Section 6.2 and to be issued for the Public Issue as disclosed in Section 4.3.1, no shares of our Company have been issued or are proposed to be issued as fully or partly paid-up, in cash or otherwise, within the past 2 years immediately preceding the date of this Prospectus.

(d) Other than our Public Issue as disclosed in Section 4.3.1, there is no intention on the part of our Directors to further issue any Shares on the basis of this Prospectus.

(e) As at the date of this Prospectus, we do not have any outstanding convertible debt securities.

15.2 SHARE CAPITAL OF OUR SUBSIDIARIES AND ASSOCIATED COMPANY

Details of our share capital are set out in Section 6.1. Details of the share capital of our subsidiaries and associated company are set out below.

15.2.1 Subsidiaries

(a) Exxor Technologies

Exxor Technologies' share capital as at LPD is RM1,000,000 comprising 1,000,000 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration / Type of issue	Cumulative share capital
			RM
22 May 2003	2	RM 2 / Subscribers' shares	2
5 December 2003	19,998	RM19,998 / Cash	20,000
29 September 2011	80,000	RM80,000 / Cash	100,000
3 May 2016	150,000	RM150,000 / Cash	250,000
16 January 2017	750,000	RM750,000 / Cash	1,000,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in Exxor Technologies. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

(b) Exxor Data Solutions

Exxor Data Solutions' share capital as at LPD is RM100 comprising 100 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration / Type of issue	Cumulative share capital
			RM
29 March 2022	100	RM100 / Subscribers' shares	100

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in Exxor Data Solutions. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

(c) Intelli Technologies

Intelli Technologies' share capital as at LPD is RM100 comprising 100 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration / Type of issue	Cumulative share capital
			RM
8 April 2019	100	RM100 / Subscribers' shares	100

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in Intelli Technologies. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

15.2.2 Associated company

(a) Intelli Technology Vietnam

Intelli Technology Vietnam's share capital as at LPD is [(1)]VND9,000,000,000 comprising 900,000 ordinary shares. The share capital since incorporation is as follows:

Date of allotment	No. of shares allotted	Consideration / Type of issue	Cumulative share capital
			VND
20 June 2019	900,000	[(1)]VND9,000,000,000 / Subscribers' shares	[(1)]9,000,000,000

Note:

(1) Equivalent to RM1,440,000 based on BNM's exchange rate of VND100: RM0.0160 as at LPD.

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in Intelli Technology Vietnam. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

15.3 CONSTITUTION

The following provisions are extracted from our Constitution. Terms defined in our Constitution shall have the same meanings when used here unless they are otherwise defined here or the context otherwise requires.

15.3.1 Changes in share capital and variation of class rights

The provisions in our Constitution dealing with changes in share capital and variation of class rights, which are no less stringent than those required by law, are as follows:

Clause 7.2 – Issue of shares

Without prejudice to any special rights previously conferred on the holders of any existing Shares or class of Shares and subject to the provisions of the Constitution, the applicable laws, the Act and the provisions of any resolution of the Company, Shares in the Company may be issued by the Directors, who may allot, or otherwise dispose of such Shares to such persons, on such terms and conditions, with such preferred, deferred or other special rights, and subject to such restrictions and at such times as the Directors may determine but the Directors in making any issue of Shares shall comply with the following conditions: -

(a) no Shares shall be issued which shall have the effect of transferring a controlling interest in the Company without the prior approval of the members in meeting of members;

(b) in the case of Shares of a class, other than ordinary shares, no special rights shall be attached until the same have been expressed in the Constitution and in the resolution creating the same;

(c) every issue of Shares or options to employees and/or Directors shall be approved by the members in meeting of members and such approval shall specifically detail the amount of Shares or options to be issued to such employees and/or Directors; and only Directors holding office in an executive capacity shall participate in such an issue of Shares or options provided always that a Director not holding office in an executive capacity may so participate in an issue of Shares pursuant to public offer or a public issue;

(d) except in the case of an issue of securities on a pro rata basis to members or pursuant to a back-to-back placement or dividend reinvestment scheme undertaken in compliance with the Listing Requirements, a Director, major shareholders, Chief Executive or person connected to any Director, major shareholder or Chief Executive of the Company shall not participate, directly or indirectly, in an issue of ordinary Shares or other securities with rights of conversion to ordinary Shares unless the members in meeting of members have approved the specific allotment to be made to the Director major shareholders, Chief Executive or person connected to any Director, major shareholder or Chief Executive and the Director, major shareholders, Chief Executive or person connected to any Director, major shareholder or Chief Executive has abstained from voting on the relevant resolution;

In this Clause, "Major Shareholder", "Chief Executive" and "Person connected to any Director, major shareholder or Chief Executive" shall have the same meaning described thereto in the Listing Requirements.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 15.1 – Company may alter its capital in certain ways

Subject to the applicable laws, the Company may from time to time by ordinary resolution:-

(a) consolidate and divide all or any of its share capital into Shares of larger amount than its existing shares;

(b) subdivide its share capital or any part thereof into shares of smaller amount than is fixed by the Constitution by subdivision of its existing shares or any of them, subject nevertheless to the provisions of the Act and so that as between the resulting shares, one (1) or more of such shares may, by the resolution by which such subdivision is effected, be given any preference or advantage as regards dividends, return of capital, voting or otherwise over the others or any other of such shares;

(c) cancel Shares which at the date of the passing of the resolution in that behalf have not been taken or agreed to be taken by any person or which have been forfeited and diminish the amount of its share capital by the amount of the shares so cancelled;

(d) convert all or any of its issued Shares into stock and reconvert that stock into paid up Shares; and

(e) subject to the provisions of the Constitution and the Act, convert and/or re-classify any class of Shares into any other class of Shares.

Clause 15.2 – Power to reduce capital

The Company may by special resolution, reduce its share capital in any manner permitted or authorised under and in compliance with the applicable laws.

Clause 16.1 – Increase of share capital

The Company may from time to time, whether all the Shares for the time being issued shall have been fully called up or not, by ordinary resolution increase its share capital by the creation of new Shares, such new capital to be of such amount and to be divided into Shares of such respective amounts and (subject to any special rights for the time being attached to any existing class of shares) to carry such preferential, deferred or other special rights (if any) or to be subject to such conditions or restrictions (if any), in regard to dividend, return of capital, voting or otherwise, as the Company by the resolution authorising such increase may direct.

Clause 16.3 – Reservation of right to issue further

If the Company at any time issues preference capital, it shall indicate at the same time whether it reserves the right to issue further preference capital ranking equally with or in priority to preference shares already issued.

Clause 16.6 – Issue of new Shares to existing members

Subject to any direction to the contrary that may be given by the Company in meeting of members, all new Shares or other convertible securities shall, before issue, be offered to such persons who as at the date of the offer, are entitled to receive notices from the Company of meetings of members, in proportion, as nearly as circumstances admit, to the amount of the existing Shares or securities to which they are entitled. The offer shall be made by notice specifying the number of Shares or securities offered, and limiting a time within which the offer, if not accepted, will be deemed to be declined, and, after the expiration of such time,

or on the receipt of an intimation from the person to whom the offer is made that he declines to accept the Shares or securities offered, the Directors may, subject to the Constitution, dispose of those Shares or securities in such manner as they think most beneficial to the Company. The Directors may likewise so dispose of any new Shares or securities which (by reason of the ratio which the new Shares or securities bear to Shares or securities held by persons entitled to an offer of new Shares or securities), cannot, in the opinion of the Directors, be conveniently, offered under the Constitution.

Clause 17 – Variation on rights

If at any time the share capital is divided into different classes of Shares, the rights attached to any class (unless otherwise provided by the terms of issue of the Shares of that class) may, whether or not the Company is being wound up, be varied or abrogated with the consent in writing of the holders of seventy-five per centum (75%) of the issued shares of that class or with the sanction of a special resolution passed at a separate meeting of the holders of the Shares of that class. To every such separate meeting the provisions of the Constitution relating to meeting of members shall mutatis mutandis apply so that the necessary quorum shall be two (2) persons holding at least or represented by proxy holding at least one-third (1/3) of the issued Shares of the class and that any holder of Shares of the class present in person or by proxy may demand a poll. To every such special resolution the provisions of Section 292 of the Act shall apply with such adaptations as are necessary.

15.3.2 Borrowing and voting power of the Directors

The provisions in our Constitution dealing with voting and borrowing powers of our Directors including voting powers in relation to proposals, arrangements or contract in which they are interested in are as follows:

Clause 20.1 – Chairman's casting vote

In the case of an equality of votes, the chairman of the meeting shall have a second or casting vote in addition to the votes to which he may be entitled as a member.

Clause 23.2 – Directors' borrowing powers

(a) Subject to applicable laws, the Directors may from time to time at their discretion raise or borrow such sums of money as they think proper and may secure the repayment of such sums in such manner and upon such terms and conditions in all respects as they think fit and in particular by the issue of bonds, perpetual or redeemable, debentures or debenture stock or any mortgage or guarantee, charge or security on the undertaking of the whole or any part of the property of the Company (both present and future), including its uncalled capital for the time being and borrow any money or mortgage or charge any of the Company's or the subsidiaries' undertaking, property, or any uncalled capital, or to issue debentures and other securities whether outright or as security for any debt, liability or obligation of any subsidiary, associated or other companies or persons. Provided that the Directors shall not issue any debt securities convertible to ordinary shares without the prior approval of the Company in meeting of members.

(b) Any debentures, debenture stock, bonds or other securities may be issued with any special privileges as to redemption, surrender, drawings, allotment of Shares, attending and voting at meeting of members of the Company, appointment of Directors and otherwise.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

(c) If the Directors or any of them or any other person shall become personally liable for the payment of any sum primarily due from the Company in its ordinary course of business, the Directors may execute or cause to be executed any mortgage, charge or security over or affecting the whole or any part of the assets of the Company by way of indemnity to secure the Directors or other persons so becoming liable as aforesaid from any loss in respect of such liability.

(d) The Directors shall cause a proper register to be kept in accordance with Section 362 of the Act of all mortgages and charges specifically affecting the property of the Company and shall duly comply with the requirements of Section 352 of the Act as regards the registration of mortgages and charges therein specified or otherwise.

Clause 23.11 – Declaration of interest by a Director

A Director who is in any way, whether directly or indirectly, interested in a contract or proposed contract with the Company shall declare the nature of his interest in accordance with the provisions of the Act. Subject always to the Act and/or Listing Requirements, a Director shall not vote in respect of any contract or proposed contract or arrangement in which he is directly or indirectly interested. The Directors will not be considered as interested in the following circumstances:-

(a) any arrangement for giving to him any security or indemnity in respect of money lent by him or obligations undertaken by him for the benefit of the Company; or

(b) any arrangement for the giving by the Company of any security to a third party in respect of a debt or obligation of the Company for which he himself has assumed responsibility in whole or in part under a guarantee or indemnity or by the deposit of a security; or

(c) any contract by him to subscribe for or underwrite share; or debentures of the Company; or

(d) any contract or arrangement with any other company in which he is interested only as a director or other officer or creditor of or as a shareholder in or beneficially interested in the Shares of the Company.

Clause 24.8 – Chairman's casting vote

In case of an equality of votes, the chairman shall have a second or casting vote provided always that the chairman of a meeting at which only two (2) Directors form a quorum or at which only two (2) Directors are competent to vote on the questions at issue, the chairman of the meeting shall not have a second or casting vote.

15.3.3 Remuneration of Directors

The provisions in our Constitution dealing with remuneration of Directors are as follows:

Clause 21.3 – Alternate Directors

Any Director may from time to time appoint any person to act as his alternate provided that:

(a) such person is not a Director of the Company;

(b) such person does not act as an alternate for more than one (1) Director of the Company;

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

(c) the appointment of such person to be an alternate Director of the Company is approved by a majority of the other Directors; and

(d) any fee paid by the Company to the alternate Director shall be deducted from his appointor's remuneration.

Any appointment so made may be revoked at any time by the appointer or by a majority of the Directors. All appointments and removals of alternate Directors made by any Director in pursuance of the provisions of the Constitution shall be in writing under the hand of the Director making the same and left at the registered office of the Company ("**Office**").

An alternate Director shall be entitled to receive notices of and attend all meetings of the Directors, and to vote as a Director at any such meeting at which the Director appointing him is not present, and generally in the absence of his appointer to perform all the functions of his appointer as a Director. An alternate Director may be removed from Office by resolution of the Board, and shall ipso facto cease to be an alternate Director if his appointer ceases for any reason to be a Director or becomes bankrupt or unsound mind or on the happening of any event which render him legally disqualified from acting as a Director.

The nomination of an alternate Director may be made in writing and sent by hand, post, facsimile or in any other form or manner, electronic or otherwise, as approved by the Directors, provided that such nomination shall be confirmed within three (3) months from the date of such notice by a written nomination complying with the above mentioned requirements, and any act done by the alternate Director nominated in such notice between the date thereof and the date of the receipt within the prescribed period by the Company of the written nomination shall be as valid and effectual as if such alternate Director had been duly appointed in the fit instance, whether such written nomination shall be received by the Company within the prescribed period or not.

Clause 21.4 – Remuneration

The Directors shall be paid by way of remuneration for their services such fixed sum as shall from time to time be determined by the Company in meeting of members, and such remuneration shall be divided among the Directors in such proportions and manner as the Directors may determine PROVIDED ALWAYS that:-

(a) fees payable to non-executive Directors shall be by a fixed sum, and not by a commission on or percentage of profits or turnover and which shall not exceed the amount approved by the shareholders in general meeting;

(b) remuneration and other emoluments (including bonus, benefits or any other emoluments) payable to executive Directors may not include a commission on or percentage of turnover;

(c) fees payable to Directors and any benefits payable to Directors shall be subject to annual approval by an ordinary resolution at a meeting of members;

(d) any fee paid to an alternate Director shall be agreed upon between himself and the Director nominating him and shall be paid out of the remuneration of the latter; and

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

(e) the fees and/or benefits payable to non-executive Directors who is also Director of the subsidiary(ies) includes fees, meeting allowances, travelling allowances, benefits, gratuity and compensation for loss of employment of Director or former Director of the Company provided by the Company and subsidiary(ies), but does not include insurance premium or any issue of securities.

Clause 21.5 – Reimbursement

In addition to the remuneration provided under Clause 21.4, each Director shall be paid such reasonable travelling, hotel and other expenses as he shall incur in attending and returning from meetings of the Directors or any committee of the Directors or meeting of members or which they may otherwise incur in connection with the business of the Company.

Clause 23.4 – Director's pensions

The Directors on behalf of the Company may pay a gratuity or pension or allowance on retirement to any Director or former Director who has held any other salaried office or place of profit with the Company or to his widow or dependents or relations or connections and may make contributions to any fund and pay premiums for the purchase or provision of any such gratuity, pension or allowance.

15.3.4 Transfer of Securities

The provisions in our Constitution dealing with transfer of shares as follows:

Clause 11.1 – Transfer in writing and to be left at the Office

For the purpose of registration of a transfer of Shares that are not deposited securities, every instrument of transfer which is executed in accordance with the applicable laws, shall be left at the Office, where a share certificate has been issued for the Share to be transferred, the certificate of the Shares and such other evidence as the Company may require to prove the title of the transferor or his right to transfer the Shares, and thereupon the Company shall subject to the powers vested in the Directors by the Constitution register the transferee as the member within thirty (30) days from receipt of such duly executed and stamped instrument of transfer.

Clause 11.2 – Transfer of securities

The transfer of any deposited security shall be by way of book entry by the Bursa Depository in accordance with the Rules and, notwithstanding Sections 105, 106 or 110 of the Act, but subject to Section 148(2) of the Act and any exemption that may be made from compliance with Section 148(1) of the Act, the Company shall be precluded from registering and effecting any transfer of deposited security.

Clause 11.5 – Directors may refuse registration of transfer

Subject to the provisions of the Act, the SICDA, the Listing Requirements and the Depository Rules, the Directors may, in their discretion and without assigning any reason therefor, refuse to register, the transfer of any Share, not being a fully paid share, and whether or not the Company claims lien on the same.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 11.6 – Closing of registration of transfers

The registration of transfers may be closed at such times and for such periods as the Directors may from time to time determine but not exceeding in the whole thirty (30) days in any calendar year. In relation to the closure, the Company shall give written notice in accordance with the Depository Rules to issue the relevant appropriate record of depositors.

The Company shall before close such register:

(a) give notice of such intended book closure (in the case of the register) in accordance with Section 55 of the Act; and

(b) give notice of such intended closure to the Bursa Securities for such period as prescribed by the Bursa Securities or the applicable laws before the intended date of such closure including in such notice, such date, the reason for such closure and the address of the share registry at which documents will be accepted for registration.

15.4 REPATRIATION OF CAPITAL AND REMITTANCE OF PROFITS

The relevant policies on foreign investments, taxation and foreign exchange controls in Vietnam in relation to the distribution of dividends, repatriation of capital and remittance of profits by or to our Group are set out below:

(a) Exchange controls

Under Vietnamese laws, there is no significant restriction on the management of repatriation of investment capital and remittance of profits of foreign indirect investment. In cases where foreign investors need to transfer capital, profits, or other lawful income from indirect investment activities abroad, they are allowed to use Vietnamese Dong in their indirect investment capital account to purchase foreign currency at licensed credit institutions and remit it abroad.

(b) Dividend distribution

Profits of foreign investors remitted from Vietnam shall be lawful profits shared determined based on the net profit realised and the dividend payment paid from the company's retained earnings. A joint stock company may only pay dividends on common shares when all of the following conditions are met:

(i) The company has fulfilled its tax obligations and other financial obligations as prescribed by law;

(ii) The company has set aside funds and compensated for previous losses as prescribed by law and the company's charter; and

(iii) Immediately after paying all dividends, the company still ensures full payment of debts and other property obligations due.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

(c) Withholding tax

There are no withholding taxes imposed on repatriation of profits.

The transfer of any capital, profits and other legal sources of income from indirect investment activities abroad must be conducted via an "indirect investment capital account" opened at an authorised credit institution in Vietnam.

15.5 GENERAL INFORMATION

(a) Save for the dividends paid to our shareholders in FYE 2022 to 2025 and up to LPD and remuneration of our Directors and key senior management as disclosed in Sections 12.15, 5.2.4 and 5.3.5 respectively, no other amount or benefit has been paid or given within the past 2 years immediately preceding the date of this Prospectus, nor is it intended to be paid or given, to any of our Promoters, Directors or substantial shareholders.

(b) Save as disclosed in Section 10.1, none of our Directors or substantial shareholders have any interest, direct or indirect, in any contract or arrangement subsisting at the date of this Prospectus and which is significant in relation to the business of our Group.

(c) The manner in which copies of this Prospectus together with the official application forms and envelopes may be obtained and the details of the summarised procedures for application of our Shares are set out in Section 16.

(d) There is no limitation on the right to own securities including limitation on the right of non-residents or foreign shareholders to hold or exercise their voting rights on our Shares.

15.6 CONSENTS

(a) The written consents of our Adviser, Sponsor, Underwriter, Placement Agent, Solicitors, Share Registrar, Company Secretaries and Issuing House to the inclusion in this Prospectus of their names in the form and context in which such names appear have been given before the issue of this Prospectus and have not subsequently been withdrawn;

(b) The written consents of our Auditors and Reporting Accountants to the inclusion in this Prospectus of their names, Accountants' Report and report relating to the pro forma consolidated financial information in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not subsequently been withdrawn; and

(c) The written consent of our IMR to the inclusion in this Prospectus of its name and the IMR Report, in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not been subsequently withdrawn.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

15.7 DOCUMENTS FOR INSPECTION

Copies of the following documents are available for inspection at the Registered Office of our Company during normal business hours for a period of 6 months from the date of this Prospectus:

(a) Constitution;

(b) Audited financial statements of our Company since date of incorporation up to 30 April 2025;

(c) Audited financial statements of Exxor Technologies and Intelli Technologies for FYE 2022 to 2025;

(d) Audited financial statements of Exxor Data Solutions for the financial period since the date of incorporation (i.e. 29 March 2022) up to 28 February 2023, financial period from 1 March 2023 to 30 April 2024 (due to change in financial year end) and FYE 2025;

(e) Accountants' Report as set out in Section 13;

(f) Reporting Accountants' Report relating to our pro forma combined statements of financial position as set out in Section 14;

(g) IMR Report as set out in Section 8;

(h) Material contracts as set out in Section 6.5; and

(i) Letters of consent as set out in Section 15.6.

15.8 RESPONSIBILITY STATEMENTS

Our Directors, Promoters and Selling Shareholder have seen and approved this Prospectus. They collectively and individually accept full responsibility for the accuracy of the information. Having made all reasonable enquiries, and to the best of their knowledge and belief, they confirm there is no false or misleading statement or other facts which if omitted, would make any statement in this Prospectus false or misleading.

M&A Securities acknowledges that, based on all available information, and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning our IPO.

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16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

THIS SUMMARY OF PROCEDURES FOR APPLICATION AND ACCEPTANCE DOES NOT CONTAIN THE DETAILED PROCEDURES AND FULL TERMS AND CONDITIONS AND YOU CANNOT RELY ON THIS SUMMARY FOR PURPOSES OF ANY APPLICATION FOR OUR IPO SHARES. YOU MUST REFER TO THE DETAILED PROCEDURES AND TERMS AND CONDITIONS AS SET OUT IN THE "DETAILED PROCEDURES FOR APPLICATION AND ACCEPTANCE" ACCOMPANYING THE ELECTRONIC PROSPECTUS ON THE WEBSITE OF BURSA SECURITIES. YOU SHOULD ALSO CONTACT THE ISSUING HOUSE FOR FURTHER ENQUIRIES.

Unless otherwise defined, all words and expressions used here shall carry the same meaning as ascribed to them in our Prospectus.

Unless the context otherwise requires, words used in the singular include the plural, and vice versa.

16.1 OPENING AND CLOSING OF APPLICATION PERIOD

OPENING OF THE APPLICATION PERIOD: 10.00 A.M., 7 OCTOBER 2025

CLOSING OF THE APPLICATION PERIOD: 5.00 P.M., 13 OCTOBER 2025

In the event there is any change to the timeline, we will advertise the notice of changes in a widely circulated English and Bahasa Malaysia daily newspapers in Malaysia, and make an announcement on Bursa Securities' website.

Late applications will not be accepted.

16.2 METHODS OF APPLICATIONS

16.2.1 Retail Offering

Application must accord with our Prospectus and our Constitution. The submission of an Application Form does not mean that the Application will succeed.

Types of Application and category of investors		Application Method
Applications by our eligible Directors, employees and persons who have contributed to the success of our Group		Pink Application Form only
Applications by the Malaysian Public:		
(a)	Individuals	White Application Form or Electronic Share Application or Internet Share Application
(b)	Non-Individuals	White Application Form only

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

16.2.2 Placement

Types of Application	Application Method
Applications by selected investors	The Placement Agent will contact the selected investors directly. They should follow the Placement Agent's instructions.
Applications by Bumiputera investors approved by MITI	MITI will contact the Bumiputera investors directly. They should follow MITI's instructions.

Selected investors, Bumiputera investors approved by MITI and Eligible Persons may still apply for our IPO Shares offered to the Malaysian Public using the White Application Form, Electronic Share Application or Internet Share Application.

16.3 ELIGIBILITY

16.3.1 General

You must have a CDS Account and a correspondence address in Malaysia. If you do not have a CDS Account, you may open a CDS Account by contacting any of the ADAs set out in the list of ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Securities. The CDS Account must be in your own name. **Invalid, nominee or third party CDS Accounts will not be accepted** for the Applications.

Only **ONE** Application Form for each category from each applicant will be considered and **APPLICATIONS MUST BE FOR AT LEAST 100 IPO SHARES OR MULTIPLES OF 100 IPO SHARES.**

MULTIPLE APPLICATIONS WILL NOT BE ACCEPTED UNLESS EXPRESSLY ALLOWED IN THESE TERMS AND CONDITIONS. AN APPLICANT WHO SUBMITS MULTIPLE APPLICATIONS IN HIS OWN NAME OR BY USING THE NAME OF OTHERS, WITH OR WITHOUT THEIR CONSENT, COMMITS AN OFFENCE UNDER SECTION 179 OF THE CMSA AND IF CONVICTED, MAY BE PUNISHED WITH A MINIMUM FINE OF RM1,000,000 AND A JAIL TERM OF UP TO 10 YEARS UNDER SECTION 182 OF THE CMSA.

AN APPLICANT IS NOT ALLOWED TO SUBMIT MULTIPLE APPLICATIONS IN THE SAME CATEGORY OF APPLICATION.

16.3.2 Application by Malaysian Public

You can only apply for our IPO Shares if you fulfill all of the following:

(a) You must be one of the following:

(i) a Malaysian citizen who is at least 18 years old as at the date of the application for our IPO Shares; or

(ii) a corporation/institution incorporated in Malaysia with a majority of Malaysian citizens on your board of directors/trustees and if you have a share capital, more than half of the issued share capital, excluding preference share capital, is held by Malaysian citizens; or

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

(iii) a superannuation, co-operative, foundation, provident, pension fund established or operating in Malaysia.

(b) You must not be a director or employee of the Issuing House or an immediate family member of a director or employee of the Issuing House; and

(c) You must submit Applications by using only one of the following methods:

(i) White Application Form; or

(ii) Electronic Share Application; or

(iii) Internet Share Application.

16.3.3 Application by eligible Directors, employees and persons who have contributed to the success of our Group

The eligible Directors, employees and persons (including any entities, wherever established) who have contributed to the success of our Group will be provided with Pink Application Forms and letters from us detailing their respective allocation as well as detailed procedures on how to subscribe to the allocated IPO Shares. Applicants must follow the notes and instructions on the said documents and where relevant, in this Prospectus.

16.4 APPLICATION BY WAY OF APPLICATION FORMS

The Application Form must be completed in accordance with the notes and instructions contained in the respective category of the Application Form. Applications made on the incorrect type of Application Form or which do not conform **STRICTLY** to the terms of our Prospectus or the respective category of Application Form or notes and instructions or which are illegible will not be accepted.

The **FULL** amount payable is RM0.36 for each IPO Share.

Payment must be made out in favour of **"TIIH SHARE ISSUE ACCOUNT NO. 811"** and crossed **"A/C PAYEE ONLY"** and endorsed on the reverse side with your name and address.

Each completed Application Form, accompanied by the appropriate remittance and legible photocopy of the relevant documents may be submitted using one of the following methods:

(a) despatch by **ORDINARY POST** in the official envelopes provided, to the following address:

Tricor Investor & Issuing House Services Sdn Bhd
(Registration No. 197101000970 (11324-H))
Unit 32-01, Level 32, Tower A
Vertical Business Suite
Avenue 3, Bangsar South
No. 8, Jalan Kerinchi
59200 Kuala Lumpur

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

(b) **DELIVER BY HAND AND DEPOSIT** in the drop-in boxes provided at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

So as to arrive not later than 5.00 p.m. on 13 October 2025 or by such other time and date specified in any change to the date or time for closing.

We, together with the Issuing House, will not issue any acknowledgement of the receipt of your Application Forms or Application monies. Please direct all enquiries in respect of the White Application Form to the Issuing House.

16.5 APPLICATION BY WAY OF ELECTRONIC SHARE APPLICATIONS

Only Malaysian individuals may apply for our IPO Shares offered to the Malaysian Public by way of Electronic Share Application.

Electronic Share Applications may be made through the ATM of the following Participating Financial Institutions and their branches, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, AmBank (M) Berhad, CIMB Bank Berhad, Malayan Banking Berhad, Public Bank Berhad and RHB Bank Berhad. A processing fee will be charged by the respective Participating Financial Institutions (unless waived) for each Electronic Share Application.

The exact procedures, terms and conditions for Electronic Share Application are set out on the ATM screens of the relevant Participating Financial Institutions.

16.6 APPLICATION BY WAY OF INTERNET SHARE APPLICATIONS

Only Malaysian individuals may use the Internet Share Application to apply for our IPO Shares offered to the Malaysian Public.

Internet Share Applications may be made through an internet financial services website of the Internet Participating Financial Institutions or Participating Securities Firms, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, Malayan Banking Berhad, Public Bank Berhad, RHB Bank Berhad, CGS International Securities Malaysia Sdn. Bhd. (formerly known as CGS-CIMB Securities Sdn. Bhd.), Kenanga Investment Bank Berhad, Malacca Securities Sdn Bhd, Moomoo Securities Malaysia Sdn Bhd and UOB Kay Hian (M) Sdn Bhd (formerly known as UOB Kay Hian Securities (M) Sdn Bhd). A processing fee will be charged by the respective Internet Participating Financial Institutions or Participating Securities Firms (unless waived) for each Internet Share Application.

The exact procedures, terms and conditions for Internet Share Application are set out on the internet financial services website of the respective Internet Participating Financial Institutions or Participating Securities Firms.

16.7 AUTHORITY OF OUR BOARD AND THE ISSUING HOUSE

The Issuing House, on the authority of our Board reserves the right to:

(a) reject Applications which:

(i) do not conform to the instructions of our Prospectus, Application Forms, Electronic Share Application and Internet Share Application (where applicable); or

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

(ii) are illegible, incomplete or inaccurate; or

(iii) are accompanied by an improperly drawn up or improper form of remittance; or

(b) reject or accept any Application, in whole or in part, on a non-discriminatory basis without the need to give any reason; and

(c) bank in all Application monies (including those from unsuccessful/partially successful applicants) which would subsequently be refunded, where applicable (without interest), in accordance with Section 16.9 below.

If you are successful in your Application, our Board reserves the right to require you to appear in person at the registered office of the Issuing House at any time within 14 days of the date of the notice issued to you to ascertain that your Application is genuine and valid. Our Board shall not be responsible for any loss or non-receipt of the said notice nor will it be accountable for any expenses incurred or to be incurred by you for the purpose of complying with this provision.

16.8 OVER/UNDER SUBSCRIPTION

In the event of over-subscription, the Issuing House will conduct a ballot in the manner approved by our Directors to determine the acceptance of Applications in a fair and equitable manner. In determining the manner of balloting, our Directors will consider the desirability of allotting and allocating our IPO Shares to a reasonable number of applicants for the purpose of broadening the shareholding base of our Company and establishing a liquid and adequate market for our Shares.

The basis of allocation of shares and the balloting results in connection therewith will be furnished by the Issuing House to Bursa Securities, all major Bahasa Malaysia and English newspapers as well as posted on the Issuing House's website at https://srmy.vistra.com within one Market Day after the balloting date.

Pursuant to the Listing Requirements we are required to have a minimum of 25.0% of our Company's issued share capital to be held by at least 200 public shareholders holding not less than 100 Shares each upon Listing and completion of our IPO. We expect to achieve this at the point of Listing. In the event the above requirement is not met, we may not be allowed to proceed with our Listing. In the event thereof, monies paid in respect of all Applications will be returned in full (without interest).

In the event of an under-subscription of our Issue Shares by the Malaysian Public and/or eligible Directors, employees and persons who have contributed to the success of our Group, subject to the clawback and reallocation as set out in Section 4.3.4, any of the abovementioned Issue Shares not applied for will then be subscribed by the Underwriter based on the terms of the Underwriting Agreement.

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16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

16.9 UNSUCCESSFUL/PARTIALLY SUCCESSFUL APPLICANTS

If you are unsuccessful/partially successful in your Application, your Application Monies (without interest) will be refunded to you in the following manner.

16.9.1 For applications by way of Application Forms

(a) The Application monies or the balance of it, as the case may be, will be returned to you through the self-addressed and stamped Official "A" envelope you provided by ordinary post (for fully unsuccessful applications) or by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/distribution) or if you have not provided such bank account information to Bursa Depository, the balance of Application monies will be refunded via banker's draft sent by ordinary/registered post to your last address maintained with Bursa Depository (for partially successful applications) within 10 Market Days from the date of the final ballot at your own risk.

(b) If your Application is rejected because you did not provide a CDS Account number, your Application monies will be refunded via banker's draft sent by ordinary / registered post to your address as stated in the NRIC or any official valid temporary identity document issued by the relevant authorities from time to time or the authority card (if you are a member of the armed forces or police) at your own risk.

(c) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected or unsuccessful or only partly successful will be refunded (without interest) by the Issuing House as per items (a) and (b) above (as the case may be).

(d) The Issuing House reserves the right to bank into its bank account all Application monies from unsuccessful applicants. These monies will be refunded (without interest) within 10 Market Days from the date of the final ballot by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/distribution) or by issuance of banker's draft sent by ordinary/registered post to your last address maintained with Bursa Depository if you have not provided such bank account information to Bursa Depository or as per item (b) above (as the case may be).

16.9.2 For applications by way of Electronic Share Application and Internet Share Application

(a) The Issuing House shall inform the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms of the unsuccessful or partially successful Applications within 2 Market Days after the balloting date. The full amount of the Application monies or the balance of it will be credited without interest into your account with the Participating Financial Institution or Internet Participating Financial Institution or Participating Securities Firms (or arranged with the Authorised Financial Institutions) within 2 Market Days after the receipt of confirmation from the Issuing House.

(b) You may check your account on the 5th Market Day from the balloting date.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

(c) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected will be refunded (without interest) by the Issuing House by crediting into your account with the Participating Financial Institution or Internet Participating Financial Institutions or Participating Securities Firms (or arranged with the Authorised Financial Institutions) not later than 10 Market Days from the date of the final ballot. For Applications that are held in reserve and which are subsequently unsuccessful or partially successful, the relevant Participating Financial Institution will be informed of the unsuccessful or partially successful Applications within 2 Market Days after the final balloting date. The Participating Financial Institution will credit the Application monies or any part thereof (without interest) within 2 Market Days after the receipt of confirmation from the Issuing House.

16.10 SUCCESSFUL APPLICANTS

If you are successful in your application:

(a) Our IPO Shares allotted to you will be credited into your CDS Account.

(b) A notice of allotment will be despatched to you at your last address maintained with the Bursa Depository, at your own risk, before our Listing. This is your only acknowledgement of acceptance of your Application.

(c) In accordance with Section 14(1) of the Central Depositories Act, Bursa Securities has prescribed our Shares as Prescribed Securities. As such, our IPO Shares issued/offered through our Prospectus will be deposited directly with Bursa Depository and any dealings in these Shares will be carried out in accordance with the Central Depositories Act and Depository Rules.

(d) In accordance with Section 29 of the Central Depositories Act, all dealings in our Shares will be by book entries through CDS Accounts. No physical share certificates will be issued to you and you shall not be entitled to withdraw any deposited securities held jointly with Bursa Depository or its nominee as long as our Shares are listed on Bursa Securities.

16.11 ENQUIRIES

Enquiries in respect of the applications may be directed as follows:

Mode of application	Parties to direct the enquiries
Application Form	Issuing House Enquiry Services Telephone at 03-2783 9299
Electronic Share Application	Participating Financial Institution
Internet Share Application	Internet Participating Financial Institution or Participating Securities Firms and Authorised Financial Institution

The results of the allocation of IPO Shares derived from successful balloting will be made available to the public at the Issuing House website at https://srmy.vistra.com, **1 Market Day** after the balloting date.

You may also check the status of your Application at the above website, **5 Market Days** after the balloting date or by calling your respective ADA during office hours at the telephone number as stated in the list of ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Securities.